RPSC · RAS & RTS PRELIMINARY EXAMINATION 2026

Economic Concepts and Indian Economy

335 practice questions across 8 chapters, each chapter opening with a must-know fact sheet. Answers and explanations are at the back, so you can work through the paper first.

335 questions · **234** fact-sheet points · **44** tagged as previously asked
Paper pattern: 150 questions · 200 marks · 3 hours · 1/3 negative marking

IE01

Basic Concepts: Growth, Development, Sustainability, National Income

45 questions · 27 fact-sheet points

Must-know facts

1. Economic growth = quantitative rise in real national output/income; economic development = growth PLUS structural, qualitative and distributional improvement in welfare.
2. Amartya Sen — capability approach, 'Development as Freedom' (1999); Mahbub ul Haq — architect of the Human Development Index, first Human Development Report 1990.
3. Sustainable development defined by the Brundtland Commission (World Commission on Environment and Development) in 'Our Common Future', 1987.
4. SDGs: 17 goals, 169 targets, 'Transforming our World: the 2030 Agenda', adopted September 2015, in force 1 January 2016; replaced the 8 Millennium Development Goals (2000-2015).
5. NITI Aayog publishes the SDG India Index (first edition December 2018) with MoSPI and UN India.
6. Green GDP = GDP adjusted for depletion of natural resources and cost of environmental degradation. Circular economy = reduce-reuse-recycle, opposite of the linear take-make-dispose model.
7. First estimate of India's national income: Dadabhai Naoroji, 1867-68, in 'Poverty and Un-British Rule in India' (per capita Rs 20). First scientific estimate: V.K.R.V. Rao, 1931-32.
8. National Income Committee, 1949 — chairman P.C. Mahalanobis; members D.R. Gadgil and V.K.R.V. Rao; first report 1951, final report 1954.
9. CSO set up 1951, NSSO 1950; merged into the National Statistical Office (NSO) in 2019 under MoSPI. National Statistical Commission set up 2005 (first chairman S.D. Tendulkar).
10. GVA at basic prices = GVA at factor cost + production taxes - production subsidies.
11. GDP at market prices = GVA at basic prices + product taxes - product subsidies.
12. NDP = GDP - depreciation (consumption of fixed capital). GNP = GDP + Net Factor Income from Abroad (NFIA). NNP = GNP - depreciation.
13. National Income = NNP at factor cost. Per capita income = NNP at factor cost / mid-year population.
14. GNI (Gross National Income) is the income concept corresponding to GNP; GNI per capita (PPP $) is the income indicator used in the HDI.
15. Three methods of estimating national income: production/value-added method, income method (wages + rent + interest + profit), expenditure method (C + I + G + (X - M)).
16. Value added = value of output - intermediate consumption. Double counting is avoided by counting only value added or only final goods.
17. Nominal GDP is at current prices; real GDP is at constant (base-year) prices. GDP deflator = (Nominal GDP / Real GDP) x 100 — the broadest price index, with no fixed basket.
18. GDP base-year series in India: 1993-94, 1999-2000, 2004-05, 2011-12 (introduced January 2015), and 2022-23 (released 27 February 2026 by MoSPI).
19. The 2022-23 series uses double deflation in manufacturing and agriculture, a Supply-Use Table framework, and GST, PFMS, e-Vahan, ASUSE and PLFS data. Advisory Committee on National Accounts Statistics (ACNAS) guides MoSPI.
20. Under the new series, real GDP growth was 7.2% in 2023-24 and 7.1% in 2024-25 (MoSPI, as of February 2026).
21. Since January 2015 India's headline growth is reported as GDP at constant market prices; sectoral performance is reported through GVA at basic prices.

22. Transfer payments (pensions, scholarships, subsidies to households), sale of second-hand goods and purely financial transactions are excluded from national income.
23. By PPP, India is the third largest economy in the world (after the USA and China); by nominal GDP in US dollars it is the fourth largest (IMF World Economic Outlook).
24. Sectors: primary (agriculture, mining), secondary (manufacturing, construction, electricity), tertiary/services. Services contribute the largest share (about 55%) of India's GVA; agriculture employs the largest share of workers (43.0% in PLFS 2025).
25. Growth models: Harrod-Domar (savings rate / capital-output ratio), Rostow's five stages (traditional, pre-conditions, take-off, drive to maturity, high mass consumption), Lewis dual-sector model, Rosenstein-Rodan's 'big push', Nurkse's vicious circle of poverty, Hirschman's unbalanced growth.
26. Economic Survey is prepared by the Economic Division of the Department of Economic Affairs, Ministry of Finance, under the Chief Economic Adviser, and is tabled a day before the Union Budget. First Economic Survey: 1950-51.
27. India follows a mixed economy; the framework was laid by the Industrial Policy Resolutions of 1948 and 1956 and the concept of a 'socialistic pattern of society'.

1. Economic growth is best described as

(A) an increase in the nominal value of goods and services produced
(B) an improvement in the distribution of income among all sections of society
(C) a rise in literacy, life expectancy and standard of living
(D) a sustained increase in the real national output of a country over time

2. The book 'Development as Freedom', which treats development as the expansion of human capabilities, was written by

(A) Gunnar Myrdal
(B) Mahbub ul Haq
(C) Amartya Sen
(D) Jagdish Bhagwati

3. The definition of sustainable development as 'development that meets the needs of the present without compromising the ability of future generations to meet their own needs' was given in the report

(A) Limits to Growth
(B) Silent Spring
(C) Agenda 21
(D) Our Common Future

4. The Sustainable Development Goals adopted by the United Nations in 2015 consist of

(A) 8 goals and 21 targets
(B) 17 goals and 169 targets
(C) 15 goals and 148 targets
(D) 17 goals and 232 targets

5. The first estimate of India's national income was prepared by

(A) V.K.R.V. Rao
(B) P.C. Mahalanobis
(C) Dadabhai Naoroji
(D) R.C. Desai

6. The National Income Committee constituted in 1949 was chaired by

(A) V.K.R.V. Rao
(B) C.D. Deshmukh
(C) D.R. Gadgil
(D) P.C. Mahalanobis

7. Gross National Product (GNP) is obtained as

(A) GDP minus depreciation
(B) GDP minus net factor income from abroad
(C) GDP plus indirect taxes minus subsidies
(D) GDP plus net factor income from abroad

8. In national income accounting, 'National Income' refers specifically to RAS PRE 2013, 2021

(A) Gross Domestic Product at market prices
(B) Net Domestic Product at factor cost
(C) Net National Product at factor cost
(D) Gross Value Added at basic prices

9. India's new series of National Accounts released by MoSPI in February 2026 uses which base year? RAS PRE 2024

(A) 2011-12
(B) 2017-18
(C) 2020-21
(D) 2022-23

10. Per capita income of a country is calculated by dividing which aggregate by its population?

(A) Gross Domestic Product at market prices
(B) Net Domestic Product at market prices
(C) Gross National Product at market prices
(D) Net National Product at factor cost

11. Net Domestic Product is arrived at by deducting which item from Gross Domestic Product?

(A) Net factor income from abroad
(B) Indirect taxes
(C) Consumption of fixed capital
(D) Net exports

12. Which sector currently contributes the largest share to India's Gross Value Added?

(A) Agriculture and allied activities
(B) Manufacturing
(C) Services
(D) Construction

13. The method of estimating national income that adds together wages, rent, interest and profit is called the

(A) value added method
(B) commodity flow method
(C) expenditure method
(D) income method

14. The Economic Survey of India is prepared by the

(A) NITI Aayog
(B) Reserve Bank of India
(C) Department of Economic Affairs, Ministry of Finance
(D) National Statistical Office, MoSPI

15. The National Statistical Office (NSO) was formed in 2019 by merging

(A) the CSO and the Office of the Economic Adviser
(B) the CSO and the National Statistical Commission
(C) the NSSO and the Labour Bureau
(D) the CSO and the NSSO

16. Gross Value Added at basic prices is obtained from GVA at factor cost by HARD

(A) adding product taxes and deducting product subsidies
(B) adding net factor income from abroad
(C) deducting depreciation
(D) adding production taxes and deducting production subsidies

17. The Harrod-Domar growth model explains the rate of growth primarily in terms of

(A) the rate of technological progress
(B) the terms of trade
(C) the rate of population growth
(D) the savings rate and the capital-output ratio

18. 'Green GDP' is best described as

(A) GDP generated by the renewable energy sector
(B) GDP measured at purchasing power parity
(C) GDP of the agriculture and forestry sectors combined
(D) GDP adjusted for the depletion of natural resources and environmental degradation

19. A 'circular economy' is one in which

(A) output is produced entirely by the public sector
(B) the economy moves through repeated cycles of boom and recession
(C) materials are kept in use through reduction, reuse, recycling and recovery
(D) all goods are produced and consumed within a single region

20. The SDG India Index, which ranks States and Union Territories on progress towards the Sustainable Development Goals, is published by

(A) the Ministry of Environment, Forest and Climate Change
(B) the United Nations Development Programme
(C) MoSPI
(D) NITI Aayog

21. The Millennium Development Goals, which preceded the Sustainable Development Goals, comprised

(A) 8 goals for the period 2000-2015
(B) 10 goals for the period 1995-2010
(C) 12 goals for the period 2000-2020
(D) 17 goals for the period 2000-2015

22. In India, the headline rate of economic growth is officially reported as the growth of

(A) NNP at market prices
(B) GVA at current basic prices
(C) GNP at factor cost
(D) GDP at constant market prices

23. In terms of purchasing power parity, India is currently the

(A) second largest economy in the world
(B) fourth largest economy in the world
(C) third largest economy in the world
(D) fifth largest economy in the world

24. In Rostow's stages of economic growth, the stage at which growth becomes a normal, self-sustaining condition is called

(A) the traditional society
(B) the pre-conditions for take-off
(C) the take-off
(D) the age of high mass consumption

25. Value added by a firm is calculated as

(A) value of output minus intermediate consumption
(B) value of output minus depreciation
(C) sales revenue minus wages and salaries
(D) gross profit minus indirect taxes

26. Consider the following statements about economic growth and economic development:
I. Economic growth is a narrower concept than economic development.
II. Economic development necessarily accompanies economic growth.
III. Economic development includes qualitative changes such as improvement in health and education.
Which of the statements given above are correct?

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

27. Consider the following statements regarding GDP and GVA:
I. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies.
II. GVA measures the supply side of the economy, while GDP at market prices reflects the demand side.
III. A rise in indirect taxes raises GVA even if output is unchanged.
Which of the statements given above are correct? RAS PRE 2024 HARD

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

28. Consider the following statements about sustainable development:
I. It was defined by the World Commission on Environment and Development.
II. It requires that the needs of the present be met without compromising those of future generations.
III. It rests on the three pillars of economic, social and environmental sustainability.
Which of the statements given above are correct?

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

29. Consider the following statements about India's new National Accounts series with base year 2022-23:
I. It replaced the series with base year 2011-12.
II. It introduces double deflation for manufacturing and agriculture.
III. It uses GST returns and the e-Vahan database as new data sources.
Which of the statements given above are correct?

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

30. Consider the following statements about nominal and real GDP:
I. Real GDP is measured at constant prices of a base year.
II. Nominal GDP can rise even when physical output falls.
III. In the base year, nominal GDP and real GDP are equal.
Which of the statements given above are correct?

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

31. Consider the following statements about Net Factor Income from Abroad (NFIA):
I. It is the difference between factor income received from abroad and factor income paid abroad.
II. For India, NFIA is generally negative.
III. Gross National Income is obtained by adding NFIA to Gross Domestic Product.
Which of the statements given above are correct? RAS PRE 2021 HARD

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

32. Consider the following statements about the Sustainable Development Goals:
I. They came into force on 1 January 2016.
II. SDG-1 relates to No Poverty and SDG-13 to Climate Action.
III. They are legally binding on member states of the United Nations.
Which of the statements given above are correct?

- (A) I and II only
- (B) I and III only
- (C) II and III only
- (D) I, II and III

33. Consider the following statements about the Economic Survey:
I. It is a constitutional requirement to lay it before Parliament.
II. It is normally presented a day before the Union Budget.
III. It is prepared under the guidance of the Chief Economic Adviser.
Which of the statements given above are correct?

- (A) I and II only
- (B) II and III only
- (C) I and III only
- (D) I, II and III

34. Consider the following statements about the estimation of national income:
I. Only the value of final goods and services is counted under the expenditure method.
II. Transfer payments such as old-age pensions are included in national income.
III. The sale of a second-hand car is not counted in the national income of the year of resale.
Which of the statements given above are correct?

- (A) I and II only
- (B) I and III only
- (C) II and III only
- (D) I, II and III

35. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Aggregate) List-II (Expression)
A. NDP at market prices 1. GDP + NFIA
B. GNP at market prices 2. GDP - depreciation
C. National Income 3. GNP - depreciation
D. NNP at market prices 4. NNP at factor cost `RAS PRE 2024` `HARD`

- (A) A-2, B-1, C-4, D-3
- (B) A-3, B-1, C-4, D-2
- (C) A-2, B-4, C-1, D-3
- (D) A-1, B-2, C-3, D-4

36. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Economist) List-II (Concept)
A. Ragnar Nurkse 1. Big Push theory
B. P.N. Rosenstein-Rodan 2. Unbalanced growth
C. Arthur Lewis 3. Vicious circle of poverty
D. A.O. Hirschman 4. Dual-sector model with unlimited supply of labour

- (A) A-3, B-1, C-4, D-2
- (B) A-1, B-3, C-2, D-4
- (C) A-3, B-4, C-1, D-2
- (D) A-2, B-1, C-4, D-3

37. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Body) List-II (Function)
A. NSO, MoSPI 1. Preparation of the Economic Survey
B. Department of Economic Affairs 2. Compilation of national accounts statistics
C. NITI Aayog 3. Compilation of the Wholesale Price Index
D. Office of the Economic Adviser, DPIIT 4. Publication of the SDG India Index

(A) A-2, B-1, C-4, D-3
(B) A-1, B-2, C-3, D-4
(C) A-2, B-4, C-1, D-3
(D) A-3, B-1, C-4, D-2

38. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Goal) List-II (Sustainable Development Goal number)
A. Zero Hunger 1. SDG-3
B. Good Health and Well-being 2. SDG-2
C. Quality Education 3. SDG-5
D. Gender Equality 4. SDG-4

(A) A-1, B-2, C-4, D-3
(B) A-2, B-1, C-4, D-3
(C) A-2, B-1, C-3, D-4
(D) A-2, B-4, C-1, D-3

39. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Term) List-II (Meaning)
A. Demographic dividend 1. GDP corrected for environmental costs
B. Green GDP 2. Growth benefits reaching the poor indirectly through the market
C. Trickle-down 3. Growth potential from a rising share of working-age population
D. Circular economy 4. Keeping materials in use through reuse and recycling

(A) A-3, B-1, C-2, D-4
(B) A-1, B-3, C-2, D-4
(C) A-3, B-2, C-1, D-4
(D) A-3, B-1, C-4, D-2

40. Which one of the following is NOT a method of estimating national income?

(A) Value added method
(B) Income method
(C) Expenditure method
(D) Input-output substitution method

41. Which one of the following is NOT included while computing the national income of India?

(A) Rent received by a landlord
(B) Salary of a government school teacher
(C) Old-age pension paid by the State
(D) Profit earned by a private company

42. Which one of the following pairs of national income concepts is NOT correctly matched? HARD

(A) GNP — GDP plus net factor income from abroad
(B) NNP — GNP minus depreciation
(C) GDP deflator — ratio of real GDP to nominal GDP multiplied by 100
(D) National income — NNP at factor cost

43. Which one of the following is NOT a feature of the new National Accounts series with base year 2022-23? HARD

(A) Use of double deflation in manufacturing and agriculture
(B) Use of the Supply-Use Table framework
(C) Replacement of GDP by GVA as the headline growth indicator
(D) Use of GST and PFMS administrative data

44. Which one of the following is NOT a part of the tertiary sector of the economy?

(A) Banking and insurance
(B) Transport and communication
(C) Electricity generation
(D) Trade and hotels

45. Arrange the following base years of India's National Accounts series in correct chronological order of their adoption:

I. 2011-12
II. 1999-2000
III. 2004-05
IV. 1993-94

(A) IV, II, III, I
(B) II, IV, I, III
(C) IV, III, II, I
(D) I, III, II, IV

IE02

Measurement of Development: HDI, Indices, Poverty and Inequality

40 questions · 27 fact-sheet points

Must-know facts

1. Human Development Index — conceived by Mahbub ul Haq with Amartya Sen; first Human Development Report published by UNDP in 1990.
2. HDI has 3 dimensions and 4 indicators: life expectancy at birth (health); mean years of schooling and expected years of schooling (education); GNI per capita in PPP dollars (standard of living). Since 2010 it is computed as a geometric mean.
3. HDI classes: Very high 0.800 and above; High 0.700-0.799; Medium 0.550-0.699; Low below 0.550.
4. Human Development Report 2025 (released May 2025, theme 'A matter of choice: people and possibilities in the age of AI'): India ranked 130 out of 193 countries with an HDI of 0.685 — the medium human development category. Iceland ranked first.
5. IHDI — inequality-adjusted HDI (introduced 2010). GDI — ratio of female HDI to male HDI. GII — Gender Inequality Index (reproductive health, empowerment, labour market); a lower GII value is better. MPI — Multidimensional Poverty Index.
6. Global MPI is published jointly by UNDP and the Oxford Poverty and Human Development Initiative (OPHI): 3 dimensions, 10 indicators; a person is multidimensionally poor if deprived in at least one-third (33.33%) of the weighted indicators.
7. NITI Aayog's National MPI uses 3 dimensions and 12 indicators — the 10 global indicators plus maternal health and bank account. Alkire-Foster methodology; MPI = Headcount ratio (H) x Intensity of deprivation (A).
8. NITI Aayog's 'National MPI: A Progress Review 2023' found multidimensional poverty falling from 24.85% (2015-16) to 14.96% (2019-21).
9. PQLI (Physical Quality of Life Index) — Morris David Morris, 1979: infant mortality rate, life expectancy at age one, and basic literacy rate; scaled 0-100; income is deliberately excluded.
10. Gross National Happiness is the development philosophy of Bhutan, with four pillars and nine domains.
11. World Happiness Report 2026: Finland ranked first for the ninth consecutive year; India ranked 116 out of 147 countries, up from 118 in the 2025 edition; Afghanistan ranked last. (As of the March 2026 edition.)
12. India's earlier World Happiness Report ranks: 139 (2021 edition), 126 (2023 and 2024 editions), 118 (2025), 116 (2026).
13. The World Happiness Report is based on Gallup World Poll life evaluations using the Cantril ladder (0-10); six explanatory variables are GDP per capita, social support, healthy life expectancy, freedom to make life choices, generosity, and perceptions of corruption.
14. Global Hunger Index — published by Concern Worldwide (Ireland) and Welthungerhilfe (Germany); four indicators: undernourishment, child stunting, child wasting, child mortality. India ranked 102nd in the GHI 2025.
15. Global Innovation Index — published by the World Intellectual Property Organization (WIPO); India ranked 38th in GII 2025.
16. World Bank's Doing Business report (Ease of Doing Business rank) was discontinued in September 2021; India's last rank was 63rd out of 190 in Doing Business 2020. It is being replaced by the Business Ready (B-READY) report.
17. DPIIT (Department for Promotion of Industry and Internal Trade, Ministry of Commerce and Industry) runs the Business Reform Action Plan (BRAP), under which States and UTs are ranked on ease of doing

business.

18. Poverty committees: Working Group 1962; Dandekar and Rath 1971 (2250 calories); Y.K. Alagh Task Force 1979 (2400 kcal rural, 2100 kcal urban); D.T. Lakdawala 1993 (state-specific poverty lines, CPI-IW urban and CPI-AL rural); Suresh Tendulkar 2009; C. Rangarajan 2014.
19. Tendulkar Committee: poverty ratio 21.9% in 2011-12 (rural 25.7%, urban 13.7%); poverty lines Rs 816 (rural) and Rs 1000 (urban) per capita per month.
20. Rangarajan Committee (report submitted June 2014): poverty ratio 29.5% in 2011-12; poverty lines Rs 972 (rural) and Rs 1407 (urban) per capita per month.
21. Gini coefficient ranges from 0 (perfect equality) to 1 (perfect inequality); it is derived from the Lorenz curve, given by Max O. Lorenz in 1905.
22. Kuznets curve — an inverted-U relationship between per capita income and inequality, proposed by Simon Kuznets in 1955. The Environmental Kuznets Curve applies the same shape to income and environmental degradation.
23. Unemployment types: structural, frictional, cyclical, seasonal, disguised (marginal productivity near zero, typical of Indian agriculture), and educated/open unemployment.
24. Periodic Labour Force Survey (PLFS) was launched by the NSO in April 2017, replacing the quinquennial Employment-Unemployment Surveys of the NSSO; it uses Usual Status (ps+ss) and Current Weekly Status.
25. LFPR = labour force / population x 100. WPR (Worker Population Ratio, also called Work Participation Rate) = employed persons / population x 100. Unemployment Rate = unemployed / labour force x 100.
26. PLFS Annual Report 2025 (January-December 2025, released March 2026), usual status, age 15 and above: LFPR 59.3%, WPR 57.4%, Unemployment Rate 3.1%; youth (15-29) unemployment 9.9%.
27. PLFS 2025: male WPR 76.6% and female WPR 38.8%; agriculture's share of employment fell from 44.8% (2024) to 43.0% (2025); self-employed 56.2% and regular wage/salaried 23.6%.

1. The Human Development Index was developed by

(A) Amartya Sen and Gunnar Myrdal
(B) Morris David Morris
(C) Simon Kuznets
(D) Mahbub ul Haq with the assistance of Amartya Sen

2. Which one of the following is used as the standard-of-living indicator in the Human Development Index? `RAS PRE 2024`

(A) Gross Domestic Product per capita at market exchange rates
(B) Net National Product at factor cost per capita
(C) Gross National Income per capita at purchasing power parity
(D) Household consumption expenditure per capita

3. In the Human Development Report 2025, India's rank was `RAS PRE 2021, 2024`

(A) 108 out of 193 countries
(B) 116 out of 147 countries
(C) 130 out of 193 countries
(D) 134 out of 191 countries

4. India's Human Development Index value as reported in the Human Development Report 2025 places it in which category?

(A) Low human development
(B) Medium human development
(C) High human development
(D) Very high human development

5. Which country topped the Human Development Index in the Human Development Report 2025?

(A) Norway
(B) Switzerland
(C) Iceland
(D) Denmark

6. According to the World Happiness Report 2026, India's rank among the countries covered was `RAS PRE 2021, 2023, 2024`

(A) 108th
(B) 116th
(C) 126th
(D) 136th

7. Which country was ranked the happiest in the world for the ninth consecutive year in the World Happiness Report 2026? `RAS PRE 2023`

(A) Denmark
(B) Iceland
(C) Finland
(D) Switzerland

8. The country rankings in the World Happiness Report are based primarily on `HARD`

(A) per capita income and life expectancy data of the World Bank
(B) household survey data collected by national statistical offices
(C) an index of mental health services computed by the WHO
(D) self-reported life evaluations on the Cantril ladder from the Gallup World Poll

9. The Global Multidimensional Poverty Index is published jointly by UNDP and

(A) the World Bank
(B) the International Labour Organization
(C) the Oxford Poverty and Human Development Initiative
(D) the Food and Agriculture Organization

10. India's National Multidimensional Poverty Index prepared by NITI Aayog uses

(A) 3 dimensions and 10 indicators
(B) 3 dimensions and 12 indicators
(C) 4 dimensions and 12 indicators
(D) 2 dimensions and 8 indicators

11. The Multidimensional Poverty Index is computed using the Alkire-Foster methodology as the product of `HARD`

(A) headcount ratio and intensity of deprivation
(B) headcount ratio and the Gini coefficient
(C) poverty gap and squared poverty gap
(D) incidence of poverty and the depth of income shortfall

12. The Physical Quality of Life Index developed by Morris David Morris combines the infant mortality rate, the basic literacy rate and

(A) life expectancy at birth
(B) the gross enrolment ratio
(C) per capita income
(D) life expectancy at age one

13. Gross National Happiness as a formal measure of development is associated with which country?

(A) Nepal
(B) Costa Rica
(C) Bhutan
(D) Norway

14. The Global Hunger Index is published annually by

(A) the Food and Agriculture Organization and the World Food Programme
(B) the UNDP and the Oxford Poverty and Human Development Initiative
(C) the World Bank and the International Food Policy Research Institute
(D) Concern Worldwide and Welthungerhilfe

15. The Global Hunger Index is computed from four indicators — undernourishment, child stunting, child wasting and

(A) maternal mortality ratio
(B) prevalence of anaemia among women
(C) child mortality
(D) incidence of low birth weight

16. The Gini coefficient measures

(A) the rate of growth of per capita income
(B) the extent of multidimensional deprivation
(C) the proportion of population below the poverty line
(D) the degree of inequality in the distribution of income

17. The Kuznets curve depicts the relationship between

(A) inflation and unemployment
(B) savings rate and the growth rate
(C) per capita income and income inequality
(D) population growth and food supply

18. According to the Tendulkar Committee, the poverty ratio in India in 2011-12 was

(A) 21.9 per cent
(B) 26.1 per cent
(C) 29.5 per cent
(D) 37.2 per cent

19. The Rangarajan Committee, which submitted its report in 2014, was constituted to review the methodology for the measurement of

(A) unemployment
(B) industrial production
(C) inflation
(D) poverty

20. The Worker Population Ratio is defined as the `RAS PRE 2021, 2024`

(A) number of persons employed per 1000 persons in the labour force
(B) percentage of employed persons in the total population
(C) percentage of persons in the labour force in the total population
(D) percentage of unemployed persons in the labour force

21. According to the PLFS Annual Report for January-December 2025, the Worker Population Ratio in India for persons aged 15 years and above (usual status) was about `HARD`

(A) 48.4 per cent
(B) 52.9 per cent
(C) 57.4 per cent
(D) 61.7 per cent

22. The Ease of Doing Business ranking of countries was published by the World Bank in a report that was discontinued in 2021. That report was titled `RAS PRE 2021, 2024`

(A) World Development Report
(B) Doing Business
(C) Global Competitiveness Report
(D) Business Ready Report

23. Consider the following statements about the Human Development Index:
I. It uses life expectancy at birth as the health indicator.
II. Education is measured by mean years of schooling and expected years of schooling.
III. Since 2010 the index is computed as the arithmetic mean of the three dimension indices.
Which of the statements given above are correct? `RAS PRE 2024`

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

24. Consider the following statements about UNDP's composite indices:
I. The Inequality-adjusted HDI equals the HDI when there is no inequality across people.
II. The Gender Development Index is the ratio of the female HDI to the male HDI.
III. A higher value of the Gender Inequality Index indicates better performance.
Which of the statements given above are correct? HARD

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

25. Consider the following statements about the World Happiness Report:
I. It is based on data from the Gallup World Poll.
II. India's rank improved from the 2025 edition to the 2026 edition.
III. Finland has topped the report in every edition since 2018.
Which of the statements given above are correct? RAS PRE 2021, 2024

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

26. Consider the following statements about the Multidimensional Poverty Index:
I. The Global MPI uses three dimensions and ten indicators.
II. NITI Aayog's National MPI adds maternal health and bank account as indicators.
III. A person is identified as multidimensionally poor if deprived in at least one-half of the weighted indicators.
Which of the statements given above are correct? HARD

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

27. Consider the following statements about poverty estimation in India:
I. The Y.K. Alagh Task Force of 1979 fixed calorie norms of 2400 kcal for rural and 2100 kcal for urban areas.
II. The Lakdawala Committee recommended state-specific poverty lines.
III. The Rangarajan Committee estimated a lower poverty ratio for 2011-12 than the Tendulkar Committee.
Which of the statements given above are correct?

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

28. Consider the following statements about the Lorenz curve and the Gini coefficient:
I. The further the Lorenz curve lies from the line of equality, the greater is the inequality.
II. A Gini coefficient of zero indicates perfect equality.
III. The Gini coefficient can exceed one when inequality is extreme.
Which of the statements given above are correct?

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

29. Consider the following statements about types of unemployment:
I. Disguised unemployment occurs when the marginal productivity of an additional worker is nearly zero.
II. Frictional unemployment arises during the time taken to move between jobs.
III. Cyclical unemployment is characteristic of Indian agriculture.
Which of the statements given above are correct?

- (A) I and II only
- (B) II and III only
- (C) I and III only
- (D) I, II and III

30. Consider the following statements about the Periodic Labour Force Survey:
I. It is conducted by the National Statistical Office.
II. It replaced the quinquennial Employment-Unemployment Surveys of the NSSO.
III. It reports estimates on Usual Status and Current Weekly Status.
Which of the statements given above are correct?

- (A) I and II only
- (B) II and III only
- (C) I and III only
- (D) I, II and III

31. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Index) List-II (Publishing organisation)
A. Human Development Index 1. World Intellectual Property Organization
B. Global Hunger Index 2. UNDP
C. Global Innovation Index 3. World Economic Forum
D. Global Competitiveness Report 4. Concern Worldwide and Welthungerhilfe

- (A) A-2, B-4, C-1, D-3
- (B) A-2, B-1, C-4, D-3
- (C) A-4, B-2, C-1, D-3
- (D) A-2, B-4, C-3, D-1

32. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Committee/Task Force) List-II (Year of report)
A. Dandekar and Rath study 1. 1993
B. Y.K. Alagh Task Force 2. 2009
C. D.T. Lakdawala Committee 3. 1971
D. Suresh Tendulkar Committee 4. 1979

- (A) A-3, B-4, C-1, D-2
- (B) A-4, B-3, C-1, D-2
- (C) A-3, B-1, C-4, D-2
- (D) A-3, B-4, C-2, D-1

33. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Index) List-II (A key component)
A. Physical Quality of Life Index 1. Adolescent birth rate
B. Gender Inequality Index 2. Infant mortality rate
C. Human Development Index 3. Child wasting
D. Global Hunger Index 4. Expected years of schooling HARD

(A) A-2, B-1, C-4, D-3
(B) A-1, B-2, C-4, D-3
(C) A-2, B-4, C-1, D-3
(D) A-3, B-1, C-4, D-2

34. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Type of unemployment) List-II (Description)
A. Structural 1. Unemployment during the period of job search
B. Frictional 2. Mismatch between skills available and skills demanded
C. Seasonal 3. Employment available only in certain parts of the year
D. Disguised 4. More persons employed than are actually required

(A) A-1, B-2, C-3, D-4
(B) A-2, B-1, C-3, D-4
(C) A-2, B-3, C-1, D-4
(D) A-2, B-1, C-4, D-3

35. Which one of the following is NOT a component of the Human Development Index? RAS PRE 2024

(A) Life expectancy at birth
(B) Mean years of schooling
(C) Gross National Income per capita
(D) Infant mortality rate

36. Which one of the following pairs of an index and its publishing organisation is NOT correctly matched?

(A) World Happiness Report — Gallup World Poll data
(B) Global Innovation Index — World Intellectual Property Organization
(C) Multidimensional Poverty Index — International Monetary Fund
(D) SDG India Index — NITI Aayog

37. Which one of the following is NOT an indicator used in NITI Aayog's National Multidimensional Poverty Index? HARD

(A) Cooking fuel
(B) Bank account
(C) Years of schooling
(D) Per capita income

38. Which one of the following statements about employment indicators is NOT correct?

(A) The Labour Force Participation Rate includes both employed and unemployed persons in the numerator
(B) The Worker Population Ratio takes total population in the denominator
(C) The Unemployment Rate is expressed as a percentage of the total population
(D) The Usual Status approach uses a reference period of 365 days

39. Arrange the following in correct chronological order of their first introduction:
I. Human Development Index
II. Physical Quality of Life Index
III. Millennium Development Goals
IV. Global Multidimensional Poverty Index HARD

(A) II, I, III, IV
(B) I, II, III, IV
(C) II, III, I, IV
(D) II, I, IV, III

40. Arrange the following poverty-related committees in correct chronological order of their reports:
I. Suresh Tendulkar Committee
II. D.T. Lakdawala Committee
III. C. Rangarajan Expert Group
IV. Y.K. Alagh Task Force

(A) IV, II, I, III
(B) II, IV, I, III
(C) IV, I, II, III
(D) IV, II, III, I

IE03

Money, Banking, RBI, Monetary Policy and Inflation

45 questions · 30 fact-sheet points

Must-know facts

1. Reserve Bank of India was established on 1 April 1935 under the RBI Act, 1934, on the recommendation of the Hilton Young Commission (Royal Commission on Indian Currency and Finance, 1926). Nationalised on 1 January 1949.
2. RBI's original headquarters was Kolkata; shifted permanently to Mumbai in 1937. First Governor Sir Osborne Smith; first Indian Governor C.D. Deshmukh. Sanjay Malhotra took charge as the 26th Governor on 11 December 2024.
3. RBI issues all currency notes except the Re 1 note, which is issued by the Government of India and bears the signature of the Finance Secretary. Coins are also minted by the Government of India.
4. Minimum Reserve System, in force since 1957: RBI must hold assets worth at least Rs 200 crore, of which at least Rs 115 crore must be in gold.
5. Money supply: M0 (reserve money) = currency in circulation + bankers' deposits with RBI + other deposits with RBI. M1 = currency with the public + demand deposits + other deposits with RBI. M2 = M1 + post office savings deposits. M3 (broad money) = M1 + time deposits with the banking system. M4 = M3 + total post office deposits (excluding NSCs). Liquidity: M1 > M2 > M3 > M4.
6. CRR is prescribed under Section 42(1) of the RBI Act, 1934; it is kept in cash with the RBI and earns no interest. SLR is prescribed under Section 24 of the Banking Regulation Act, 1949; it is held by the bank itself in cash, gold or unencumbered approved securities, with a statutory maximum of 40%.
7. Policy rates as of the August 2026 MPC review: repo rate 5.25%, Standing Deposit Facility 5.00%, Marginal Standing Facility 5.50%, Bank Rate 5.50%, CRR 3.00%, SLR 18.00%; stance neutral.
8. The Standing Deposit Facility, introduced in April 2022, is uncollateralised and forms the floor of the LAF corridor; the MSF is collateralised and forms the ceiling. The corridor is symmetric at 25 basis points around the repo rate.
9. The fixed-rate reverse repo is no longer the operational floor; the SDF replaced it in April 2022.
10. Monetary Policy Committee: constituted under Section 45ZB of the RBI Act (inserted by the Finance Act, 2016). Six members — the Governor (ex officio Chairperson), the Deputy Governor in charge of monetary policy, one officer nominated by the Central Board, and three external members appointed by the Central Government for four years (not eligible for re-appointment). Quorum four; the Governor has a casting vote in case of a tie; it must meet at least four times a year.
11. Inflation target: 4% CPI (Combined) with a tolerance band of +/- 2 per cent, i.e. 2% to 6%, notified by the Central Government under Section 45ZA. First notified for 5 August 2016 to 31 March 2021, renewed for 2021-2026, and retained for 1 April 2026 to 31 March 2031.
12. A 'failure' of monetary policy is deemed to occur if average inflation is outside the 2-6% band for three consecutive quarters; the RBI must then report to the Central Government.
13. Quantitative (general) credit control tools: CRR, SLR, repo, SDF, MSF, Bank Rate, Open Market Operations. Qualitative (selective) tools: margin requirements, credit rationing, moral suasion, direct action, regulation of consumer credit.
14. Headline inflation covers all items in the index, including food and fuel; core inflation is headline inflation excluding food and fuel, which are the volatile components.
15. Demand-pull inflation arises when aggregate demand exceeds aggregate supply — 'too much money chasing too few goods'. Cost-push inflation arises from a rise in input costs such as wages, fuel or raw materials, and can produce stagflation.
16. Deflation is a sustained fall in the general price level; disinflation is a fall in the rate of inflation while it remains positive; reflation is a deliberate policy-induced price rise after deflation; stagflation is high

inflation combined with stagnant output and high unemployment.

17. The Phillips curve, given by A.W. Phillips (1958), shows an inverse short-run relationship between the rate of inflation and the rate of unemployment.
18. Consumer Price Index (Combined) is the headline inflation measure in India; the new CPI series with base year 2024=100 was released on 12 February 2026, replacing base 2012=100. Weights come from the Household Consumption Expenditure Survey 2023-24; items rose from 299 to 358 and groups from 6 to 12. CPI is compiled by the NSO, MoSPI.
19. Wholesale Price Index is compiled by the Office of the Economic Adviser, Department for Promotion of Industry and Internal Trade (DPIIT). Base year revised from 2011-12 to 2022-23, with the new WPI series and the Producer Price Index launched on 15 June 2026; the basket expanded from 697 to 957 items. WPI excludes services; the PPI covers them.
20. CPI-IW is compiled by the Labour Bureau (base 2016=100) and is used for indexing dearness allowance; CPI-AL and CPI-RL are also compiled by the Labour Bureau.
21. GDP deflator is the broadest measure of inflation as it covers all goods and services and has no fixed basket.
22. Bank nationalisation: 14 banks with deposits of Rs 50 crore or more on 19 July 1969; 6 more banks with deposits of Rs 200 crore or more on 15 April 1980. Imperial Bank of India became the State Bank of India in 1955.
23. Regional Rural Banks were set up under an Ordinance of 26 September 1975 (RRB Act, 1976) on the recommendation of the Narasimham Working Group; the first RRB was Prathama Bank, Moradabad, on 2 October 1975. Shareholding: Centre 50%, sponsor bank 35%, State 15%. Under 'One State One RRB', the number of RRBs was reduced to 28 from 1 May 2025.
24. NABARD was set up on 12 July 1982 on the recommendation of the B. Sivaraman Committee (CRAFICARD); SIDBI in 1990; EXIM Bank in 1982.
25. Payments banks may accept deposits up to Rs 2 lakh per individual customer but cannot lend or issue credit cards; small finance banks must lend 40% (raised to 75%) of adjusted net bank credit to priority sectors, with at least 50% of loans up to Rs 25 lakh. Both were recommended by the Nachiket Mor Committee (2013).
26. Priority Sector Lending target for domestic scheduled commercial banks: 40% of Adjusted Net Bank Credit, with sub-targets of 18% for agriculture, 7.5% for micro enterprises and 12% for weaker sections.
27. An asset becomes a Non-Performing Asset when interest or instalment of principal remains overdue for more than 90 days. Deposit insurance under DICGC is Rs 5 lakh per depositor per bank (raised from Rs 1 lakh in February 2020).
28. Insolvency and Bankruptcy Code, 2016: NCLT is the adjudicating authority for corporate insolvency and the DRT for individuals and partnership firms; the Insolvency and Bankruptcy Board of India was set up on 1 October 2016. The corporate insolvency resolution process must be completed within 330 days including litigation.
29. SEBI was set up as a non-statutory body in 1988 and made statutory by the SEBI Act, 1992 (headquarters Mumbai). IRDAI was constituted under the IRDA Act, 1999 (headquarters Hyderabad).
30. Financial inclusion: PMJDY launched 28 August 2014 (zero-balance account, RuPay card with Rs 2 lakh accident cover for cards issued after 28 August 2018, overdraft up to Rs 10,000). PMMY (MUDRA) launched 8 April 2015 — Shishu up to Rs 50,000, Kishore Rs 50,000 to Rs 5 lakh, Tarun Rs 5-10 lakh, Tarun Plus Rs 10-20 lakh. UPI was launched by NPCI in April 2016.

1. The Reserve Bank of India was established on

(A) 1 April 1935
(B) 1 January 1949
(C) 1 April 1934
(D) 15 August 1947

2. The establishment of the Reserve Bank of India was recommended by the

(A) Chamberlain Commission
(B) Hilton Young Commission
(C) Fowler Committee
(D) Sivaraman Committee

3. The Reserve Bank of India was nationalised with effect from

(A) 15 August 1947
(B) 26 January 1950
(C) 1 January 1949
(D) 19 July 1969

4. In India, the one rupee note is issued by

(A) the Reserve Bank of India
(B) the Government of India
(C) the State Bank of India
(D) the Security Printing and Minting Corporation

5. Under the Minimum Reserve System followed by the Reserve Bank of India, the minimum value of gold that must be held as backing for note issue is HARD

(A) Rs 85 crore
(B) Rs 115 crore
(C) Rs 200 crore
(D) Rs 400 crore

6. Reserve money (M0) consists of currency in circulation, other deposits with the RBI and

(A) time deposits with the banking system
(B) bankers' deposits with the RBI
(C) savings deposits with post offices
(D) demand deposits with commercial banks

7. Broad money (M3) in India is defined as

(A) M1 plus savings deposits with post office savings banks
(B) M1 plus time deposits with the banking system
(C) M0 plus demand deposits with the banking system
(D) M2 plus all deposits with post office savings banks

8. The Cash Reserve Ratio is the proportion of a bank's net demand and time liabilities that it must maintain

(A) in cash with itself in its own vaults
(B) as a deposit with the Reserve Bank of India
(C) in the form of unencumbered government securities
(D) as a deposit with the State Bank of India

9. The Statutory Liquidity Ratio in India is prescribed under HARD

(A) Section 42(1) of the Reserve Bank of India Act, 1934
(B) Section 24 of the Banking Regulation Act, 1949
(C) Section 45ZB of the Reserve Bank of India Act, 1934
(D) the Payment and Settlement Systems Act, 2007

10. What was the policy repo rate of the Reserve Bank of India following the Monetary Policy Committee review of August 2026?

(A) 5.00 per cent
(B) 5.25 per cent
(C) 5.50 per cent
(D) 6.00 per cent

11. The Standing Deposit Facility introduced by the Reserve Bank of India in April 2022

(A) allows banks to borrow overnight against government securities
(B) allows the RBI to absorb liquidity from banks without offering collateral
(C) is the ceiling of the liquidity adjustment facility corridor
(D) replaced the marginal standing facility

12. The Monetary Policy Committee of the Reserve Bank of India consists of

(A) four members, of whom two are from the RBI
(B) six members, of whom three are from the RBI
(C) six members, all appointed by the Central Government
(D) five members, of whom two are external experts

13. Under India's flexible inflation targeting framework, the inflation target and tolerance band notified by the Central Government are `RAS PRE 2023, 2024`

(A) 2 per cent with a band of +/- 2 per cent
(B) 4 per cent with a band of +/- 2 per cent
(C) 5 per cent with a band of +/- 1 per cent
(D) 6 per cent with a band of +/- 2 per cent

14. Core inflation is defined as `RAS PRE 2016, 2024`

(A) inflation measured by the Wholesale Price Index only
(B) headline inflation excluding food and fuel
(C) inflation in the prices of essential commodities only
(D) the difference between the CPI and the WPI inflation rates

15. Inflation caused by an increase in aggregate demand beyond the economy's capacity to produce is called `RAS PRE 2018`

(A) cost-push inflation
(B) demand-pull inflation
(C) structural inflation
(D) imported inflation

16. The Phillips curve depicts the relationship between

(A) inflation and the rate of interest
(B) inflation and the rate of unemployment
(C) money supply and the price level
(D) inflation and the exchange rate

17. The new Consumer Price Index series released by MoSPI in February 2026 uses which base year?

(A) 2011-12
(B) 2016
(C) 2022-23
(D) 2024

18. The Wholesale Price Index in India is compiled by the

(A) National Statistical Office, MoSPI
(B) Labour Bureau, Ministry of Labour and Employment
(C) Office of the Economic Adviser, DPIIT
(D) Reserve Bank of India

19. How many commercial banks were nationalised in India on 19 July 1969?

(A) 6
(B) 12
(C) 14
(D) 20

20. The first Regional Rural Bank established in India on 2 October 1975 was

(A) Gramin Bank of Aryavart
(B) Prathama Bank
(C) Kashi Gomti Samyut Gramin Bank
(D) Baroda Rajasthan Kshetriya Gramin Bank

21. An advance is classified as a Non-Performing Asset when interest or instalment of principal remains overdue for a period of more than

(A) 30 days
(B) 60 days
(C) 90 days
(D) 180 days

22. Under the Insolvency and Bankruptcy Code, 2016, the adjudicating authority for insolvency of companies is the

(A) Debt Recovery Tribunal
(B) National Company Law Tribunal
(C) Securities Appellate Tribunal
(D) National Financial Reporting Authority

23. The Unified Payments Interface was launched in 2016 by

(A) the Reserve Bank of India
(B) the National Payments Corporation of India
(C) the Ministry of Electronics and Information Technology
(D) the Indian Banks' Association

24. The Priority Sector Lending target for domestic scheduled commercial banks is what percentage of Adjusted Net Bank Credit? HARD

(A) 18 per cent (B) 25 per cent
(C) 40 per cent (D) 75 per cent

25. Consider the following statements about the functions of the Reserve Bank of India:
I. It acts as banker to the Central and State Governments.
II. It is the lender of last resort to commercial banks.
III. It regulates the securities market in India.
Which of the statements given above are correct?

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

26. Consider the following statements about the Cash Reserve Ratio and the Statutory Liquidity Ratio:
I. CRR is maintained with the RBI while SLR is maintained by the bank itself.
II. Banks earn interest on the CRR balances kept with the RBI.
III. SLR can be maintained in the form of gold and unencumbered approved securities.
Which of the statements given above are correct?

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

27. Consider the following statements about the liquidity adjustment facility:
I. The repo rate is the rate at which the RBI lends to banks against government securities.
II. The Marginal Standing Facility rate forms the ceiling of the corridor.
III. The Standing Deposit Facility requires the RBI to provide collateral to banks.
Which of the statements given above are correct? HARD

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

28. Consider the following statements about the Monetary Policy Committee:
I. It was constituted under the Reserve Bank of India Act as amended by the Finance Act, 2016.
II. External members hold office for a term of four years and are eligible for re-appointment.
III. In the event of a tie, the Governor has a second or casting vote.
Which of the statements given above are correct?

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

29. Consider the following statements about India's monetary policy framework:
I. The inflation target is notified by the Central Government in consultation with the Reserve Bank.
II. The target is set in terms of the Consumer Price Index (Combined).
III. Failure is deemed to occur if average inflation lies outside the tolerance band for three consecutive quarters.
Which of the statements given above are correct? `RAS PRE 2024`

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

30. Consider the following statements about price indices in India:
I. The Wholesale Price Index does not cover services.
II. Headline retail inflation is measured by the Consumer Price Index (Combined).
III. CPI for Industrial Workers is compiled by the National Statistical Office.
Which of the statements given above are correct? `RAS PRE 2018`

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

31. Consider the following statements about measures of money supply in India:
I. M1 is called narrow money.
II. M3 is more liquid than M1.
III. M4 includes deposits with post office savings banks excluding National Savings Certificates.
Which of the statements given above are correct?

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

32. Consider the following statements about the Pradhan Mantri Jan Dhan Yojana:
I. It was launched on 28 August 2014.
II. Accounts can be opened with zero balance.
III. It provides an overdraft facility of up to Rs 10,000.
Which of the statements given above are correct?

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

33. Match List-I with List-II and select the correct answer using the codes given below (rates as on the August 2026 monetary policy review):
List-I (Rate) List-II (Value)
A. Repo rate 1. 3.00 per cent
B. Standing Deposit Facility rate 2. 5.50 per cent
C. Marginal Standing Facility rate 3. 5.00 per cent
D. Cash Reserve Ratio 4. 5.25 per cent

(A) A-4, B-3, C-2, D-1
(B) A-2, B-3, C-4, D-1
(C) A-4, B-1, C-2, D-3
(D) A-3, B-4, C-2, D-1

34. Match List-I with List-II and select the correct answer using the codes given below:

List-I (Term) List-II (Meaning)

A. Deflation 1. A fall in the rate of inflation while prices still rise

B. Disinflation 2. High inflation combined with stagnant output

C. Stagflation 3. A sustained fall in the general price level

D. Reflation 4. A deliberate policy-induced rise in prices after deflation

- (A) A-1, B-3, C-2, D-4
- (B) A-3, B-1, C-2, D-4
- (C) A-3, B-2, C-1, D-4
- (D) A-3, B-1, C-4, D-2

35. Match List-I with List-II and select the correct answer using the codes given below:

List-I (Institution) List-II (Year of establishment)

A. NABARD 1. 1935

B. SEBI (statutory status) 2. 1999

C. Reserve Bank of India 3. 1982

D. IRDAI 4. 1992

- (A) A-3, B-4, C-1, D-2
- (B) A-3, B-1, C-4, D-2
- (C) A-1, B-4, C-3, D-2
- (D) A-3, B-4, C-2, D-1

36. Match List-I with List-II and select the correct answer using the codes given below:

List-I (Measure of money) List-II (Composition)

A. M0 1. M1 plus time deposits with the banking system

B. M1 2. Currency in circulation plus bankers' deposits with RBI plus other deposits with RBI

C. M2 3. Currency with the public plus demand deposits plus other deposits with RBI

D. M3 4. M1 plus savings deposits with post office savings banks HARD

- (A) A-2, B-3, C-4, D-1
- (B) A-3, B-2, C-4, D-1
- (C) A-2, B-4, C-3, D-1
- (D) A-2, B-3, C-1, D-4

37. Match List-I with List-II and select the correct answer using the codes given below:

List-I (Legislation) List-II (Subject)

A. Banking Regulation Act, 1949 1. Recovery of secured debts without court intervention

B. SARFAESI Act, 2002 2. Umbrella framework for retail payment systems

C. Insolvency and Bankruptcy Code, 2016 3. Statutory Liquidity Ratio

D. Payment and Settlement Systems Act, 2007 4. Corporate insolvency resolution process

- (A) A-3, B-1, C-4, D-2
- (B) A-1, B-3, C-4, D-2
- (C) A-3, B-4, C-1, D-2
- (D) A-3, B-1, C-2, D-4

38. Match List-I with List-II and select the correct answer using the codes given below:
List-I (MUDRA loan category) List-II (Loan amount)
A. Shishu 1. Above Rs 5 lakh and up to Rs 10 lakh
B. Kishore 2. Above Rs 10 lakh and up to Rs 20 lakh
C. Tarun 3. Up to Rs 50,000
D. Tarun Plus 4. Above Rs 50,000 and up to Rs 5 lakh

(A) A-3, B-4, C-1, D-2
(B) A-4, B-3, C-1, D-2
(C) A-3, B-1, C-4, D-2
(D) A-3, B-4, C-2, D-1

39. Which one of the following is NOT a function of the Reserve Bank of India?

(A) Issue of currency notes
(B) Management of public debt of the Central Government
(C) Regulation of the insurance sector
(D) Custodian of foreign exchange reserves

40. Which one of the following pairs relating to monetary policy rates is NOT correctly matched? HARD

(A) Repo rate — rate at which the RBI lends to banks against government securities
(B) Bank Rate — rate at which the RBI rediscounts bills without collateral
(C) Reverse repo rate — rate at which banks lend to the RBI against government securities
(D) Marginal Standing Facility — the floor of the liquidity adjustment facility corridor

41. Which one of the following is NOT a quantitative instrument of monetary policy?

(A) Open market operations
(B) Cash Reserve Ratio
(C) Moral suasion
(D) Bank Rate

42. Which one of the following statements about inflation is NOT correct? RAS PRE 2023

(A) Cost-push inflation can occur even when aggregate demand is stagnant
(B) Core inflation excludes food and fuel from the headline index
(C) Deflation and disinflation refer to the same phenomenon
(D) A rise in international crude oil prices can generate imported inflation

43. Which one of the following activities is NOT permitted to a payments bank in India?

(A) Accepting demand deposits up to Rs 2 lakh per customer
(B) Issuing debit cards
(C) Issuing credit cards and granting loans
(D) Distributing mutual fund and insurance products as an agent

44. Arrange the following events in correct chronological order:
I. Nationalisation of 14 commercial banks
II. Establishment of the Reserve Bank of India
III. Formation of the State Bank of India
IV. Nationalisation of the Reserve Bank of India

(A) II, IV, III, I
(B) II, III, IV, I
(C) IV, II, III, I
(D) II, IV, I, III

45. Given below are two statements, one labelled as Assertion (A) and the other as Reason (R):

Assertion (A): Cost-push inflation can be accompanied by rising unemployment.

Reason (R): A rise in input costs shifts the aggregate supply curve leftward, reducing output while raising the price level.

Select the correct answer using the codes given below: RAS PRE 2016, 2018

(A) Both (A) and (R) are true and (R) is the correct explanation of (A)
(B) Both (A) and (R) are true but (R) is not the correct explanation of (A)
(C) (A) is true but (R) is false
(D) (A) is false but (R) is true

IE04

Public Finance: Budget, Taxation, GST, Fiscal Policy, FRBM

45 questions · 30 fact-sheet points

Must-know facts

1. Fiscal deficit = Total expenditure - (Revenue receipts + Non-debt capital receipts); it equals the government's total borrowing requirement.
2. Revenue deficit = Revenue expenditure - Revenue receipts. Primary deficit = Fiscal deficit - Interest payments.
3. Effective revenue deficit = Revenue deficit - Grants for creation of capital assets; concept introduced in the Union Budget 2011-12, given statutory form by the FRBM (Amendment) Act, 2012.
4. Monetised deficit = net RBI credit to the Centre; ad-hoc treasury bills were discontinued from 1 April 1997 (WMA system since).
5. Article 112 - Annual Financial Statement; Article 110 - Money Bill; Article 113 - Demands for Grants; Article 114 - Appropriation Bill; Article 116 - Vote on Account.
6. Article 265 - no tax without authority of law; Article 266 - Consolidated Fund and Public Account; Article 267 - Contingency Fund of India (Rs 30,000 crore corpus, at the disposal of the President).
7. Expenditure 'charged' on the Consolidated Fund of India (President's emoluments, Speaker/Deputy Speaker salaries, SC and CAG salaries, debt charges) is not submitted to the vote of Parliament but may be discussed.
8. Budget presented on 1 February since 2017-18; Railway Budget merged with the general Budget and plan/non-plan classification abolished from 2017-18.
9. Cut motions: Policy Cut (reduce to Re 1), Economy Cut (reduce by a specified amount), Token Cut (reduce by Rs 100). Guillotine ends discussion on Demands for Grants.
10. FRBM Act enacted 2003, in force 5 July 2004. FRBM (Amendment) Act, 2018: fiscal deficit 3% of GDP by 31 March 2021, Central Government debt 40% of GDP by 2024-25, general government debt 60%.
11. FRBM escape clause allows deviation up to 0.5 percentage point from the fiscal deficit target (national security, war, calamity, farm collapse, structural reform, sharp output decline).
12. FRBM Review Committee = N.K. Singh Committee (constituted May 2016, report January 2017): debt-to-GDP as the primary anchor (60% general govt = 40% Centre + 20% States), fiscal deficit 2.5% by 2022-23, and a Fiscal Council.
13. Union Budget 2026-27 (presented 1 February 2026): fiscal deficit 4.3% of GDP (RE 2025-26: 4.4%); Centre's debt anchor 50 +/- 1 per cent of GDP by 2030-31.
14. GST introduced by the Constitution (101st Amendment) Act, 2016 (assented 8 September 2016); introduced in Parliament as the 122nd Amendment Bill, 2014; rolled out 1 July 2017. Assam ratified first (12 August 2016); J&K adopted last (8 July 2017).
15. Article 246A - concurrent power to legislate on GST; Article 269A - IGST on inter-State supply, levied and collected by the Centre and apportioned; Article 279A - GST Council; Article 366(12A) defines GST.
16. GST Council: Chairperson = Union Finance Minister; Union MoS (Finance/Revenue); one Minister from each State; Vice-Chairperson chosen from among State Ministers. Quorum = one-half of total members.
17. GST Council decisions need three-fourths of the weighted votes of members present and voting; Centre's vote = one-third, all States together = two-thirds of total votes cast.
18. GST types: CGST + SGST on intra-State supply; CGST + UTGST in UTs without legislature; IGST (= CGST + SGST rate) on inter-State supply and imports (with basic customs duty).

19. Outside GST: alcoholic liquor for human consumption (permanently, by Article 366(12A)); petroleum crude, petrol, high speed diesel, natural gas and ATF (till a date notified by the GST Council); electricity and stamp duty. Tobacco is inside GST plus central excise.
20. 56th GST Council meeting (3 September 2025): 12% and 28% slabs abolished from 22 September 2025; principal slabs now 5% and 18%, with a 40% rate on demerit/sin goods; special rates 0.25% (rough diamonds), 1.5% (cut and polished diamonds), 3% (gold and silver) retained.
21. Input Tax Credit: IGST credit set off first against IGST, then CGST, then SGST; CGST credit cannot be set off against SGST and vice versa; composition dealers get no ITC and cannot make inter-State outward supplies.
22. GST composition scheme limit: Rs 1.5 crore turnover (Rs 75 lakh in special category States); 1% for traders/manufacturers, 5% for restaurants, 6% for service providers up to Rs 50 lakh. E-way bill required above Rs 50,000 consignment value.
23. GST (Compensation to States) Act, 2017: 14% assumed annual revenue growth over base year 2015-16, guaranteed for five years to 30 June 2022; cess levy extended to 31 March 2026 to service back-to-back loans.
24. GSTN is now wholly government-owned - Centre 50%, States and UTs 50% (converted from majority private shareholding in 2018).
25. Tax buoyancy = % change in tax revenue / % change in GDP; tax elasticity nets out discretionary rate and base changes. Laffer curve links tax rates to revenue.
26. Corporation tax: 22% concessional rate for existing domestic companies (Sec 115BAA) and 15% for new domestic manufacturing companies (Sec 115BAB), from September 2019. The Income-tax Act, 2025 replaces the 1961 Act from 1 April 2026.
27. Disinvestment is handled by DIPAM (Department of Investment and Public Asset Management, renamed from the Department of Disinvestment in 2016). National Monetisation Pipeline (August 2021, NITI Aayog): about Rs 6 lakh crore of brownfield assets, FY2022-FY2025; ownership stays with government.
28. Black money: Prevention of Money Laundering Act, 2002 (in force 1 July 2005); Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015; Benami Transactions (Prohibition) Amendment Act, 2016; SIT on black money (2014) headed by Justice M.B. Shah.
29. Direct Benefit Transfer launched 1 January 2013; PAHAL (DBTL) for LPG subsidy re-launched nationwide 1 January 2015 - recognised by Guinness World Records as the world's largest cash transfer programme.
30. Kelkar Task Forces on direct and indirect taxes (2002) first proposed a national GST; the Empowered Committee of State Finance Ministers on GST was first chaired by Asim Dasgupta.

1. Fiscal deficit is best defined as:

(A) Revenue expenditure minus revenue receipts
(B) Fiscal deficit of the previous year minus interest payments
(C) Total expenditure minus total receipts excluding borrowings
(D) Revenue deficit minus grants for the creation of capital assets

2. Primary deficit is obtained by deducting which of the following from the fiscal deficit?

(A) Interest payments
(B) Interest receipts
(C) Non-debt capital receipts
(D) Grants for creation of capital assets

3. Effective revenue deficit is equal to:

(A) Revenue deficit minus interest payments
(B) Fiscal deficit minus revenue deficit
(C) Revenue deficit plus primary deficit
(D) Revenue deficit minus grants for the creation of capital assets

4. In a given year a government has revenue receipts of Rs 20 lakh crore, revenue expenditure of Rs 25 lakh crore, non-debt capital receipts of Rs 1 lakh crore and capital expenditure of Rs 11 lakh crore. Its fiscal deficit is:

(A) Rs 5 lakh crore (B) Rs 15 lakh crore
(C) Rs 10 lakh crore (D) Rs 16 lakh crore

5. Consider the following statements:
I. Fiscal deficit equals the total borrowing requirement of the government.
II. A zero primary deficit means the government is borrowing only to meet its interest payments.
III. Revenue deficit represents dis-saving on the government account.
Which of the statements given above are correct?

(A) I, II and III
(B) I and II only
(C) II and III only
(D) I and III only

6. Consider the following statements about the Union Budget:
I. The Annual Financial Statement is laid before both Houses of Parliament under Article 112.
II. Expenditure charged on the Consolidated Fund of India is not submitted to the vote of Parliament.
III. An amendment may be moved to the Appropriation Bill to vary the amount of a grant already voted.
Which of the statements given above are correct?

(A) I and III only
(B) II and III only
(C) I and II only
(D) I, II and III

7. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Article) List-II (Subject)
A. Article 110 1. Contingency Fund of India
B. Article 114 2. Definition of a Money Bill
C. Article 266 3. Appropriation Bill
D. Article 267 4. Consolidated Fund of India

(A) A-2, B-3, C-1, D-4
(B) A-2, B-3, C-4, D-1
(C) A-3, B-2, C-4, D-1
(D) A-2, B-4, C-3, D-1

8. A 'vote on account' enables the Government of India to:

(A) Withdraw money from the Contingency Fund of India without parliamentary sanction
(B) Levy a new tax pending the passage of the Finance Bill
(C) Transfer funds from one demand for grants to another
(D) Draw money from the Consolidated Fund of India for a part of the financial year pending the passage of the Appropriation Bill

9. Which one of the following is NOT a revenue receipt of the Union Government?

(A) Corporation tax
(B) Dividends and profits from public sector undertakings
(C) Recovery of loans from State Governments
(D) Interest receipts on loans given by the Centre

10. Which one of the following is treated as capital expenditure in the Union Budget?

(A) Repayment of the principal of public debt
(B) Interest payments on public debt
(C) Food and fertiliser subsidies
(D) Pension payments

11. Consider the following statements about the Union Budget:
I. Since 2017-18 the Budget has been presented on 1 February.
II. The Railway Budget was merged with the general Budget from 2017-18.
III. The Economic Survey is a document mandated by the FRBM Act, 2003.
Which of the statements given above are correct?

(A) I, II and III
(B) II and III only
(C) I and III only
(D) I and II only

12. The Fiscal Responsibility and Budget Management Act was enacted in the year: RAS PRE 2023

(A) 2000
(B) 2003
(C) 2005
(D) 2008

13. The FRBM Review Committee which recommended the debt-to-GDP ratio as the primary fiscal anchor was chaired by:

(A) Vijay Kelkar
(B) Bimal Jalan
(C) N.K. Singh
(D) Y.V. Reddy

14. Consider the following recommendations of the FRBM Review Committee (2017):
I. A general government debt-to-GDP ratio of 60 per cent, comprising 40 per cent for the Centre and 20 per cent for the States.
II. Fiscal deficit as the operational target, to be brought down to 2.5 per cent of GDP by 2022-23.
III. Creation of a Fiscal Council.
Which of the above are correct? HARD

(A) I, II and III
(B) I and II only
(C) II and III only
(D) I and III only

15. Under the FRBM framework as amended in 2018, the 'escape clause' permits a deviation from the fiscal deficit target of up to: HARD

(A) 0.25 percentage point
(B) 0.5 percentage point
(C) 1 percentage point
(D) 2 percentage points

16. The FRBM (Amendment) Act, 2018 fixed a target for the debt of the Central Government of:

(A) 60 per cent of GDP by 2024-25
(B) 50 per cent of GDP by 2024-25
(C) 20 per cent of GDP by 2024-25
(D) 40 per cent of GDP by 2024-25

17. As per the Union Budget 2026-27, the fiscal deficit target for the year 2026-27 is:

(A) 4.3 per cent of GDP
(B) 4.4 per cent of GDP
(C) 4.9 per cent of GDP
(D) 3.0 per cent of GDP

18. The Union Government's medium-term fiscal anchor, announced from the Budget 2025-26 onwards, is to bring the Centre's debt to: HARD

(A) 40 per cent of GDP by 2030-31
(B) 60 per cent of GDP by 2030-31
(C) 50 +/- 1 per cent of GDP by 2030-31
(D) 55 per cent of GDP by 2028-29

19. Union excise duty continues to be levied, in addition to or instead of GST, on which of the following?

(A) Coal
(B) Cement
(C) Iron ore
(D) Petrol, high speed diesel, aviation turbine fuel, natural gas and crude petroleum

20. Tax buoyancy measures:

(A) The ratio of direct to indirect tax revenue
(B) The percentage change in tax revenue divided by the percentage change in GDP
(C) The ratio of tax revenue to total revenue receipts
(D) The change in tax revenue caused by a change in the tax rate alone

21. The Goods and Services Tax was introduced in India by which Constitutional Amendment Act? RAS PRE 2018

(A) The Constitution (101st Amendment) Act, 2016
(B) The Constitution (103rd Amendment) Act, 2019
(C) The Constitution (100th Amendment) Act, 2015
(D) The Constitution (122nd Amendment) Act, 2014

22. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Article) List-II (Subject)
A. Article 246A 1. Goods and Services Tax Council
B. Article 269A 2. Concurrent power of the Union and States to levy GST
C. Article 279A 3. Levy and apportionment of GST on inter-State supply
D. Article 366(12A) 4. Definition of goods and services tax

(A) A-2, B-1, C-3, D-4
(B) A-1, B-3, C-2, D-4
(C) A-2, B-3, C-4, D-1
(D) A-2, B-3, C-1, D-4

23. Consider the following statements about the structure of GST:
I. On an intra-State supply, CGST and SGST are levied, each at half the applicable GST rate.
II. The IGST rate on an inter-State supply is equal to the sum of the CGST and SGST rates.
III. IGST is levied and collected by the State of origin.
Which of the statements given above are correct? RAS PRE 2024

(A) I and III only
(B) II and III only
(C) I and II only
(D) I, II and III

24. The Goods and Services Tax Council constituted under Article 279A is chaired by:

(A) The Prime Minister
(B) The Union Finance Minister
(C) The Union Minister of State for Finance
(D) The Chairman, Central Board of Indirect Taxes and Customs

25. Consider the following statements about the Goods and Services Tax Council:
I. Every decision is taken by a majority of not less than three-fourths of the weighted votes of the members present and voting.
II. The vote of the Central Government has a weightage of one-third of the total votes cast.
III. One-half of the total number of members of the Council constitutes the quorum.
Which of the statements given above are correct? HARD

- (A) I and II only
- (B) II and III only
- (C) I and III only
- (D) I, II and III

26. In the Goods and Services Tax Council, the votes of all the State Governments taken together have a weightage of:

- (A) Two-thirds of the total votes cast
- (B) One-third of the total votes cast
- (C) One-half of the total votes cast
- (D) Three-fourths of the total votes cast

27. Which one of the following is NOT kept outside the levy of the Goods and Services Tax? RAS PRE 2018, 2024

- (A) Alcoholic liquor for human consumption
- (B) Tobacco and tobacco products
- (C) Petroleum crude
- (D) Aviation turbine fuel

28. Consider the following statements about Input Tax Credit under GST:
I. Credit of IGST is to be utilised first against IGST liability, and the balance against CGST and SGST.
II. Credit of CGST can be set off against SGST liability.
III. A taxable person paying tax under the composition scheme is not entitled to Input Tax Credit.
Which of the statements given above are correct? RAS PRE 2018, 2024 HARD

- (A) I and II only
- (B) II and III only
- (C) I and III only
- (D) I, II and III

29. The annual turnover limit for opting for the composition scheme under GST, for a trader or manufacturer in most States, is:

- (A) Rs 1.5 crore
- (B) Rs 1 crore
- (C) Rs 75 lakh
- (D) Rs 50 lakh

30. With effect from 22 September 2025, following the 56th meeting of the GST Council, the two principal GST slabs are:

- (A) 5 per cent and 12 per cent
- (B) 12 per cent and 18 per cent
- (C) 18 per cent and 28 per cent
- (D) 5 per cent and 18 per cent

31. Under the revised GST structure notified in 2025, the special higher rate applicable to demerit or 'sin' goods such as pan masala, tobacco and aerated drinks is:

- (A) 28 per cent
- (B) 40 per cent
- (C) 50 per cent
- (D) 60 per cent

32. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Nature of supply) List-II (Tax levied)
A. Supply within a State 1. CGST and SGST
B. Supply from one State to another 2. IGST
C. Supply within a Union Territory without a legislature 3. CGST and UTGST
D. Import of goods into India 4. Basic customs duty and IGST

- (A) A-2, B-1, C-3, D-4
- (B) A-1, B-2, C-4, D-3
- (C) A-1, B-2, C-3, D-4
- (D) A-1, B-3, C-2, D-4

33. Under the GST (Compensation to States) Act, 2017, States were compensated for revenue loss on the assumption of an annual revenue growth rate of:

- (A) 10 per cent
- (B) 12 per cent
- (C) 16 per cent
- (D) 14 per cent

34. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Committee / Body) List-II (Subject)
A. N.K. Singh Committee 1. Review of the FRBM framework
B. Kelkar Task Forces, 2002 2. Reform of direct and indirect taxes
C. Justice M.B. Shah SIT 3. Black money
D. Asim Dasgupta Committee 4. Empowered Committee of State Finance Ministers on GST HARD

- (A) A-1, B-2, C-4, D-3
- (B) A-1, B-2, C-3, D-4
- (C) A-2, B-1, C-3, D-4
- (D) A-1, B-3, C-2, D-4

35. Disinvestment of Central Public Sector Enterprises is handled by:

- (A) The Department of Investment and Public Asset Management
- (B) NITI Aayog
- (C) The Department of Public Enterprises
- (D) The Department of Economic Affairs

36. Consider the following statements about the Goods and Services Tax:
I. Assam was the first State to ratify the Constitution (101st Amendment) Act.
II. GST was rolled out with effect from 1 July 2017.
III. Electricity duty and stamp duty on immovable property have been subsumed in GST.
Which of the statements given above are correct?

- (A) I and III only
- (B) II and III only
- (C) I and II only
- (D) I, II and III

37. Match List-I with List-II and select the correct answer using the codes given below:

List-I (Budget document) List-II (Content)

A. Annual Financial Statement 1. Estimated receipts and expenditure for the financial year

B. Demands for Grants 2. Estimates of expenditure requiring the vote of the Lok Sabha

C. Finance Bill 3. Taxation proposals of the government

D. Appropriation Bill 4. Authority to withdraw money from the Consolidated Fund of India

(A) A-2, B-1, C-3, D-4
(B) A-1, B-2, C-3, D-4
(C) A-1, B-2, C-4, D-3
(D) A-1, B-4, C-3, D-2

38. The National Monetisation Pipeline announced in August 2021 envisaged monetisation of brownfield assets of the Central Government worth about:

(A) Rs 6 lakh crore
(B) Rs 3 lakh crore
(C) Rs 1 lakh crore
(D) Rs 10 lakh crore

39. The Prevention of Money Laundering Act was enacted in the year:

(A) 1999
(B) 2005
(C) 2002
(D) 2015

40. Which one of the following pairs is NOT correctly matched?

(A) Consolidated Fund of India - Article 266
(B) Contingency Fund of India - Article 267
(C) Appropriation Bill - Article 114
(D) Public Account of India - Article 268

41. The direct benefit transfer of the LPG subsidy to consumers' bank accounts is implemented under the scheme named:

(A) UJJWALA
(B) PAHAL
(C) SAUBHAGYA
(D) GIVE IT UP

42. Which one of the following is NOT counted among the major subsidies of the Union Government?

(A) Food subsidy
(B) Fertiliser subsidy
(C) Interest payments on public debt
(D) Petroleum subsidy

43. Consider the following statements:

I. A tax whose rate rises as the tax base rises is a progressive tax.

II. Indirect taxes on mass-consumption goods tend to be regressive in their incidence.

III. In a direct tax, the impact and the incidence of the tax fall on the same person.

Which of the statements given above are correct?

(A) I, II and III
(B) I and II only
(C) II and III only
(D) I and III only

44. Which one of the following is NOT a direct tax in India?

(A) Corporation tax
(B) Securities Transaction Tax
(C) Capital gains tax
(D) Basic customs duty

45. Arrange the following in the correct chronological order in which they came into effect:
I. Fiscal Responsibility and Budget Management Act
II. State-level Value Added Tax
III. Goods and Services Tax
IV. Merger of the Railway Budget with the Union Budget HARD

(A) I, II, III, IV
(B) II, I, IV, III
(C) I, II, IV, III
(D) II, I, III, IV

IE05

Fiscal Federalism, Finance Commission and Centre-State Financial Relations

35 questions · 30 fact-sheet points

Must-know facts

1. Article 268 - duties levied by the Union but collected and appropriated by the States (stamp duties in the Union List).
2. Article 269 - taxes on inter-State sale and consignment of goods, levied and collected by the Union but assigned to the States.
3. Article 269A - IGST on inter-State supply, levied and collected by the Government of India and apportioned between the Union and the States.
4. Article 270 - taxes levied and distributed between the Union and the States (the divisible pool). Article 271 - surcharge for Union purposes, not shared with States.
5. Article 272 was repealed by the 80th Amendment, 2000, which created the single 'divisible pool' on the recommendation of the Tenth Finance Commission.
6. Article 273 - grants in lieu of the export duty on jute and jute products to Assam, Bihar, Odisha and West Bengal. Article 274 - prior recommendation of the President for Bills affecting State taxation interests.
7. Article 275 - statutory grants-in-aid to needy States, charged on the Consolidated Fund of India, including grants for Scheduled Tribes and Scheduled Areas.
8. Article 276 - taxes on professions, trades, callings and employments; ceiling Rs 2,500 per person per annum. Article 277 - savings for pre-Constitution State taxes.
9. Article 279 - 'net proceeds' to be ascertained and certified by the Comptroller and Auditor General, whose certificate is final. Article 279A - GST Council.
10. Article 280 - Finance Commission: constituted by the President every fifth year or earlier; a Chairman and four other members; qualifications determined by Parliament under the Finance Commission (Miscellaneous Provisions) Act, 1951.
11. Article 280(3) duties: (a) distribution of net proceeds of taxes between Union and States and among States; (b) principles of grants-in-aid; (c) measures to augment State funds to supplement Panchayat (73rd Amendment) and Municipality (74th Amendment) resources; (d) any other matter referred by the President.
12. Article 281 - the Finance Commission's recommendations, with an explanatory memorandum on the action taken, are laid before each House of Parliament. Recommendations are advisory, not binding.
13. Article 282 - discretionary grants by the Union or a State for any public purpose; the constitutional basis for centrally sponsored schemes on State List subjects.
14. Article 292 - borrowing by the Union; Article 293 - borrowing by States, requiring the Centre's consent while any Central loan to the State is outstanding. Article 360 - Financial Emergency.
15. Divisible pool excludes cesses, surcharges (Article 271) and the cost of collection - a standing grievance of the States.
16. First Finance Commission (1951): Chairman K.C. Neogy, award period 1952-57. Second: K. Santhanam; Third: A.K. Chanda; Twelfth: C. Rangarajan (30.5%); Thirteenth: Vijay Kelkar (32%).
17. Fourteenth Finance Commission - Y.V. Reddy, 2015-20, devolution raised sharply from 32% to 42% of the divisible pool; it also ended the distinction between special and general category States for devolution.

18. Fifteenth Finance Commission - N.K. Singh, constituted 27 November 2017; interim report for 2020-21 and final report for 2021-26; devolution 41% (one percentage point set aside for the new UTs of J&K and Ladakh).
19. 15th FC horizontal criteria and weights: Income distance 45%, Population (2011) 15%, Area 15%, Demographic performance 12.5%, Forest and ecology 10%, Tax and fiscal efforts 2.5%.
20. 15th FC grants: revenue deficit grants of Rs 2,94,514 crore for 17 States; local government grants Rs 4,36,361 crore; disaster risk management Rs 1,60,153 crore; a Modernisation Fund for Defence and Internal Security was also recommended.
21. 15th FC fiscal deficit glide path for States: 4% of GSDP in 2021-22, 3.5% in 2022-23, 3% from 2023-24 to 2025-26, with an extra 0.5% available on power sector reform performance.
22. Sixteenth Finance Commission - constituted 31 December 2023; Chairman Dr. Arvind Panagariya; full-time members Ajay Narayan Jha, Annie George Mathew and Niranjan Rajadhyaksha; part-time member Soumya Kanti Ghosh.
23. 16th FC award period: 2026-27 to 2030-31. Report submitted to the President on 17 November 2025 and tabled in Parliament along with the Union Budget 2026-27.
24. 16th FC recommendations: States' share retained at 41% of the divisible pool; horizontal criteria - Income distance 42.5%, Population (2011) 17.5%, Area 10%, Forest and ecology 10%, Demographic performance 10%, Contribution to GDP 10% (new).
25. 16th FC dropped 'tax and fiscal efforts' as a criterion and discontinued the revenue deficit grants given by the 15th FC; it retained a 3% of GSDP fiscal deficit ceiling for States and sought an end to off-budget borrowings.
26. Special Category Status is not in the Constitution; introduced in 1969 on the Fifth Finance Commission's advice under the Gadgil formula, granted by the National Development Council; criteria - hilly terrain, low population density or tribal population, international border, backwardness, non-viable State finances.
27. Centrally Sponsored Schemes were restructured after the 2015 report of the Chief Ministers' sub-group (Shivraj Singh Chouhan) into Core of the Core, Core and Optional; usual sharing 60:40 for general States, 90:10 for North-Eastern and Himalayan States, 100% for UTs without legislature.
28. Core of the Core schemes include MGNREGA, the National Social Assistance Programme and the umbrella programmes for Scheduled Castes, Scheduled Tribes, minorities and other vulnerable groups.
29. Central Sector Schemes are fully funded by the Centre on Union List subjects (e.g. PM-KISAN); Centrally Sponsored Schemes are shared with States on State/Concurrent List subjects.
30. NITI Aayog replaced the Planning Commission on 1 January 2015: Prime Minister as Chairperson, a Governing Council of all Chief Ministers and Lieutenant Governors of UTs; it is a think tank with no power to allocate funds.

1. Under Article 280 of the Constitution, the Finance Commission is constituted:

(A) Every year by the Union Finance Minister
(B) Every fifth year, or earlier if the President considers it necessary, by the President
(C) Every fifth year by a resolution of Parliament
(D) Every tenth year by the President

2. The Finance Commission consists of: RAS PRE 2024

(A) A Chairman and two other members
(B) A Chairman and three other members
(C) A Chairman and five other members
(D) A Chairman and four other members

3. The qualifications required for appointment as Chairman and members of the Finance Commission are determined by:

(A) Parliament by law
(B) The President by rules
(C) The Union Cabinet
(D) The Supreme Court

4. Consider the following functions:

I. Distribution of the net proceeds of taxes between the Union and the States.

II. Principles which should govern grants-in-aid to the States out of the Consolidated Fund of India.

III. Measures needed to augment the Consolidated Fund of a State to supplement the resources of Panchayats and Municipalities.

Which of the above fall within the mandate of the Finance Commission under Article 280? RAS PRE 2024

(A) I only
(B) I and II only
(C) I, II and III
(D) II and III only

5. The recommendations of the Finance Commission, together with an explanatory memorandum on the action taken on them, are laid before each House of Parliament under:

(A) Article 279
(B) Article 280
(C) Article 282
(D) Article 281

6. The Chairman of the First Finance Commission of India was:

(A) A.K. Chanda
(B) K.C. Neogy
(C) K. Santhanam
(D) Y.V. Reddy

7. The Fourteenth Finance Commission, chaired by Y.V. Reddy, raised the share of the States in the divisible pool to:

(A) 32 per cent
(B) 41 per cent
(C) 42 per cent
(D) 50 per cent

8. The final report of the Fifteenth Finance Commission, chaired by N.K. Singh, covered the award period:

(A) 2021-22 to 2025-26
(B) 2020-21 to 2024-25
(C) 2022-23 to 2026-27
(D) 2015-16 to 2019-20

9. The vertical devolution recommended by the Fifteenth Finance Commission for 2021-26 was: RAS PRE 2024

(A) 41 per cent of the divisible pool
(B) 42 per cent of the divisible pool
(C) 40 per cent of the divisible pool
(D) 32 per cent of the divisible pool

10. Match List-I with List-II and select the correct answer using the codes given below:

List-I (Criterion used by the Fifteenth Finance Commission) List-II (Weight)

A. Income distance 1. 45.0 per cent

B. Population (2011) 2. 15.0 per cent

C. Demographic performance 3. 12.5 per cent

D. Tax and fiscal efforts 4. 2.5 per cent

(A) A-1, B-3, C-2, D-4
(B) A-2, B-1, C-3, D-4
(C) A-1, B-2, C-3, D-4
(D) A-1, B-2, C-4, D-3

11. Which criterion carried the highest weight in the horizontal devolution formula of the Fifteenth Finance Commission?

(A) Population
(B) Income distance
(C) Area
(D) Forest and ecology

12. Which one of the following was NOT used as a criterion for horizontal tax devolution by the Fifteenth Finance Commission?

(A) Forest and ecology
(B) Demographic performance
(C) Tax and fiscal efforts
(D) Governance reforms

13. Consider the following statements about the final report of the Fifteenth Finance Commission:
I. It recommended post-devolution revenue deficit grants for 17 States.
II. It recommended a Modernisation Fund for Defence and Internal Security.
III. It recommended a fiscal deficit ceiling for States of 4 per cent of GSDP in 2021-22, with an additional 0.5 per cent linked to power sector reforms.
Which of the statements given above are correct? HARD

(A) I and II only
(B) II and III only
(C) I, II and III
(D) I and III only

14. The Chairman of the Sixteenth Finance Commission is:

(A) Arvind Panagariya
(B) N.K. Singh
(C) Rajiv Kumar
(D) Suman Bery

15. The award period of the Sixteenth Finance Commission is:

(A) 2025-26 to 2029-30
(B) 2027-28 to 2031-32
(C) 2026-27 to 2029-30
(D) 2026-27 to 2030-31

16. The Sixteenth Finance Commission has recommended a share for the States in the net proceeds of Union taxes of:

(A) 42 per cent
(B) 41 per cent
(C) 40 per cent
(D) 45 per cent

17. Which new criterion was introduced by the Sixteenth Finance Commission in its horizontal devolution formula?

(A) Governance reforms
(B) Contribution to GDP
(C) Gross cropped area
(D) Fiscal discipline

18. Consider the following statements about the Sixteenth Finance Commission:
I. Its Chairman is Dr. Arvind Panagariya.
II. It dropped 'tax and fiscal efforts' from the criteria for horizontal devolution.
III. It discontinued the post-devolution revenue deficit grants recommended by the Fifteenth Finance Commission.
Which of the statements given above are correct? HARD

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

19. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Finance Commission) List-II (Chairman)
A. Thirteenth 1. Vijay Kelkar
B. Fourteenth 2. Y.V. Reddy
C. Fifteenth 3. N.K. Singh
D. Sixteenth 4. Arvind Panagariya

(A) A-1, B-2, C-3, D-4
(B) A-2, B-1, C-3, D-4
(C) A-1, B-2, C-4, D-3
(D) A-1, B-3, C-2, D-4

20. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Finance Commission) List-II (Share of States in the divisible pool)
A. Thirteenth 1. 32 per cent
B. Fourteenth 2. 42 per cent
C. Fifteenth (2021-26) 3. 41 per cent
D. Twelfth 4. 30.5 per cent HARD

(A) A-2, B-1, C-3, D-4
(B) A-1, B-2, C-4, D-3
(C) A-1, B-2, C-3, D-4
(D) A-1, B-3, C-2, D-4

21. Consider the following:
I. Surcharges levied by the Union.
II. Cesses levied for a specific purpose.
III. Cost of collection of taxes.
Which of the above are excluded from the divisible pool of Central taxes shared with the States? RAS PRE 2024

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

22. Consider the following statements:
I. Stamp duties mentioned in the Union List are levied by the Union but collected and appropriated by the States under Article 268.
II. Taxes on the consignment of goods in inter-State trade are levied and collected by the Union but assigned to the States under Article 269.
III. Article 268A, which dealt with service tax, was omitted by the Constitution (101st Amendment) Act, 2016.
Which of the statements given above are correct?

(A) I, II and III
(B) I and II only
(C) II and III only
(D) I and III only

23. A surcharge levied by the Union on taxes and duties under Article 271:

(A) Is shared with the States in the same ratio as the divisible pool
(B) Is shared only with the special category States
(C) Goes wholly to the Union Government
(D) Is credited to the Contingency Fund of India

24. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Article) List-II (Subject)
A. Article 275 1. Statutory grants-in-aid charged on the Consolidated Fund of India
B. Article 276 2. Taxes on professions, trades, callings and employments
C. Article 279 3. Calculation of 'net proceeds', certified by the Comptroller and Auditor General
D. Article 282 4. Discretionary grants for any public purpose

(A) A-1, B-2, C-4, D-3
(B) A-1, B-2, C-3, D-4
(C) A-2, B-1, C-3, D-4
(D) A-1, B-3, C-2, D-4

25. The maximum amount that a State may levy as a tax on professions, trades, callings and employments under Article 276 is:

(A) Rs 2,500 per annum
(B) Rs 250 per annum
(C) Rs 5,000 per annum
(D) Rs 10,000 per annum

26. Under Article 293, a State cannot raise a loan without the consent of the Government of India if:

(A) Its fiscal deficit exceeds 3 per cent of GSDP
(B) Any part of a loan made to it by the Centre is still outstanding
(C) The Finance Commission so recommends
(D) The loan is to be raised from a source outside India

27. Which one of the following pairs of a constitutional Article and its subject is NOT correctly matched?

(A) Article 280 - Finance Commission
(B) Article 279A - Goods and Services Tax Council
(C) Article 267 - Contingency Fund
(D) Article 270 - Grants-in-aid to the States

28. Grants in lieu of the export duty on jute and jute products, payable to Assam, Bihar, Odisha and West Bengal, are provided under:

(A) Article 272
(B) Article 274
(C) Article 273
(D) Article 277

29. Which Article of the Constitution provides the basis on which the Union makes grants for centrally sponsored schemes relating to subjects in the State List?

(A) Article 275
(B) Article 282
(C) Article 280
(D) Article 293

30. Consider the following statements about Special Category Status:
I. It finds no mention in the Constitution.
II. It was introduced in 1969 on the recommendation of the Fifth Finance Commission, on the basis of the Gadgil formula.
III. The Fourteenth Finance Commission did away with the distinction between special and general category States for tax devolution.
Which of the statements given above are correct? HARD

(A) I and II only
(B) II and III only
(C) I, II and III
(D) I and III only

31. Which one of the following is NOT a criterion for the grant of Special Category Status to a State?

(A) High per capita income
(B) Hilly and difficult terrain
(C) Strategic location along international borders
(D) Low population density or a sizeable tribal population

32. For most Centrally Sponsored Schemes, the sharing pattern between the Centre and the general category States is:

(A) 50:50
(B) 75:25
(C) 100:0
(D) 60:40

33. Which one of the following is NOT classified as a 'Core of the Core' Centrally Sponsored Scheme? HARD

- (A) Mahatma Gandhi National Rural Employment Guarantee Scheme
- (B) National Social Assistance Programme
- (C) Pradhan Mantri Awas Yojana
- (D) Umbrella Programme for the Development of Scheduled Tribes

34. Consider the following statements about NITI Aayog:
I. It replaced the Planning Commission with effect from 1 January 2015.
II. Its Governing Council consists of the Chief Ministers of all States and the Lieutenant Governors of Union Territories.
III. Like the Planning Commission, it allocates plan funds to the States.
Which of the statements given above are correct?

- (A) I and III only
- (B) I and II only
- (C) II and III only
- (D) I, II and III

35. Arrange the following in the correct chronological order:
I. Constitution of the Fifteenth Finance Commission
II. Abolition of the Planning Commission
III. Introduction of the Goods and Services Tax
IV. Submission of the report of the Sixteenth Finance Commission HARD

- (A) I, II, III, IV
- (B) II, I, III, IV
- (C) III, II, I, IV
- (D) II, III, I, IV

IE06

Agriculture: Development, Reforms and Policy

40 questions · 30 fact-sheet points

Must-know facts

1. Four pillars of land reform: abolition of intermediaries, tenancy reform (security of tenure, fair rent, ownership), ceiling on holdings, and consolidation of holdings.
2. Bihar was the first State to enact a zamindari abolition law (1950); its challenge in the Kameshwar Singh case led to the First Constitutional Amendment, 1951 and the Ninth Schedule.
3. Operation Barga (West Bengal, 1978) registered sharecroppers (bargadars) - the most successful tenancy reform. Consolidation of holdings succeeded mainly in Punjab and Haryana.
4. Bhoodan movement started by Vinoba Bhave on 18 April 1951 at Pochampally (then Andhra Pradesh, now Telangana); Gramdan began at Mangroth (UP) in 1952.
5. Agriculture Census 2015-16: average operational holding 1.08 hectares; small and marginal holdings (below 2 ha) form 86.2 per cent of holdings and operate about 47 per cent of the area.
6. Green Revolution from 1966-67: HYV wheat (Lerma Rojo 64A, Sonora 64 from CIMMYT, Mexico) and rice IR-8 from IRRI, Philippines. M.S. Swaminathan - father of India's Green Revolution; Norman Borlaug - Nobel Peace Prize 1970.
7. Forerunners: Intensive Agricultural District Programme (IADP) 1960-61 with Ford Foundation assistance, first in Thanjavur; Intensive Agricultural Area Programme 1964-65; High Yielding Varieties Programme 1966-67.
8. Revolutions: White - milk (Operation Flood, 1970, NDDB, Verghese Kurien); Yellow - oilseeds (Technology Mission on Oilseeds, 1986); Blue - fisheries; Golden - horticulture and honey; Silver - eggs; Grey - fertilisers; Golden Fibre - jute.
9. Cropping intensity = (Gross cropped area / Net sown area) x 100.
10. NABARD established 12 July 1982 on the recommendation of the CRAFICARD (B. Sivaraman) Committee; headquarters Mumbai. Kisan Credit Card introduced in 1998-99 on the R.V. Gupta Committee's recommendation.
11. Priority sector lending: overall target 40 per cent of Adjusted Net Bank Credit; agriculture 18 per cent, within which 10 per cent is earmarked for small and marginal farmers. Short-term crop loans carry an effective 4 per cent interest on prompt repayment (7 per cent minus 3 per cent incentive).
12. CACP set up in January 1965 as the Agricultural Prices Commission and renamed in 1985; it is an advisory attached office of the Ministry of Agriculture and Farmers' Welfare. MSP is finally approved by the Cabinet Committee on Economic Affairs and is not legally enforceable.
13. MSP is announced for 22 mandated crops - 14 kharif, 6 rabi and 2 commercial (copra and jute) - plus a Fair and Remunerative Price for sugarcane under the Sugarcane (Control) Order, 1966.
14. Cost concepts: A2 = paid-out costs; A2+FL = A2 plus imputed family labour; C2 = A2+FL plus rent on owned land and interest on owned capital. Budget 2018-19 fixed MSP at least 1.5 times A2+FL; the Swaminathan Commission had recommended 50 per cent above C2.
15. Kharif Marketing Season 2026-27: MSP of paddy (common) raised by Rs 72 to Rs 2,441 per quintal for 14 kharif crops (CCEA decision, May 2026).
16. Food Corporation of India set up in 1965 under the Food Corporations Act, 1964. Decentralised Procurement Scheme since 1997-98 lets States procure, store and distribute on the Centre's behalf.
17. National Food Security Act, 2013: covers up to 75 per cent rural and 50 per cent urban population; priority households get 5 kg per person per month, Antyodaya Anna Yojana households 35 kg per household per month; the eldest woman aged 18 or above is the head of the household for the ration card; maternity benefit of Rs 6,000.

18. eNAM launched 14 April 2016, implemented by the Small Farmers' Agribusiness Consortium, networking APMC mandis into a pan-India electronic trading portal. Model APMC Act 2003, Model APLM Act 2017, Model Contract Farming Act 2018.
19. The three farm laws of 2020 - Farmers' Produce Trade and Commerce Act, Farmers (Empowerment and Protection) Agreement on Price Assurance and Farm Services Act, and Essential Commodities (Amendment) Act - were repealed by the Farm Laws Repeal Act, 2021.
20. PMKSY (Pradhan Mantri Krishi Sinchayee Yojana), 2015: 'Har Khet Ko Pani' and 'Per Drop More Crop'; components AIBP, Har Khet Ko Pani, Per Drop More Crop and Watershed Development; extended for 2021-26.
21. Atal Bhujal Yojana launched 25 December 2019 by the Ministry of Jal Shakti; outlay Rs 6,000 crore shared equally between the Centre and the World Bank; community-led groundwater management in 7 States - Gujarat, Haryana, Karnataka, Madhya Pradesh, Maharashtra, Rajasthan and Uttar Pradesh - covering about 8,350 water-stressed gram panchayats.
22. PM-KISAN: announced 1 February 2019 and launched 24 February 2019, effective from 1 December 2018; Rs 6,000 a year in three equal instalments of Rs 2,000; a Central Sector Scheme fully funded by the Centre; income tax payers and institutional landholders excluded.
23. PMFBY launched 18 February 2016 replacing NAIS and MNAIS; farmer's premium capped at 2 per cent (kharif), 1.5 per cent (rabi) and 5 per cent (commercial and horticultural crops); voluntary for all farmers from kharif 2020.
24. Soil Health Card scheme launched on 19 February 2015 at Suratgarh (Sri Ganganagar, Rajasthan); the card reports 12 parameters including N, P, K, S, micro-nutrients, pH, EC and organic carbon.
25. Organic and natural farming: Paramparagat Krishi Vikas Yojana (2015); Sikkim declared India's first fully organic State (2016, FAO Future Policy Gold Award 2018); National Mission on Natural Farming (2024) built on Subhash Palekar's zero budget natural farming; NPOP certification under APEDA and PGS-India.
26. Scheme for Formation and Promotion of 10,000 FPOs, launched 29 February 2020 at Chitrakoot; implementing agencies SFAC, NCDC and NABARD; FPOs register as Producer Companies or cooperative societies.
27. Food processing: Pradhan Mantri Kisan SAMPADA Yojana and PMFME (One District One Product) under the Ministry of Food Processing Industries; Operation Greens covers tomato, onion and potato; Agriculture Infrastructure Fund (2020) is a Rs 1 lakh crore financing facility for post-harvest infrastructure.
28. Committee on Doubling Farmers' Income (2016) chaired by Ashok Dalwai; 14-volume report submitted in September 2018 with 2015-16 as the base year and 2022-23 as the target year.
29. Allied sectors: India is the world's largest producer of milk and pulses and the second largest producer of rice, wheat, sugarcane, fruits, vegetables, cotton and fish. PMMSY launched September 2020 with an outlay of about Rs 20,050 crore; Rashtriya Gokul Mission 2014.
30. PM Dhan-Dhaanya Krishi Yojana, approved by the Cabinet in July 2025 and announced in the Budget 2025-26: 100 low-productivity districts, annual outlay Rs 24,000 crore for six years, converging 36 schemes of 11 Ministries; ICAR was set up on 16 July 1929 on the Royal Commission on Agriculture's recommendation.

1. The first State in independent India to enact a law for the abolition of the zamindari system was:

(A) Uttar Pradesh (B) Madras
(C) West Bengal (D) Bihar

2. Operation Barga, the tenancy reform programme for the registration of sharecroppers, was launched in:

(A) Bihar (B) West Bengal
(C) Kerala (D) Andhra Pradesh

3. The Bhoodan movement was started in 1951 by Vinoba Bhave at:

(A) Wardha
(B) Sevagram
(C) Pochampally
(D) Champaran

4. Consider the following statements about land reforms in India:
I. Abolition of intermediaries was the most successful component of land reforms.
II. Ceiling laws are enacted by the States and the ceiling limits vary from State to State.
III. Consolidation of holdings met with the greatest success in Punjab and Haryana.
Which of the statements given above are correct?

(A) I, II and III
(B) I and II only
(C) II and III only
(D) I and III only

5. The Nobel Peace Prize of 1970 for work leading to the Green Revolution was awarded to:

(A) William Gaud
(B) Norman Borlaug
(C) Verghese Kurien
(D) M.S. Swaminathan

6. The high-yielding rice variety IR-8 introduced during the Green Revolution was developed at:

(A) IARI, New Delhi
(B) CIMMYT, Mexico
(C) ICRISAT, Hyderabad
(D) The International Rice Research Institute, Philippines

7. The Intensive Agricultural District Programme launched in 1960-61, the forerunner of the Green Revolution, was assisted by: HARD

(A) The Ford Foundation
(B) The World Bank
(C) The Rockefeller Foundation
(D) USAID

8. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Revolution) List-II (Product)
A. White Revolution 1. Milk
B. Yellow Revolution 2. Oilseeds
C. Blue Revolution 3. Fish
D. Golden Revolution 4. Horticulture and honey

(A) A-1, B-3, C-2, D-4
(B) A-2, B-1, C-3, D-4
(C) A-1, B-2, C-3, D-4
(D) A-1, B-2, C-4, D-3

9. Assertion (A): The share of agriculture and allied sectors in India's gross value added has declined steadily since 1950-51.
Reason (R): The absolute output of India's agriculture sector has been falling.
Select the correct answer using the code given below:

(A) Both A and R are true and R is the correct explanation of A
(B) Both A and R are true but R is not the correct explanation of A
(C) A is true but R is false
(D) A is false but R is true

10. Cropping intensity is calculated as:

(A) (Gross cropped area / Net sown area) x 100
(B) (Net sown area / Gross cropped area) x 100
(C) (Net sown area / Total geographical area) x 100
(D) (Irrigated area / Gross cropped area) x 100

11. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Institution) List-II (Principal function and year of establishment)
A. NABARD 1. Apex refinance institution for rural credit, 1982
B. Food Corporation of India 2. Procurement, storage and distribution of foodgrains, 1965
C. APEDA 3. Promotion of agricultural and processed food exports, 1986
D. NDDB 4. Dairy development at Anand, 1965

(A) A-1, B-2, C-4, D-3
(B) A-1, B-2, C-3, D-4
(C) A-2, B-1, C-3, D-4
(D) A-1, B-3, C-2, D-4

12. The Kisan Credit Card scheme, introduced in 1998-99, was based on the recommendation of the: HARD

(A) Khusro Committee
(B) Vaidyanathan Committee
(C) Sivaraman Committee
(D) R.V. Gupta Committee

13. Consider the following statements about agricultural credit in India:
I. The priority sector lending target for agriculture is 18 per cent of Adjusted Net Bank Credit.
II. Within this, 10 per cent is earmarked for small and marginal farmers.
III. Under the Modified Interest Subvention Scheme, short-term crop loans carry an effective interest rate of 4 per cent on prompt repayment.
Which of the statements given above are correct? HARD

(A) I, II and III
(B) I and II only
(C) II and III only
(D) I and III only

14. The Commission for Agricultural Costs and Prices:

(A) Is a statutory body constituted under the Essential Commodities Act, 1955
(B) Itself announces the minimum support prices for crops
(C) Is an advisory body whose recommendations are not binding on the government
(D) Functions under the Ministry of Consumer Affairs, Food and Public Distribution

15. Consider the following statements about the cost concepts used in fixing the Minimum Support Price:
I. A2 covers all paid-out costs incurred by the farmer in cash and kind.
II. A2+FL adds the imputed value of family labour.
III. C2 additionally includes the rental value of owned land and interest on owned fixed capital.
Which of the statements given above are correct?

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

16. Which one of the following statements about the Minimum Support Price is NOT correct?

(A) It is recommended by the Commission for Agricultural Costs and Prices
(B) It is legally enforceable and no trader may purchase below it
(C) The Union Budget 2018-19 announced MSP at a level of at least 1.5 times the A2+FL cost
(D) It is finally approved by the Cabinet Committee on Economic Affairs

17. The Government of India announces the Minimum Support Price for: `RAS PRE 2023`

(A) 14 crops only
(B) 20 crops
(C) 25 crops
(D) 22 mandated crops, along with a Fair and Remunerative Price for sugarcane

18. Under the Decentralised Procurement Scheme introduced in 1997-98: `HARD`

(A) The Food Corporation of India procures foodgrains directly in all States
(B) Procurement is carried out by private traders on behalf of the Centre
(C) State Governments procure, store and distribute foodgrains for the Public Distribution System on behalf of the Centre
(D) Procurement is done only for the central buffer stock and not for the Public Distribution System

19. Consider the following statements about the National Food Security Act, 2013:

I. It covers up to 75 per cent of the rural and 50 per cent of the urban population.

II. Priority households are entitled to 5 kg of foodgrains per person per month.

III. Antyodaya Anna Yojana households are entitled to 35 kg of foodgrains per household per month.

Which of the statements given above are correct? `RAS PRE 2018`

(A) I and II only
(B) I, II and III
(C) II and III only
(D) I and III only

20. Under the National Food Security Act, 2013, for the purpose of issue of a ration card, the head of the household is:

(A) The eldest woman of the household who is not less than eighteen years of age
(B) The eldest member of the household irrespective of gender
(C) The eldest male member of the household
(D) Any adult member nominated by the household

21. Match List-I with List-II and select the correct answer using the codes given below:

List-I (Marketing reform) List-II (Description)

A. Model APMC Act, 2003 1. Model law to reform State regulation of agricultural produce markets

B. eNAM 2. Pan-India electronic trading portal networking APMC mandis

C. Model Contract Farming Act, 2018 3. Model law for pre-agreed farming agreements between farmers and sponsors

D. Essential Commodities Act, 1955 4. Regulation of production, supply and distribution of essential commodities

(A) A-1, B-2, C-3, D-4
(B) A-2, B-1, C-3, D-4
(C) A-1, B-2, C-4, D-3
(D) A-1, B-3, C-2, D-4

22. Which one of the following was NOT among the three farm laws enacted in 2020 and repealed in 2021?

(A) The Farmers' Produce Trade and Commerce (Promotion and Facilitation) Act
(B) The Agricultural Produce Market Committee (Reform) Act
(C) The Farmers (Empowerment and Protection) Agreement on Price Assurance and Farm Services Act
(D) The Essential Commodities (Amendment) Act

23. The Pradhan Mantri Krishi Sinchayee Yojana launched in 2015 is guided by the slogans:

(A) 'Jai Jawan Jai Kisan' and 'Har Ghar Jal'
(B) 'Har Ghar Nal Se Jal' and 'Catch the Rain'
(C) 'Har Khet Ko Pani' and 'Per Drop More Crop'
(D) 'Sujalam Sufalam' and 'Har Ghar Jal'

24. Which one of the following is NOT a component of the Pradhan Mantri Krishi Sinchayee Yojana?

(A) Accelerated Irrigation Benefit Programme
(B) Har Khet Ko Pani
(C) Per Drop More Crop
(D) Pradhan Mantri Fasal Bima Yojana

25. Atal Bhujal Yojana is being implemented in how many States? RAS PRE 2021, 2023

(A) Five
(B) Seven
(C) Nine
(D) Eleven

26. Consider the following statements about Atal Bhujal Yojana:

I. It is implemented by the Ministry of Jal Shakti with an outlay of Rs 6,000 crore, half of it funded by the World Bank.
II. Its central aim is community-led sustainable groundwater management.
III. Rajasthan is one of the participating States.

Which of the statements given above are correct? RAS PRE 2021, 2023

(A) I, II and III
(B) I and II only
(C) II and III only
(D) I and III only

27. Under PM-KISAN, income support of Rs 6,000 per year is paid: RAS PRE 2021

(A) In two instalments of Rs 3,000 each
(B) In six instalments of Rs 1,000 each
(C) In a single annual instalment
(D) In three equal instalments of Rs 2,000 each

28. Match List-I with List-II and select the correct answer using the codes given below:

List-I (Scheme) List-II (Nodal Ministry)
A. Pradhan Mantri Krishi Sinchayee Yojana 1. Ministry of Jal Shakti
B. Pradhan Mantri Kisan SAMPADA Yojana 2. Ministry of Food Processing Industries
C. Pradhan Mantri Matsya Sampada Yojana 3. Ministry of Fisheries, Animal Husbandry and Dairying
D. PM-KISAN 4. Ministry of Agriculture and Farmers' Welfare

(A) A-2, B-1, C-3, D-4
(B) A-1, B-2, C-4, D-3
(C) A-1, B-2, C-3, D-4
(D) A-1, B-3, C-2, D-4

29. The maximum premium payable by a farmer under the Pradhan Mantri Fasal Bima Yojana for kharif food and oilseed crops is:

(A) 1.5 per cent of the sum insured
(B) 5 per cent of the sum insured
(C) 2 per cent of the sum insured
(D) 2.5 per cent of the sum insured

30. The Soil Health Card scheme was launched in February 2015 from:

(A) Sikar, Rajasthan
(B) Bathinda, Punjab
(C) Gandhinagar, Gujarat
(D) Suratgarh, Rajasthan

31. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Scheme) List-II (Year of launch)
A. Pradhan Mantri Fasal Bima Yojana 1. 2016
B. Soil Health Card scheme 2. 2015
C. PM-KISAN 3. 2019
D. Pradhan Mantri Matsya Sampada Yojana 4. 2020

(A) A-1, B-2, C-3, D-4
(B) A-2, B-1, C-3, D-4
(C) A-1, B-2, C-4, D-3
(D) A-1, B-3, C-2, D-4

32. Which State was declared India's first fully organic State?

(A) Uttarakhand
(B) Sikkim
(C) Himachal Pradesh
(D) Mizoram

33. Zero Budget Natural Farming, which underlies the National Mission on Natural Farming, is associated with:

(A) M.S. Swaminathan
(B) Ashok Dalwai
(C) Vandana Shiva
(D) Subhash Palekar

34. Consider the following statements about Farmer Producer Organisations:
I. The Central Sector Scheme for the formation and promotion of 10,000 FPOs was launched in 2020.
II. SFAC, NCDC and NABARD are among its implementing agencies.
III. An FPO may be registered as a Producer Company under the Companies Act.
Which of the statements given above are correct?

(A) I, II and III
(B) I and II only
(C) II and III only
(D) I and III only

35. Which one of the following pairs relating to agricultural schemes is NOT correctly matched?

(A) Operation Greens - Tomato, onion and potato
(B) PMFME - One District One Product approach
(C) Agriculture Infrastructure Fund - Corpus of Rs 10,000 crore
(D) Kisan Rail - Launched in 2020

36. The Committee on Doubling Farmers' Income constituted in 2016 was chaired by:

(A) Ramesh Chand
(B) Ashok Dalwai
(C) Shanta Kumar
(D) Arvind Subramanian

37. Operation Flood, launched in 1970 under the National Dairy Development Board, was led by:

(A) M.S. Swaminathan
(B) Verghese Kurien
(C) Norman Borlaug
(D) Sam Pitroda

38. Consider the following statements:
I. India is the world's largest producer of milk.
II. Pradhan Mantri Matsya Sampada Yojana was launched in 2020 with an outlay of about Rs 20,050 crore.
III. India is the world's largest producer of rice.
Which of the statements given above are correct?

(A) I only
(B) II and III only
(C) I and II only
(D) I, II and III

39. PM Dhan-Dhaanya Krishi Yojana, approved by the Union Cabinet in 2025, covers:

(A) 50 districts, with an annual outlay of Rs 10,000 crore
(B) 250 districts, with an annual outlay of Rs 50,000 crore
(C) 100 blocks, with an annual outlay of Rs 24,000 crore
(D) 100 districts, with an annual outlay of Rs 24,000 crore

40. Arrange the following schemes in the correct chronological order of their launch:
I. Pradhan Mantri Fasal Bima Yojana
II. Soil Health Card scheme
III. National Agriculture Market (eNAM)
IV. PM-KISAN HARD

(A) II, I, III, IV
(B) I, II, III, IV
(C) II, III, I, IV
(D) I, III, II, IV

IE07

Industry: Growth, LPG Reforms, MSME and Industrial Policy

40 questions · 30 fact-sheet points

Must-know facts

1. Industrial Policy Resolution (IPR) 1948 — 6 April 1948; first industrial policy of independent India; four-fold classification of industries; accepted a mixed economy.
2. IPR 1956 — 30 April 1956; called the 'Economic Constitution of India'; basis of the Second Five Year Plan (Mahalanobis model); aimed at a 'socialistic pattern of society'.
3. IPR 1956 schedules — Schedule A: 17 industries exclusively for the State; Schedule B: 12 industries progressively state-owned; Schedule C: all the rest, left to the private sector.
4. Industrial Policy Statement 1977 — Janata Government; top priority to the tiny and small sector; created District Industries Centres (DICs); expanded SSI reservation.
5. Industrial Policy Statement 1980 — Indira Gandhi government; concept of 'economic federalism' through nucleus plants in industrially backward districts; stress on capacity regularisation.
6. New Industrial Policy — 24 July 1991; PM P. V. Narasimha Rao, FM Manmohan Singh; the LPG package (Liberalisation, Privatisation, Globalisation).
7. NIP 1991 — industrial licensing abolished for all but 18 industries; public-sector reserved list cut from 17 to 8; MRTP asset limit (Rs 100 crore) scrapped; FDI up to 51% automatic in 34 high-priority industries.
8. Compulsory industrial licensing today survives for only a handful of items — alcoholic drinks (distillation/brewing), cigars and cigarettes, electronic aerospace and defence equipment, industrial explosives.
9. Rupee devalued in two steps on 1 and 3 July 1991 by about 18-19% cumulatively; gold pledged with the Bank of England and Bank of Japan in mid-1991.
10. MRTP Act 1969 replaced by the Competition Act, 2002 (CCI); FERA 1973 replaced by FEMA, 1999 (in force 1 June 2000); SICA/BIFR replaced by the IBC, 2016. Disinvestment is handled by DIPAM (Ministry of Finance), renamed from the Department of Disinvestment in April 2016.
11. IIP base year 2011-12, compiled by NSO/MoSPI; sectoral weights — manufacturing 77.63%, mining 14.37%, electricity 7.99%.
12. Index of Eight Core Industries (base 2011-12), released by the Office of the Economic Adviser, Ministry of Commerce and Industry — combined weight 40.27% of IIP.
13. ICI weights — Refinery products 28.04, Electricity 19.85, Steel 17.92, Coal 10.33, Crude oil 8.98, Natural gas 6.88, Cement 5.37, Fertilizers 2.63.
14. MSMED Act, 2006 — came into force 2 October 2006; created the National Board for MSME and the delayed-payment remedy (Section 15: payment within 45 days).
15. MSME classification revised by notification S.O. 2119(E) dated 26 June 2020, effective 1 July 2020 — composite investment-and-turnover criterion; manufacturing/service distinction removed. Micro Rs 1 cr / Rs 5 cr; Small Rs 10 cr / Rs 50 cr; Medium Rs 50 cr / Rs 250 cr.
16. MSME classification revised again by S.O. 1364(E) dated 21 March 2025, effective 1 April 2025 (Budget 2025-26: investment limits x2.5, turnover x2) — Micro Rs 2.5 cr / Rs 10 cr; Small Rs 25 cr / Rs 100 cr; Medium Rs 125 cr / Rs 500 cr.
17. Exports are excluded while computing turnover for MSME classification; Udyam Registration portal launched 1 July 2020 — free, paperless, PAN- and Aadhaar-based; Udyam Assist Platform (2023) for informal micro enterprises.
18. MSME schemes — PMEGP (2008, national nodal agency KVIC), CGTMSE (2000, GoI + SIDBI), MSME Samadhaan (delayed payments), MSME Sambandh, ZED certification, RAMP (World Bank-assisted, Rs

6,062 crore), Self-Reliant India Fund Rs 50,000 crore.

19. PM Vishwakarma — launched 17 September 2023, Ministry of MSME; 18 traditional trades; collateral-free credit of Rs 1 lakh then Rs 2 lakh at 5% concessional interest.
20. Make in India — launched 25 September 2014, initially 25 sectors; Make in India 2.0 covers 27 sectors; administered by DPIIT.
21. PLI schemes — 14 sectors, total outlay about Rs 1.97 lakh crore; first three sectors approved in March 2020 (large-scale electronics/mobiles, bulk drugs-KSM/API, medical devices).
22. Startup India — launched 16 January 2016 (National Startup Day); Fund of Funds for Startups Rs 10,000 crore operated by SIDBI; Startup India Seed Fund Scheme Rs 945 crore. DPIIT recognition: entity up to 10 years old with turnover not above Rs 100 crore in any financial year.
23. Atmanirbhar Bharat Abhiyan — announced 12 May 2020; package of Rs 20 lakh crore, about 10% of GDP; five pillars — Economy, Infrastructure, System, Vibrant Demography, Demand.
24. Industrial corridors — DMIC (2006, Japanese collaboration, along the Western DFC), Chennai-Bengaluru (CBIC), Amritsar-Kolkata (AKIC), Bengaluru-Mumbai (BMEC); implementing agency NICDC (formerly DMICDC).
25. SEZ Act, 2005 (rules effective 10 February 2006); Kandla (1965) was India's and Asia's first Export Processing Zone; EXIM Policy 2000 first introduced the SEZ scheme.
26. National Manufacturing Policy 2011 — target of raising manufacturing to 25% of GDP and creating 100 million jobs; introduced National Investment and Manufacturing Zones (NIMZ).
27. CPSE status — Maharatna needs Navratna status, listing, 3-year average turnover above Rs 25,000 crore, net worth above Rs 15,000 crore, net profit above Rs 5,000 crore and global presence; Navratna needs a composite score of 60 out of 100; Miniratna-I needs pre-tax profit of Rs 30 crore or more in at least one of the last three years.
28. National Monetisation Pipeline — NITI Aayog, announced 23 August 2021; Rs 6 lakh crore of core assets over FY2022-25; ownership stays with government, only brownfield assets. Budget 2025-26 announced a second Asset Monetisation Plan of Rs 10 lakh crore for 2025-30.
29. Ease of Doing Business — India ranked 63rd of 190 in the World Bank's Doing Business 2020 (77th in 2019, 100th in 2018, 142nd in 2015). The Doing Business report was discontinued in September 2021 and is being replaced by B-READY. DPIIT (Ministry of Commerce and Industry) runs the Business Reform Action Plan ranking of states.
30. Labour codes — four codes subsuming 29 central labour laws, made effective from 21 November 2025: Code on Wages 2019 (4 Acts), Industrial Relations Code 2020 (3 Acts), Code on Social Security 2020 (9 Acts), OSH and Working Conditions Code 2020 (13 Acts).

1. The first Industrial Policy Resolution of independent India was announced in the year

(A) 1947 (B) 1948
(C) 1951 (D) 1956

2. Which industrial policy of India is popularly described as the 'Economic Constitution of India'?

(A) Industrial Policy Statement, 1977 (B) Industrial Policy Resolution, 1948
(C) New Industrial Policy, 1991 (D) Industrial Policy Resolution, 1956

3. Under the Industrial Policy Resolution of 1956, the number of industries placed in Schedule A, reserved exclusively for the State, was HARD

(A) 17 (B) 12
(C) 18 (D) 21

4. The Industrial Policy Resolution of 1956 provided the framework for which Five Year Plan?

(A) First Five Year Plan
(B) Second Five Year Plan
(C) Third Five Year Plan
(D) Fourth Five Year Plan

5. District Industries Centres (DICs) were introduced under which industrial policy?

(A) Industrial Policy Resolution, 1956
(B) Industrial Policy Statement, 1980
(C) New Industrial Policy, 1991
(D) Industrial Policy Statement, 1977

6. The concept of 'nucleus plants' in industrially backward districts was introduced by the HARD

(A) Industrial Policy Statement, 1980
(B) Industrial Policy Resolution, 1956
(C) New Industrial Policy, 1991
(D) Industrial Policy Statement, 1977

7. The New Industrial Policy that launched the LPG reforms was announced on 24 July 1991 when the Prime Minister of India was

(A) Rajiv Gandhi
(B) V. P. Singh
(C) Chandra Shekhar
(D) P. V. Narasimha Rao

8. Under the New Industrial Policy, 1991 industrial licensing was abolished for all industries except

(A) 12 industries
(B) 18 industries
(C) 24 industries
(D) 30 industries

9. Which one of the following activities still requires a compulsory industrial licence in India?

(A) Manufacture of cement
(B) Distillation and brewing of alcoholic drinks
(C) Manufacture of textiles
(D) Manufacture of sugar

10. The Monopolies and Restrictive Trade Practices (MRTP) Act, 1969 was replaced by the

(A) Companies Act, 2013
(B) Insolvency and Bankruptcy Code, 2016
(C) Foreign Exchange Management Act, 1999
(D) Competition Act, 2002

11. As part of the 1991 stabilisation measures the Indian rupee was devalued in two steps on 1 and 3 July 1991 by a cumulative

(A) about 5 per cent
(B) about 9 per cent
(C) about 18-19 per cent
(D) about 25 per cent

12. The Department of Investment and Public Asset Management (DIPAM) functions under which ministry?

(A) Ministry of Corporate Affairs
(B) Ministry of Commerce and Industry
(C) Ministry of Finance
(D) Ministry of Heavy Industries

13. The current base year of the Index of Industrial Production (IIP) in India is

(A) 1993-94
(B) 2004-05
(C) 2011-12
(D) 2017-18

14. In the Index of Industrial Production (base 2011-12), the highest weight is assigned to

(A) Mining
(B) Manufacturing
(C) Electricity
(D) Construction

15. In the Index of Eight Core Industries, the highest weight is assigned to

(A) Electricity
(B) Refinery products
(C) Steel
(D) Coal

16. The department that prepares the Business Reform Action Plan ranking of states for ease of doing business is `RAS PRE 2024`

(A) NITI Aayog
(B) Department of Economic Affairs
(C) Department for Promotion of Industry and Internal Trade
(D) Department of Public Enterprises

17. The Micro, Small and Medium Enterprises Development Act was enacted in the year

(A) 1991
(B) 2000
(C) 2006
(D) 2020

18. Under the classification of MSMEs effective from 1 April 2025, a micro enterprise is one with investment in plant and machinery and annual turnover not exceeding

(A) Rs 1 crore and Rs 5 crore respectively
(B) Rs 2 crore and Rs 8 crore respectively
(C) Rs 2.5 crore and Rs 10 crore respectively
(D) Rs 5 crore and Rs 20 crore respectively

19. Under the revised MSME classification effective 1 April 2025, a medium enterprise is one with investment up to Rs 125 crore and turnover up to

(A) Rs 250 crore
(B) Rs 300 crore
(C) Rs 400 crore
(D) Rs 500 crore

20. The Udyam Registration portal for MSMEs was launched on

(A) 2 October 2006
(B) 1 July 2020
(C) 1 April 2021
(D) 17 September 2023

21. Which one of the following is the national nodal implementing agency for the Prime Minister's Employment Generation Programme (PMEGP)?

(A) Khadi and Village Industries Commission
(B) Small Industries Development Bank of India
(C) National Small Industries Corporation
(D) National Bank for Agriculture and Rural Development

22. India's rank in the World Bank's 'Doing Business 2020' report, the last edition of that report, was `RAS PRE 2021, 2024`

(A) 142nd
(B) 100th
(C) 77th
(D) 63rd

23. Consider the following statements about the revision of the MSME definition notified in June 2020:
I. The distinction between manufacturing and service enterprises was removed.
II. A composite criterion of investment in plant and machinery and annual turnover was adopted.
III. Exports are included while computing turnover for classification.
Which of the statements given above are correct? `RAS PRE 2023`

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

24. Consider the following statements about the economic reforms of 1991:
I. Industrial licensing was abolished for all but eighteen industries.
II. The asset limit under the MRTP Act was abolished.
III. The number of industries reserved for the public sector was raised from eight to seventeen.
Which of the statements given above are correct?

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

25. Consider the following statements about the Production Linked Incentive (PLI) schemes:
I. They currently cover fourteen sectors.
II. The total outlay approved for them is about Rs 1.97 lakh crore.
III. The incentive is paid on incremental sales of goods manufactured in India.
Which of the statements given above are correct?

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

26. Consider the following statements about the Startup India initiative:
I. It was launched on 16 January 2016.
II. The Fund of Funds for Startups is operated by SIDBI.
III. For DPIIT recognition an entity may be up to fifteen years old.
Which of the statements given above are correct?

(A) I and III only
(B) I and II only
(C) II and III only
(D) I, II and III

27. Consider the following statements about the four Labour Codes:
I. They subsume twenty-nine central labour laws.
II. The Code on Wages was enacted in 2019 and the other three in 2020.
III. They were brought into force across the country from 21 November 2025.
Which of the statements given above are correct?

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

28. Consider the following statements about the National Monetisation Pipeline:
I. It was prepared by NITI Aayog.
II. It covers greenfield infrastructure assets awaiting construction.
III. Ownership of the assets remains with the government.
Which of the statements given above are correct? HARD

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

29. Consider the following statements about Special Economic Zones in India:
I. The SEZ Act was passed in 2005.
II. Kandla was the first Export Processing Zone in Asia.
III. The SEZ scheme was first announced in the EXIM Policy of 2000.
Which of the statements given above are correct?

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

30. Consider the following statements about Maharatna status for central public sector enterprises:
I. The enterprise must already have Navratna status.
II. It must be listed on an Indian stock exchange with the prescribed minimum public shareholding.
III. Its average annual turnover in the last three years must exceed Rs 5,000 crore.
Which of the statements given above are correct? HARD

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

31. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Industrial policy) List-II (Distinctive feature)
A. IPR 1948 1. Three-schedule classification of industries
B. IPR 1956 2. District Industries Centres
C. Industrial Policy Statement 1977 3. Nucleus plants in backward districts
D. Industrial Policy Statement 1980 4. First industrial policy of independent India

(A) A-4, B-1, C-2, D-3
(B) A-1, B-4, C-3, D-2
(C) A-4, B-1, C-3, D-2
(D) A-1, B-4, C-2, D-3

32. Match List-I with List-II with reference to the MSME classification effective from 1 April 2025 and select the correct answer using the codes given below:
List-I (Category) List-II (Investment ceiling)
A. Micro 1. Rs 125 crore
B. Small 2. Rs 2.5 crore
C. Medium 3. Rs 25 crore

(A) A-2, B-1, C-3
(B) A-3, B-2, C-1
(C) A-2, B-3, C-1
(D) A-1, B-3, C-2

33. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Programme) List-II (Nodal agency or department)
A. PMEGP 1. SIDBI
B. Fund of Funds for Startups 2. DPIIT
C. Make in India 3. KVIC
D. PM Vishwakarma 4. Ministry of MSME

(A) A-3, B-1, C-2, D-4
(B) A-3, B-2, C-1, D-4
(C) A-4, B-1, C-2, D-3
(D) A-3, B-1, C-4, D-2

34. Match List-I with List-II with reference to the Index of Eight Core Industries (base 2011-12) and select the correct answer using the codes given below:
List-I (Industry) List-II (Weight in per cent)
A. Refinery products 1. 17.92
B. Electricity 2. 10.33
C. Steel 3. 28.04
D. Coal 4. 19.85 HARD

(A) A-3, B-4, C-1, D-2
(B) A-3, B-1, C-4, D-2
(C) A-4, B-3, C-1, D-2
(D) A-3, B-4, C-2, D-1

35. Match List-I with List-II and select the correct answer using the codes given below:
List-I (Industrial corridor) List-II (Terminal cities)
A. DMIC 1. Amritsar and Kolkata
B. CBIC 2. Bengaluru and Mumbai
C. AKIC 3. Delhi and Mumbai
D. BMEC 4. Chennai and Bengaluru

(A) A-3, B-4, C-2, D-1
(B) A-3, B-4, C-1, D-2
(C) A-4, B-3, C-1, D-2
(D) A-3, B-1, C-4, D-2

36. Which one of the following was NOT a feature of the New Industrial Policy of 1991?

(A) Abolition of industrial licensing for most industries
(B) Removal of the MRTP asset limit
(C) Automatic approval of foreign direct investment up to 51 per cent in high-priority industries
(D) Reservation of 807 items exclusively for the small-scale sector

37. Which one of the following pairs of an economic legislation and its year of enactment is NOT correctly matched?

(A) Competition Act - 2002
(B) MSMED Act - 2006
(C) Special Economic Zones Act - 2005
(D) Foreign Exchange Management Act - 2002

38. Which one of the following central public sector enterprises does NOT have Maharatna status?

(A) Bharat Heavy Electricals Limited
(B) NHPC Limited
(C) Coal India Limited
(D) NTPC Limited

39. Which one of the following is NOT one of the four Labour Codes enacted by Parliament?

(A) Code on Wages, 2019
(B) Industrial Relations Code, 2020
(C) Code on Industrial Disputes and Trade Unions, 2020
(D) Code on Social Security, 2020

40. Arrange the following enactments in correct chronological order of their enactment:

I. Monopolies and Restrictive Trade Practices Act
II. Competition Act
III. Micro, Small and Medium Enterprises Development Act
IV. Foreign Exchange Management Act

(A) I, IV, II, III
(B) I, II, IV, III
(C) IV, I, II, III
(D) I, IV, III, II

IE08

Services, Infrastructure, External Sector, Employment and Skills

45 questions · 30 fact-sheet points

Must-know facts

1. Services contribute the largest share of India's gross value added (roughly 55 per cent) and India is among the world's largest exporters of commercial services.
2. India's total exports in FY 2024-25 were a record US$ 820.93 billion — merchandise US$ 437.42 billion and services US$ 383.51 billion; merchandise imports US$ 720.24 billion.
3. The United States has been India's largest trading partner in recent years, while China is the largest source of India's imports; crude petroleum is the single largest import item.
4. Electricity Act, 2003 unbundled generation, transmission and distribution; UDAY (Ujwal DISCOM Assurance Yojana) was launched in November 2015 to restore DISCOM finances; the Revamped Distribution Sector Scheme (RDSS) followed in 2021.
5. At COP26 (Glasgow, 2021) India committed under 'Panchamrit' to 500 GW of non-fossil energy capacity by 2030 and net zero by 2070.
6. PM Surya Ghar Muft Bijli Yojana — launched 13 February 2024; rooftop solar for one crore households with up to 300 units of free electricity a month.
7. Bharatmala Pariyojana — Phase-I approved in 2017 for about 34,800 km, covering economic corridors, border and international connectivity roads and expressways; implemented mainly through NHAI.
8. Golden Quadrilateral (5,846 km) links Delhi, Mumbai, Chennai and Kolkata; the North-South corridor runs Srinagar to Kanyakumari and the East-West corridor Silchar to Porbandar — the two corridors cross at Jhansi.
9. Dedicated Freight Corridors — Eastern DFC (Ludhiana to Sonnagar) and Western DFC (Jawaharlal Nehru Port to Dadri); implemented by DFCCIL, incorporated in 2006.
10. The first Vande Bharat Express (Train 18) was flagged off on 15 February 2019 on the New Delhi-Varanasi route; Kavach is the indigenous train collision avoidance system.
11. Sagarmala (2015) is the port-led development programme of the Ministry of Ports, Shipping and Waterways; the Major Port Authorities Act, 2021 replaced the Major Port Trusts Act, 1963 and gave major ports greater autonomy.
12. UDAN (Ude Desh ka Aam Naagrik), the Regional Connectivity Scheme, was launched on 21 October 2016; the first flight was Shimla-Delhi in April 2017; airfares on RCS seats are capped and airlines get viability gap funding.
13. Telecommunications Act, 2023 replaced the Indian Telegraph Act, 1885 and the Indian Wireless Telegraphy Act, 1933; TRAI was set up under the TRAI Act, 1997; BharatNet (originally NOFN, 2011) targets broadband to every gram panchayat; 5G services were launched on 1 October 2022.
14. PM Gati Shakti National Master Plan — launched 13 October 2021; a GIS-based digital platform built with BiSAG-N integrating 16 ministries; nodal department DPIIT; institutional structure of Network Planning Group and an Empowered Group of Secretaries.
15. Budget 2022-23 named the seven engines of PM Gati Shakti: roads, railways, airports, ports, mass transport, waterways and logistics infrastructure. The National Logistics Policy was released on 17 September 2022.
16. National Infrastructure Pipeline — task force chaired by Atanu Chakraborty; projects worth about Rs 111 lakh crore for FY2020-25; projects are showcased on the India Investment Grid.
17. PPP models — BOT (Toll) puts traffic risk on the concessionaire; BOT (Annuity) puts it on the authority; Hybrid Annuity Model has the government funding 40 per cent of project cost during construction and

the rest as annuities; TOT monetises operational highways; EPC is not a PPP model. VGF is administered by the Department of Economic Affairs; the Kelkar Committee (2015) reviewed PPPs.

18. Balance of Payments — current account (merchandise trade plus invisibles: services, primary income and transfers) and capital account (FDI, FPI, ECBs, banking capital). The BoP always balances by construction; a deficit is financed by reserves.
19. Foreign exchange reserves comprise foreign currency assets, gold, SDRs and the reserve tranche position with the IMF; India's reserves crossed US$ 700 billion for the first time in September 2024 and India is among the top four reserve holders.
20. FDI implies a lasting interest, conventionally 10 per cent or more of equity; below that it is foreign portfolio investment. FPI is volatile 'hot money'; FDI brings technology and management.
21. Exchange rate regime — LERMS (dual rate) in 1992, unified in March 1993 into a managed float. India accepted current account convertibility under Article VIII of the IMF in August 1994; the Tarapore Committees of 1997 and 2006 examined capital account convertibility, which India has not adopted fully.
22. WTO — established 1 January 1995 under the Marrakesh Agreement (1994), successor to GATT 1947; headquarters Geneva; decisions by consensus; 166 members after Comoros and Timor-Leste joined at MC13 in Abu Dhabi (2024).
23. India's trade agreements — CEPA with the UAE (2022), ECTA with Australia (2022), TEPA with EFTA (signed 2024, in force 2025, with a US$ 100 billion investment commitment) and CETA with the United Kingdom (signed July 2025). India walked out of RCEP negotiations in November 2019.
24. Foreign Trade Policy 2023 came into effect on 1 April 2023 and is open-ended (no fixed end date); it is administered by the DGFT under the Ministry of Commerce and Industry.
25. Periodic Labour Force Survey — launched by NSO in April 2017; annual reports on usual status and quarterly (now monthly) urban bulletins on current weekly status.
26. PLFS 2023-24 (usual status, age 15 years and above): LFPR 60.1 per cent, Worker Population Ratio 58.2 per cent, unemployment rate 3.2 per cent; female LFPR rose from 37.0 to 41.7 per cent.
27. Work Participation Ratio (Worker Population Ratio) = number of employed persons divided by total population, expressed as a percentage; LFPR counts workers plus those seeking work.
28. About 90 per cent of India's workforce is in the unorganised or informal sector; the e-Shram portal (26 August 2021, Ministry of Labour and Employment) is the national database of unorganised workers, with over 30 crore registrations.
29. Skill ecosystem — Ministry of Skill Development and Entrepreneurship created 9 November 2014; NSDC incorporated in 2008 as a PPP with 49 per cent government and 51 per cent private equity; NSQF notified in December 2013 with 10 levels; National Skill Development Mission, PMKVY and the National Policy on Skill Development and Entrepreneurship were all launched on 15 July 2015 (World Youth Skills Day). NAPS (2016) promotes apprenticeship under the Apprentices Act, 1961.
30. Gig economy — the Code on Social Security, 2020 was the first Indian law to define 'gig worker' and 'platform worker'; NITI Aayog's 2022 report projected the gig workforce rising from about 77 lakh in 2020-21 to 2.35 crore by 2029-30.

1. Which sector currently contributes the largest share to India's gross value added?

(A) Agriculture and allied activities (B) Mining and quarrying
(C) Manufacturing (D) Services

2. India's services exports in the financial year 2024-25 were of the order of HARD

(A) US$ 185 billion (B) US$ 265 billion
(C) US$ 383 billion (D) US$ 520 billion

3. The unbundling of electricity generation, transmission and distribution in India was mandated by the

(A) Electricity (Supply) Act, 1948
(B) Electricity Regulatory Commissions Act, 1998
(C) Electricity Act, 2003
(D) Energy Conservation Act, 2001

4. Ujwal DISCOM Assurance Yojana (UDAY) was launched in 2015 for the financial and operational turnaround of

(A) power generating companies
(B) transmission utilities
(C) power distribution companies
(D) renewable energy developers

5. Under the 'Panchamrit' commitments announced at COP26, India's target for non-fossil fuel based energy capacity by 2030 is

(A) 175 GW
(B) 280 GW
(C) 450 GW
(D) 500 GW

6. Under the PM Surya Ghar Muft Bijli Yojana launched in February 2024, the free electricity offered to a beneficiary household every month is up to

(A) 100 units
(B) 200 units
(C) 300 units
(D) 500 units

7. Phase-I of the Bharatmala Pariyojana, approved in 2017, envisaged the development of about

(A) 14,800 km of highways
(B) 24,800 km of highways
(C) 34,800 km of highways
(D) 54,800 km of highways

8. The total length of the Golden Quadrilateral highway network connecting Delhi, Mumbai, Chennai and Kolkata is about `RAS PRE 2021, 2024`

(A) 3,640 km
(B) 4,076 km
(C) 5,846 km
(D) 7,300 km

9. The North-South and East-West corridors of the National Highways Development Project intersect at `RAS PRE 2016, 2023`

(A) Nagpur
(B) Jhansi
(C) Bhopal
(D) Gwalior

10. The Western Dedicated Freight Corridor runs between `HARD`

(A) Ludhiana and Sonnagar
(B) Mumbai and Ahmedabad
(C) Kandla and Delhi
(D) Jawaharlal Nehru Port and Dadri

11. The first Vande Bharat Express in India was flagged off in February 2019 on which route?

(A) New Delhi - Varanasi
(B) Mumbai - Ahmedabad
(C) New Delhi - Katra
(D) Chennai - Mysuru

12. The Sagarmala programme for port-led development is implemented by the

(A) Ministry of Road Transport and Highways
(B) Ministry of Commerce and Industry
(C) Ministry of Ports, Shipping and Waterways
(D) Ministry of Railways

13. The Major Port Authorities Act, 2021 replaced which earlier legislation?

(A) Indian Ports Act, 1908
(B) Merchant Shipping Act, 1958
(C) Major Port Trusts Act, 1963
(D) Inland Vessels Act, 1917

14. The acronym UDAN in India's Regional Connectivity Scheme stands for

(A) Unified Development of Aviation Network
(B) Ude Desh ka Aam Naagrik
(C) Universal Domestic Aviation Network
(D) Udyam Development and Aviation Nidhi

15. The Telecommunications Act, 2023 replaced which of the following colonial-era legislations?

(A) Indian Post Office Act, 1898
(B) Indian Telegraph Act, 1885
(C) Indian Electricity Act, 1910
(D) Indian Railways Act, 1890

16. The PM Gati Shakti National Master Plan for multi-modal connectivity was launched on

(A) 15 August 2019
(B) 12 May 2020
(C) 13 October 2021
(D) 17 September 2022

17. The National Infrastructure Pipeline announced by the Government of India envisaged investment of about

(A) Rs 51 lakh crore
(B) Rs 75 lakh crore
(C) Rs 100 lakh crore
(D) Rs 111 lakh crore

18. Under the Hybrid Annuity Model of highway development, the share of project cost provided by the government during the construction period is `HARD`

(A) 20 per cent
(B) 40 per cent
(C) 60 per cent
(D) 100 per cent

19. An investment in the equity of an Indian company is conventionally treated as foreign direct investment rather than portfolio investment when the stake is at least

(A) 5 per cent
(B) 10 per cent
(C) 25 per cent
(D) 51 per cent

20. The World Trade Organization came into existence on

(A) 1 January 1948
(B) 15 April 1994
(C) 1 January 1995
(D) 1 April 1996

21. In the financial year 2024-25 India's largest trading partner was

(A) China
(B) United Arab Emirates
(C) United States of America
(D) Saudi Arabia

22. The e-Shram portal, the national database of unorganised workers, functions under the

(A) Ministry of Rural Development
(B) Ministry of Labour and Employment
(C) Ministry of Skill Development and Entrepreneurship
(D) Ministry of Social Justice and Empowerment

23. The National Skills Qualifications Framework (NSQF) in India has how many levels?

(A) Five
(B) Seven
(C) Eight
(D) Ten

24. The Ministry of Skill Development and Entrepreneurship was created in the year `RAS PRE 2018`

(A) 2009
(B) 2014
(C) 2015
(D) 2017

25. The Work Participation Ratio of a population is defined as `RAS PRE 2021, 2024`

(A) the ratio of the labour force to the total population
(B) the ratio of employed persons to the total population
(C) the ratio of unemployed persons to the labour force
(D) the ratio of employed persons to the labour force

26. Consider the following statements about the PM Gati Shakti National Master Plan:
I. It was launched in October 2021.
II. It is a GIS-based digital platform integrating the infrastructure plans of sixteen ministries.
III. The nodal department for its implementation is the Ministry of Railways.
Which of the statements given above are correct?

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

27. Consider the following statements about the National Infrastructure Pipeline:
I. It was drawn up by a task force chaired by Atanu Chakraborty.
II. It covers the period 2020-21 to 2024-25.
III. Its projects are displayed on the India Investment Grid.
Which of the statements given above are correct? `HARD`

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

28. Consider the following statements about India's balance of payments:
I. The current account records trade in goods and services along with primary income and transfers.
II. Foreign direct investment is recorded in the capital account.
III. The balance of payments as a whole can show a permanent surplus or deficit.
Which of the statements given above are correct?

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

29. Consider the following statements about India's foreign exchange reserves:
I. They include the reserve tranche position with the International Monetary Fund.
II. Special Drawing Rights form a component of the reserves.
III. Foreign currency assets form the smallest component.
Which of the statements given above are correct?

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

30. Consider the following statements based on the Periodic Labour Force Survey Annual Report for 2023-24 (usual status, persons aged 15 years and above):
I. The labour force participation rate was 60.1 per cent.
II. The worker population ratio was 58.2 per cent.
III. The unemployment rate was 6.1 per cent.
Which of the statements given above are correct? RAS PRE 2024

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

31. Consider the following statements about India's skill development architecture:
I. The National Skill Development Mission and the Pradhan Mantri Kaushal Vikas Yojana were both launched on 15 July 2015.
II. The National Skill Development Corporation is a public sector undertaking wholly owned by the Government of India.
III. The National Apprenticeship Promotion Scheme operates under the Apprentices Act, 1961.
Which of the statements given above are correct? RAS PRE 2021

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

32. Consider the following statements about the UDAN Regional Connectivity Scheme:
I. It was launched in 2016 under the National Civil Aviation Policy.
II. Selected airlines receive viability gap funding on regional connectivity seats.
III. The fare on regional connectivity seats is capped.
Which of the statements given above are correct?

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

33. Consider the following statements about India's trade agreements:
I. India signed a Comprehensive Economic Partnership Agreement with the United Arab Emirates in 2022.
II. India signed a Trade and Economic Partnership Agreement with the EFTA countries.
III. India is a founder member of the Regional Comprehensive Economic Partnership.
Which of the statements given above are correct? HARD

(A) I and II only
(B) II and III only
(C) I and III only
(D) I, II and III

34. Match List-I with List-II and select the correct answer using the codes given below:
List-I (PPP model) List-II (Feature)
A. BOT (Toll) 1. Government funds 40 per cent of cost during construction
B. BOT (Annuity) 2. Concessionaire recovers investment from user charges
C. Hybrid Annuity Model 3. Operational public asset leased out for a fixed period
D. Toll-Operate-Transfer 4. Authority pays fixed semi-annual payments, bearing traffic risk

(A) A-2, B-4, C-1, D-3
(B) A-2, B-1, C-4, D-3
(C) A-4, B-2, C-1, D-3
(D) A-2, B-4, C-3, D-1

35. Match List-I with List-II and select the correct answer using the codes given below:

List-I (Programme) List-II (Sector)

A. Sagarmala 1. Regional air connectivity

B. Bharatmala 2. Rural broadband

C. UDAN 3. Ports

D. BharatNet 4. Highways

(A) A-3, B-4, C-1, D-2
(B) A-4, B-3, C-1, D-2
(C) A-3, B-4, C-2, D-1
(D) A-3, B-1, C-4, D-2

36. Match List-I with List-II and select the correct answer using the codes given below:

List-I (Scheme or portal) List-II (Ministry)

A. UDAY 1. Ministry of Labour and Employment

B. e-Shram 2. Ministry of Skill Development and Entrepreneurship

C. PMKVY 3. Ministry of Power

D. Sagarmala 4. Ministry of Ports, Shipping and Waterways

(A) A-1, B-3, C-2, D-4
(B) A-3, B-1, C-2, D-4
(C) A-3, B-2, C-1, D-4
(D) A-3, B-1, C-4, D-2

37. Match List-I with List-II and select the correct answer using the codes given below:

List-I (Committee) List-II (Subject)

A. Tarapore Committee 1. National Infrastructure Pipeline

B. Atanu Chakraborty Task Force 2. Revitalising public private partnerships

C. Vijay Kelkar Committee 3. Capital account convertibility

D. Rangarajan Committee 4. Measurement of poverty

(A) A-3, B-1, C-2, D-4
(B) A-1, B-3, C-2, D-4
(C) A-3, B-2, C-1, D-4
(D) A-3, B-1, C-4, D-2

38. Match List-I with List-II and select the correct answer using the codes given below:

List-I (Trade agreement) List-II (Partner)

A. CEPA 1. United Kingdom

B. ECTA 2. EFTA countries

C. TEPA 3. United Arab Emirates

D. CETA 4. Australia HARD

(A) A-3, B-4, C-2, D-1
(B) A-2, B-4, C-3, D-1
(C) A-3, B-1, C-2, D-4
(D) A-3, B-4, C-1, D-2

39. Which one of the following is NOT a part of the current account of India's balance of payments?

(A) Merchandise exports and imports
(B) Net income from abroad
(C) External commercial borrowings
(D) Private remittances from abroad

40. Which one of the following is NOT among the seven engines of growth identified for PM Gati Shakti in the Union Budget 2022-23?

(A) Railways
(B) Waterways
(C) Power transmission
(D) Mass transport

41. Which one of the following pairs relating to infrastructure and trade is NOT correctly matched?

(A) Foreign Trade Policy 2023 - effective from 1 April 2023
(B) Telecommunications Act - 2023
(C) Major Port Authorities Act - 2021
(D) Sagarmala programme - Ministry of Commerce and Industry

42. Which one of the following statements about employment in India is NOT correct?

(A) About ninety per cent of the workforce is in the unorganised sector
(B) The Periodic Labour Force Survey is conducted by the National Statistical Office
(C) The Code on Social Security, 2020 defines gig and platform workers
(D) The e-Shram portal registers only workers of the organised sector

43. Which one of the following is NOT a skill development or apprenticeship initiative of the Government of India?

(A) Pradhan Mantri Kaushal Vikas Yojana
(B) National Apprenticeship Promotion Scheme
(C) SANKALP
(D) PM-KUSUM

44. Arrange the following in correct chronological order of their launch or enactment:

I. Electricity Act
II. Ujwal DISCOM Assurance Yojana
III. Bharatmala Pariyojana Phase-I
IV. PM Gati Shakti National Master Plan

(A) II, I, III, IV
(B) I, II, III, IV
(C) I, III, II, IV
(D) I, II, IV, III

45. Arrange the following events in correct chronological order:

I. Establishment of the World Trade Organization
II. India accepts current account convertibility under Article VIII of the IMF
III. India-UAE Comprehensive Economic Partnership Agreement comes into force
IV. India signs the Comprehensive Economic and Trade Agreement with the United Kingdom

(A) I, II, III, IV
(B) II, I, IV, III
(C) II, I, III, IV
(D) I, II, IV, III

Answer key & explanations

IE01 — BASIC CONCEPTS: GROWTH, DEVELOPMENT, SUSTAINABILITY, NATIONAL INCOME

IE01·1 **D**
IE01·2 **C**
IE01·3 **D**
IE01·4 **B**
IE01·5 **C**
IE01·6 **D**
IE01·7 **D**
IE01·8 **C**
IE01·9 **D**
IE01·10 **D**
IE01·11 **C**
IE01·12 **C**
IE01·13 **D**
IE01·14 **C**
IE01·15 **D**
IE01·16 **D**
IE01·17 **D**
IE01·18 **D**
IE01·19 **C**
IE01·20 **D**
IE01·21 **A**
IE01·22 **D**
IE01·23 **C**
IE01·24 **C**
IE01·25 **A**
IE01·26 **B**
IE01·27 **A**
IE01·28 **D**
IE01·29 **D**
IE01·30 **D**
IE01·31 **D**
IE01·32 **A**
IE01·33 **B**
IE01·34 **B**
IE01·35 **A**
IE01·36 **A**
IE01·37 **A**
IE01·38 **B**
IE01·39 **A**
IE01·40 **D**
IE01·41 **C**
IE01·42 **C**
IE01·43 **C**
IE01·44 **C**
IE01·45 **A**

IE02 — MEASUREMENT OF DEVELOPMENT: HDI, INDICES, POVERTY AND INEQUALITY

IE02·1 **D**
IE02·2 **C**
IE02·3 **C**
IE02·4 **B**
IE02·5 **C**
IE02·6 **B**
IE02·7 **C**
IE02·8 **D**
IE02·9 **C**
IE02·10 **B**
IE02·11 **A**
IE02·12 **D**
IE02·13 **C**
IE02·14 **D**
IE02·15 **C**
IE02·16 **D**
IE02·17 **C**
IE02·18 **A**
IE02·19 **D**
IE02·20 **B**
IE02·21 **C**
IE02·22 **B**
IE02·23 **A**
IE02·24 **A**
IE02·25 **D**
IE02·26 **A**
IE02·27 **A**
IE02·28 **A**
IE02·29 **A**
IE02·30 **D**
IE02·31 **A**
IE02·32 **A**
IE02·33 **A**
IE02·34 **B**
IE02·35 **D**
IE02·36 **C**
IE02·37 **D**
IE02·38 **C**
IE02·39 **A**
IE02·40 **A**

IE03 — MONEY, BANKING, RBI, MONETARY POLICY AND INFLATION

IE03·1 **A**
IE03·2 **B**
IE03·3 **C**
IE03·4 **B**
IE03·5 **B**
IE03·6 **B**
IE03·7 **B**
IE03·8 **B**
IE03·9 **B**
IE03·10 **B**
IE03·11 **B**
IE03·12 **B**
IE03·13 **B**
IE03·14 **B**
IE03·15 **B**
IE03·16 **B**
IE03·17 **D**
IE03·18 **C**
IE03·19 **C**
IE03·20 **B**
IE03·21 **C**
IE03·22 **B**
IE03·23 **B**
IE03·24 **C**
IE03·25 **A**
IE03·26 **B**
IE03·27 **A**
IE03·28 **B**
IE03·29 **D**
IE03·30 **A**
IE03·31 **B**
IE03·32 **D**
IE03·33 **A**
IE03·34 **B**
IE03·35 **A**
IE03·36 **A**
IE03·37 **A**
IE03·38 **A**
IE03·39 **C**
IE03·40 **D**
IE03·41 **C**
IE03·42 **C**
IE03·43 **C**
IE03·44 **A**
IE03·45 **A**

IE04 — PUBLIC FINANCE: BUDGET, TAXATION, GST, FISCAL POLICY, FRBM

IE04·1 **C**
IE04·2 **A**
IE04·3 **D**
IE04·4 **B**
IE04·5 **A**
IE04·6 **C**
IE04·7 **B**
IE04·8 **D**
IE04·9 **C**
IE04·10 **A**
IE04·11 **D**
IE04·12 **B**
IE04·13 **C**
IE04·14 **A**
IE04·15 **B**
IE04·16 **D**
IE04·17 **A**
IE04·18 **C**
IE04·19 **D**
IE04·20 **B**
IE04·21 **A**
IE04·22 **D**
IE04·23 **C**
IE04·24 **B**

IE04·25 **D**
IE04·26 **A**
IE04·27 **B**
IE04·28 **C**
IE04·29 **A**
IE04·30 **D**
IE04·31 **B**
IE04·32 **C**
IE04·33 **D**
IE04·34 **B**
IE04·35 **A**
IE04·36 **C**
IE04·37 **B**
IE04·38 **A**
IE04·39 **C**
IE04·40 **D**
IE04·41 **B**
IE04·42 **C**
IE04·43 **A**
IE04·44 **D**
IE04·45 **C**

IE05 — FISCAL FEDERALISM, FINANCE COMMISSION AND CENTRE-STATE FINANCIAL RELATIONS

IE05·1 **B**
IE05·2 **D**
IE05·3 **A**
IE05·4 **C**
IE05·5 **D**
IE05·6 **B**
IE05·7 **C**
IE05·8 **A**
IE05·9 **A**
IE05·10 **C**
IE05·11 **B**
IE05·12 **D**
IE05·13 **C**
IE05·14 **A**
IE05·15 **D**
IE05·16 **B**
IE05·17 **B**
IE05·18 **D**
IE05·19 **A**
IE05·20 **C**
IE05·21 **D**
IE05·22 **A**
IE05·23 **C**
IE05·24 **B**
IE05·25 **A**
IE05·26 **B**
IE05·27 **D**
IE05·28 **C**
IE05·29 **B**
IE05·30 **C**
IE05·31 **A**
IE05·32 **D**
IE05·33 **C**
IE05·34 **B**
IE05·35 **D**

IE06 — AGRICULTURE: DEVELOPMENT, REFORMS AND POLICY

IE06·1 **D**
IE06·2 **B**
IE06·3 **C**
IE06·4 **A**
IE06·5 **B**
IE06·6 **D**
IE06·7 **A**
IE06·8 **C**
IE06·9 **C**
IE06·10 **A**
IE06·11 **B**
IE06·12 **D**
IE06·13 **A**
IE06·14 **C**
IE06·15 **D**
IE06·16 **B**
IE06·17 **D**
IE06·18 **C**
IE06·19 **B**
IE06·20 **A**
IE06·21 **A**
IE06·22 **B**
IE06·23 **C**
IE06·24 **D**
IE06·25 **B**
IE06·26 **A**
IE06·27 **D**
IE06·28 **C**
IE06·29 **C**
IE06·30 **D**
IE06·31 **A**
IE06·32 **B**
IE06·33 **D**
IE06·34 **A**
IE06·35 **C**
IE06·36 **B**
IE06·37 **B**
IE06·38 **C**
IE06·39 **D**
IE06·40 **A**

IE07 — INDUSTRY: GROWTH, LPG REFORMS, MSME AND INDUSTRIAL POLICY

IE07·1 **B**
IE07·2 **D**
IE07·3 **A**
IE07·4 **B**
IE07·5 **D**
IE07·6 **A**
IE07·7 **D**
IE07·8 **B**
IE07·9 **B**
IE07·10 **D**
IE07·11 **C**
IE07·12 **C**
IE07·13 **C**
IE07·14 **B**
IE07·15 **B**
IE07·16 **C**
IE07·17 **C**
IE07·18 **C**
IE07·19 **D**
IE07·20 **B**
IE07·21 **A**
IE07·22 **D**
IE07·23 **A**
IE07·24 **A**
IE07·25 **D**
IE07·26 **B**
IE07·27 **D**
IE07·28 **B**
IE07·29 **D**
IE07·30 **A**
IE07·31 **A**
IE07·32 **C**
IE07·33 **A**
IE07·34 **A**
IE07·35 **B**
IE07·36 **D**
IE07·37 **D**
IE07·38 **B**
IE07·39 **C**
IE07·40 **A**

IE08 — SERVICES, INFRASTRUCTURE, EXTERNAL SECTOR, EMPLOYMENT AND SKILLS

IE08·1 **D**
IE08·2 **C**
IE08·3 **C**
IE08·4 **C**
IE08·5 **D**
IE08·6 **C**
IE08·7 **C**
IE08·8 **C**
IE08·9 **B**
IE08·10 **D**
IE08·11 **A**
IE08·12 **C**
IE08·13 **C**
IE08·14 **B**
IE08·15 **B**
IE08·16 **C**
IE08·17 **D**
IE08·18 **B**
IE08·19 **B**
IE08·20 **C**
IE08·21 **C**
IE08·22 **B**
IE08·23 **D**
IE08·24 **B**
IE08·25 **B**
IE08·26 **A**
IE08·27 **D**
IE08·28 **A**

IE08·29 **A**
IE08·30 **A**
IE08·31 **C**
IE08·32 **D**
IE08·33 **A**
IE08·34 **A**
IE08·35 **A**
IE08·36 **B**
IE08·37 **A**
IE08·38 **A**
IE08·39 **C**
IE08·40 **C**
IE08·41 **D**
IE08·42 **D**
IE08·43 **D**
IE08·44 **B**
IE08·45 **C**

IE01 — EXPLANATIONS

1. (D) a sustained increase in the real national output of a country over time — Growth is a purely quantitative concept — a sustained rise in real (inflation-adjusted) national output. Improvements in distribution, literacy and longevity belong to the wider concept of economic development.

2. (C) Amartya Sen — Amartya Sen's 'Development as Freedom' (1999) argues that development means removing 'unfreedoms' and expanding capabilities. Sen also assisted Mahbub ul Haq in designing the Human Development Index.

3. (D) Our Common Future — 'Our Common Future' (1987) was the report of the World Commission on Environment and Development, chaired by Gro Harlem Brundtland; hence it is popularly called the Brundtland Report.

4. (B) 17 goals and 169 targets — The 2030 Agenda for Sustainable Development contains 17 goals and 169 targets; 232 refers to the number of unique global indicators, not targets. The SDGs replaced the 8 Millennium Development Goals.

5. (C) Dadabhai Naoroji — Dadabhai Naoroji made the first estimate for 1867-68 in 'Poverty and Un-British Rule in India', placing per capita income at Rs 20. The first scientific estimate was made by V.K.R.V. Rao for 1931-32.

6. (D) P.C. Mahalanobis — P.C. Mahalanobis chaired the National Income Committee (1949), with V.K.R.V. Rao and D.R. Gadgil as members. Its first report came in 1951 and the final report in 1954.

7. (D) GDP plus net factor income from abroad — GNP = GDP + Net Factor Income from Abroad (NFIA). NFIA is factor income earned by residents abroad minus factor income earned by non-residents within the country.

8. (C) Net National Product at factor cost — National Income is defined as Net National Product at factor cost (NNP-FC). Per capita income is NNP at factor cost divided by the mid-year population.

9. (D) 2022-23 — MoSPI released the new GDP series with base year 2022-23 on 27 February 2026, replacing the 2011-12 base year that had been in use since January 2015. As of February 2026, 2022-23 was chosen as a post-COVID 'normal' year with robust data.

10. (D) Net National Product at factor cost — Per capita income = National Income (NNP at factor cost) / mid-year population. Using GDP instead would ignore depreciation and net factor income from abroad.

11. (C) Consumption of fixed capital — NDP = GDP - depreciation, which in national accounts is called consumption of fixed capital. Deducting NFIA from GDP would instead move from GNP to GDP.

12. (C) Services — The services (tertiary) sector contributes roughly 55% of India's GVA, well ahead of industry and agriculture. Agriculture, however, still absorbs the largest share of the workforce (43.0% in PLFS 2025).

13. (D) income method — The income method sums factor payments — compensation of employees, rent, interest, and profit (plus mixed income). The other two approaches are the production/value-added method and the expenditure method.

14. (C) Department of Economic Affairs, Ministry of Finance — The Economic Survey is prepared by the Economic Division of the Department of Economic Affairs under the Chief Economic Adviser and is tabled in Parliament a day before the Union Budget. The first Economic Survey was for 1950-51.

15. (D) the CSO and the NSSO — NSO was created in 2019 by merging the Central Statistics Office (CSO) and the National Sample Survey Office (NSSO) under MoSPI. The National Statistical Commission, set up in 2005, remains a separate advisory body.

16. (D) adding production taxes and deducting production subsidies — GVA at basic prices = GVA at factor cost + production taxes - production subsidies. Product taxes and subsidies are then adjusted to move from GVA at basic prices to GDP at market prices.

17. (D) the savings rate and the capital-output ratio — In the Harrod-Domar model, growth rate = savings rate / capital-output ratio. It highlights capital accumulation as the engine of growth and was influential in India's Second Five Year Plan thinking.

18. (D) GDP adjusted for the depletion of natural resources and environmental degradation — Green GDP subtracts the monetary value of resource depletion and environmental damage from conventional GDP, a form of green or environmental accounting.

19. (C) materials are kept in use through reduction, reuse, recycling and recovery — The circular economy keeps materials and products in circulation instead of the linear 'take-make-dispose' model. India promotes it through Extended Producer Responsibility and the Vehicle Scrappage Policy.

20. (D) NITI Aayog — NITI Aayog publishes the SDG India Index in collaboration with MoSPI and the UN in India; the first edition was released in December 2018.

21. (A) 8 goals for the period 2000-2015 — The MDGs consisted of 8 goals covering 2000-2015. They were succeeded by the 17 SDGs, which came into force on 1 January 2016.

22. (D) GDP at constant market prices — Since the January 2015 revision, India reports headline growth as real GDP (constant market prices), while sectoral performance is reported through GVA at basic prices.

23. (C) third largest economy in the world — By PPP-adjusted GDP India ranks third, after the United States and China. In nominal US-dollar terms India is the fourth largest economy (IMF World Economic Outlook).

24. (C) the take-off — W.W. Rostow's five stages are traditional society, pre-conditions for take-off, take-off, drive to maturity, and the age of high mass consumption. Take-off marks the point where growth becomes self-sustaining.

25. (A) value of output minus intermediate consumption — Value added = value of output - intermediate consumption. Summing value added across all producing units avoids the problem of double counting in national income estimation.

26. (B) I and III only — Growth is narrower than development, and development includes qualitative and distributional change. Statement II is wrong — growth can occur without development if its benefits are not widely shared ('growth without development').

27. (A) I and II only — I and II are correct. III is wrong — GVA is measured net of product taxes, so it is unaffected by an indirect tax increase, whereas GDP at market prices would rise.

28. (D) I, II and III — All three are correct. The Brundtland Commission (WCED) definition of 1987 and the three-pillar framework of economic, social and environmental sustainability are both standard.

29. (D) I, II and III — All three are correct. The series released by MoSPI on 27 February 2026 also adopts the Supply-Use Table framework and draws on ASUSE and PLFS for the household sector.

30. (D) I, II and III — All three are correct. Because the base-year deflator equals 100, nominal and real GDP coincide in the base year; in later years nominal GDP can rise purely on account of price increases.

31. (D) I, II and III — All three are correct. India's NFIA is usually negative because payments of investment income to foreigners exceed factor income earned by Indians abroad; hence India's GNI is normally slightly smaller than its GDP.

32. (A) I and II only — I and II are correct. III is wrong — the SDGs are voluntary, non-binding commitments monitored through Voluntary National Reviews at the UN High-Level Political Forum.

33. (B) II and III only — II and III are correct. The Economic Survey is a convention, not a constitutional or statutory obligation, unlike the Annual Financial Statement required by Article 112.

34. (B) I and III only — I and III are correct. Transfer payments involve no corresponding production and are therefore excluded; second-hand sales were already counted when the good was first produced.

35. (A) A-2, B-1, C-4, D-3 — NDP = GDP - depreciation; GNP = GDP + NFIA; National Income = NNP at factor cost; NNP at market prices = GNP - depreciation.

36. (A) A-3, B-1, C-4, D-2 — Nurkse gave the vicious circle of poverty and balanced growth; Rosenstein-Rodan the Big Push; Lewis the dual-sector model; Hirschman the unbalanced growth strategy.

37. (A) A-2, B-1, C-4, D-3 — NSO compiles national accounts; the DEA prepares the Economic Survey; NITI Aayog publishes the SDG India Index; the Office of the Economic Adviser under DPIIT compiles the WPI.

38. (B) A-2, B-1, C-4, D-3 — SDG-1 No Poverty, SDG-2 Zero Hunger, SDG-3 Good Health and Well-being, SDG-4 Quality Education, SDG-5 Gender Equality.

39. (A) A-3, B-1, C-2, D-4 — Demographic dividend arises from a rising working-age share; green GDP nets out environmental costs; trickle-down is indirect benefit transmission; circular economy focuses on material retention.

40. (D) Input-output substitution method — The three recognised methods are the production (value added), income and expenditure methods. 'Input-output substitution method' is not a national income estimation method.

41. (C) Old-age pension paid by the State — Old-age pension is a transfer payment — money is transferred without any corresponding production of goods or services — and is therefore excluded from national income.

42. (C) GDP deflator — ratio of real GDP to nominal GDP multiplied by 100 — The GDP deflator is (Nominal GDP / Real GDP) x 100, not the reverse. The other three pairs are correct.

43. (C) Replacement of GDP by GVA as the headline growth indicator — The new series retains GDP at constant market prices as the headline growth measure; GVA at basic prices continues to be used for sectoral analysis. The other three are genuine features.

44. (C) Electricity generation — Electricity, gas and water supply are classified under the secondary sector in Indian national accounts. Banking, transport and trade are all tertiary (services) activities.

45. (A) IV, II, III, I — India's national accounts base years moved 1993-94, then 1999-2000, then 2004-05, then 2011-12 (adopted January 2015), and most recently 2022-23 (released February 2026).

IE02 — EXPLANATIONS

1. (D) Mahbub ul Haq with the assistance of Amartya Sen — The Pakistani economist Mahbub ul Haq designed the HDI, assisted by Amartya Sen, and it first appeared in the UNDP Human Development Report of 1990.

2. (C) Gross National Income per capita at purchasing power parity — Since 2010 the HDI uses GNI per capita in PPP dollars; before 2010 it used GDP per capita (PPP). The other two dimensions are life expectancy at birth and the two schooling indicators.

3. (C) 130 out of 193 countries — The UNDP's Human Development Report 2025 placed India 130th out of 193 countries with an HDI value of 0.685 (as of the report released in May 2025). Iceland topped the index.

4. (B) Medium human development — India's HDI value of 0.685 in HDR 2025 falls in the medium human development band (0.550-0.699). The high band begins at 0.700.

5. (C) Iceland — Iceland ranked first in the HDR 2025 released by UNDP in May 2025, followed by other very high human development economies of Northern and Western Europe.

6. (B) 116th — India was ranked 116th of 147 countries in the World Happiness Report 2026 (released March 2026), improving from 118th in the 2025 edition and 126th in the 2024 edition.

7. (C) Finland — Finland retained the top position for the ninth year in a row in the World Happiness Report 2026; Afghanistan was placed last among the 147 countries ranked.

8. (D) self-reported life evaluations on the Cantril ladder from the Gallup World Poll — Rankings rest on average life evaluations on the Cantril ladder (0 to 10) from the Gallup World Poll. Six variables — GDP per capita, social support, healthy life expectancy, freedom, generosity and perceptions of corruption — are used to explain, not to compute, the scores.

9. (C) the Oxford Poverty and Human Development Initiative — The Global MPI is produced by UNDP with OPHI at the University of Oxford. It uses 3 dimensions and 10 indicators, with a deprivation cut-off of one-third of weighted indicators.

10. (B) 3 dimensions and 12 indicators — The National MPI retains the 3 global dimensions but uses 12 indicators — the 10 global ones plus maternal health and bank account, reflecting national priorities.

11. (A) headcount ratio and intensity of deprivation — MPI = H x A, where H is the proportion of people who are multidimensionally poor and A is the average share of weighted deprivations they suffer.

12. (D) life expectancy at age one — PQLI (1979) uses infant mortality, life expectancy at age one and basic literacy, each scaled 0-100. It deliberately excludes income, unlike the HDI.

13. (C) Bhutan — Bhutan adopted Gross National Happiness as its guiding development philosophy; it is built on four pillars and nine domains and is written into Bhutan's Constitution.

14. (D) Concern Worldwide and Welthungerhilfe — The GHI is published by Concern Worldwide (Ireland) and Welthungerhilfe (Germany). India was ranked 102nd in the Global Hunger Index 2025.

15. (C) child mortality — The fourth GHI indicator is child mortality, that is the under-five mortality rate. Undernourishment carries a one-third weight, child mortality one-third, and stunting and wasting one-sixth each.

16. (D) the degree of inequality in the distribution of income — The Gini coefficient measures income (or consumption) inequality on a scale of 0 (perfect equality) to 1 (perfect inequality) and is derived from the Lorenz curve.

17. (C) per capita income and income inequality — Simon Kuznets (1955) proposed an inverted-U relationship in which inequality first rises and then falls as per capita income increases. The Environmental Kuznets Curve applies the same shape to environmental degradation.

18. (A) 21.9 per cent — The Tendulkar methodology placed poverty at 21.9% in 2011-12 (rural 25.7%, urban 13.7%). The Rangarajan Committee, using a different basket, put it at 29.5% for the same year.

19. (D) poverty — The Expert Group under C. Rangarajan reviewed the poverty measurement methodology and recommended monthly per capita poverty lines of Rs 972 (rural) and Rs 1407 (urban) at 2011-12 prices.

20. (B) percentage of employed persons in the total population — WPR (Worker Population Ratio, also called Work Participation Rate) is the percentage of employed persons in the population. LFPR uses the labour force in the numerator, and the unemployment rate uses the labour force in the denominator.

21. (C) 57.4 per cent — The PLFS Annual Report 2025, released in March 2026, reported WPR at 57.4%, LFPR at 59.3% and the unemployment rate at 3.1% for persons aged 15 and above on usual status.

22. (B) Doing Business — The World Bank's 'Doing Business' report was discontinued in September 2021 after data irregularities; India's last rank was 63rd out of 190 in Doing Business 2020. It is being replaced by the Business Ready (B-READY) report.

23. (A) I and II only — I and II are correct. Since the 2010 Human Development Report the HDI has been computed as the geometric mean, not the arithmetic mean, of the three dimension indices, so that poor performance in one dimension cannot be fully offset by another.

24. (A) I and II only — I and II are correct. In the Gender Inequality Index a lower value is better, since the index measures loss in achievement due to gender disparity in reproductive health, empowerment and the labour market.

25. (D) I, II and III — All three are correct as of the 2026 edition: India moved from 118th (2025) to 116th (2026), and Finland has led the ranking for nine consecutive editions since 2018.

26. (A) I and II only — I and II are correct. The deprivation cut-off in the MPI is one-third (33.33%) of the weighted indicators, not one-half.

27. (A) I and II only — I and II are correct. The Rangarajan Committee's estimate for 2011-12 was 29.5%, higher than the Tendulkar Committee's 21.9%.

28. (A) I and II only — I and II are correct. The Gini coefficient is bounded between 0 and 1 (or 0 and 100 when expressed as an index) and cannot exceed one.

29. (A) I and II only — I and II are correct. Indian agriculture is characterised by disguised and seasonal unemployment; cyclical unemployment is a feature of industrial economies during recessions.

30. (D) I, II and III — All three are correct. PLFS was launched by the NSO in April 2017 and since 2025 also produces monthly estimates for both rural and urban areas.

31. (A) A-2, B-4, C-1, D-3 — HDI is published by UNDP, GHI by Concern Worldwide and Welthungerhilfe, GII by WIPO, and the Global Competitiveness Report by the World Economic Forum.

32. (A) A-3, B-4, C-1, D-2 — Dandekar and Rath 1971, Alagh Task Force 1979, Lakdawala Committee 1993, Tendulkar Committee 2009. The Rangarajan Expert Group reported in 2014.

33. (A) A-2, B-1, C-4, D-3 — PQLI uses the infant mortality rate; the GII uses the adolescent birth rate under reproductive health; the HDI uses expected years of schooling; the GHI uses child wasting.

34. (B) A-2, B-1, C-3, D-4 — Structural unemployment arises from a skills mismatch, frictional from job search, seasonal from the crop or tourist calendar, and disguised where the marginal product of extra workers is near zero.

35. (D) Infant mortality rate — The HDI uses life expectancy at birth, mean and expected years of schooling, and GNI per capita (PPP). The infant mortality rate is a component of the PQLI, not the HDI.

36. (C) Multidimensional Poverty Index — International Monetary Fund — The Global MPI is published by UNDP together with the Oxford Poverty and Human Development Initiative, not by the IMF. The other three pairs are correct.

37. (D) Per capita income — The National MPI has 12 non-monetary indicators across health, education and standard of living. Income is deliberately excluded — the MPI is a measure of non-monetary deprivation.

38. (C) The Unemployment Rate is expressed as a percentage of the total population — The unemployment rate is the number of unemployed persons as a percentage of the labour force, not of the total population. The other three statements are correct.

39. (A) II, I, III, IV — PQLI was proposed by Morris in 1979, the HDI appeared in the first Human Development Report of 1990, the MDGs were adopted in 2000, and the Global MPI was introduced in the Human Development Report of 2010.

40. (A) IV, II, I, III — Alagh Task Force 1979, Lakdawala Committee 1993, Tendulkar Committee 2009, Rangarajan Expert Group 2014.

IE03 — EXPLANATIONS

1. (A) 1 April 1935 — The RBI commenced operations on 1 April 1935 under the Reserve Bank of India Act, 1934. It was nationalised on 1 January 1949.

2. (B) Hilton Young Commission — The Hilton Young Commission, formally the Royal Commission on Indian Currency and Finance (1926), recommended a central bank for India, leading to the RBI Act, 1934.

3. (C) 1 January 1949 — The RBI was nationalised on 1 January 1949 under the Reserve Bank (Transfer to Public Ownership) Act, 1948. Commercial bank nationalisation came much later, in 1969 and 1980.

4. (B) the Government of India — The Re 1 note is issued by the Government of India and bears the signature of the Finance Secretary; all other currency notes are issued by the RBI over the Governor's signature. Coins are also issued by the Government of India.

5. (B) Rs 115 crore — Since 1957 the RBI must maintain assets of at least Rs 200 crore, of which at least Rs 115 crore must be in gold and the remainder in foreign securities.

6. (B) bankers' deposits with the RBI — M0 = currency in circulation + bankers' deposits with the RBI + other deposits with the RBI. It is the monetary base created by the RBI, distinct from M1 (narrow money).

7. (B) M1 plus time deposits with the banking system — M3 = M1 + time deposits with the banking system. M2 adds post office savings deposits to M1, and M4 adds all post office deposits (excluding NSCs) to M3.

8. (B) as a deposit with the Reserve Bank of India — CRR is maintained as a cash balance with the RBI under Section 42(1) of the RBI Act, 1934, and earns no interest. SLR, by contrast, is held by the bank itself in cash, gold or approved securities.

9. (B) Section 24 of the Banking Regulation Act, 1949 — SLR is governed by Section 24 of the Banking Regulation Act, 1949, with a statutory ceiling of 40%. Section 42(1) of the RBI Act governs the CRR, and Section 45ZB deals with the Monetary Policy Committee.

10. (B) 5.25 per cent — The MPC left the policy repo rate unchanged at 5.25% with a neutral stance in August 2026. The corresponding SDF rate was 5.00% and the MSF and Bank Rate 5.50%.

11. (B) allows the RBI to absorb liquidity from banks without offering collateral — The SDF is an uncollateralised liquidity absorption facility and forms the floor of the LAF corridor, replacing the fixed-rate reverse repo in that role. The MSF remains the ceiling.

12. (B) six members, of whom three are from the RBI — The MPC has six members — the Governor (ex officio Chairperson), the Deputy Governor in charge of monetary policy and one RBI officer nominated by the Central Board, plus three external members appointed by the Central Government for four years. The Governor has a casting vote.

13. (B) 4 per cent with a band of +/- 2 per cent — The target is 4% CPI (Combined) inflation with a tolerance band of +/- 2 per cent, that is 2% to 6%. It was first notified in August 2016 and has been retained for the period 1 April 2026 to 31 March 2031.

14. (B) headline inflation excluding food and fuel — Core inflation strips out food and fuel, the most volatile components, to reveal the underlying persistent price trend. Headline inflation includes all items of the index.

15. (B) demand-pull inflation — Demand-pull inflation is the classic case of 'too much money chasing too few goods'. Cost-push inflation, in contrast, originates in a rise in input costs such as wages or fuel.

16. (B) inflation and the rate of unemployment — A.W. Phillips (1958) showed an inverse short-run relationship between the rate of unemployment and the rate of wage or price inflation. Stagflation in the 1970s challenged this relationship.

17. (D) 2024 — The new CPI series with base 2024=100 was released on 12 February 2026, replacing base 2012=100. Its weights are derived from the Household Consumption Expenditure Survey 2023-24, and the number of items rose from 299 to 358.

18. (C) Office of the Economic Adviser, DPIIT — The WPI is compiled by the Office of the Economic Adviser under DPIIT. Its base year was revised from 2011-12 to 2022-23, and the new WPI series along with the Producer Price Index was launched on 15 June 2026.

19. (C) 14 — Fourteen banks with deposits of Rs 50 crore or more were nationalised on 19 July 1969; six more with deposits of Rs 200 crore or more followed on 15 April 1980.

20. (B) Prathama Bank — Prathama Bank, sponsored by Syndicate Bank at Moradabad, was the first RRB. RRBs were set up under an Ordinance of 26 September 1975, later replaced by the RRB Act, 1976.

21. (C) 90 days — The RBI's income recognition and asset classification norms treat an account as an NPA when dues remain overdue for more than 90 days. Special Mention Accounts (SMA-0, 1, 2) flag stress before that.

22. (B) National Company Law Tribunal — NCLT is the adjudicating authority for corporate insolvency, while the DRT handles individuals and partnership firms. The Insolvency and Bankruptcy Board of India, set up on 1 October 2016, is the regulator.

23. (B) the National Payments Corporation of India — UPI was launched by the National Payments Corporation of India in April 2016. NPCI was set up in 2008 as the umbrella organisation for retail payments under the Payment and Settlement Systems Act, 2007.

24. (C) 40 per cent — Domestic scheduled commercial banks must lend 40% of Adjusted Net Bank Credit to the priority sector, with sub-targets of 18% for agriculture, 7.5% for micro enterprises and 12% for weaker sections. Small finance banks have a higher target of 75%.

25. (A) I and II only — I and II are correct. Regulation of the securities market is the function of SEBI, not the RBI. The RBI is also the manager of public debt and custodian of foreign exchange reserves.

26. (B) I and III only — I and III are correct. No interest is paid on CRR balances. The statutory maximum for SLR is 40%; there has been no statutory floor or ceiling for the CRR since the 2006 amendment.

27. (A) I and II only — I and II are correct. The SDF is an uncollateralised facility — that is precisely why it was introduced in April 2022, since the RBI's stock of securities constrained collateralised absorption.

28. (B) I and III only — I and III are correct. External members are appointed for four years and are NOT eligible for re-appointment. The quorum for a meeting is four members and the MPC must meet at least four times a year.

29. (D) I, II and III — All three are correct. On failure the RBI must send a report to the Central Government stating the reasons, the remedial actions proposed and the estimated time for returning to the target.

30. (A) I and II only — I and II are correct. CPI-IW is compiled by the Labour Bureau under the Ministry of Labour and Employment with base 2016=100; the NSO compiles the CPI (Rural, Urban and Combined).

31. (B) I and III only — I and III are correct. Liquidity declines as one moves from M1 to M4, so M1 is more liquid than M3, not the other way round.

32. (D) I, II and III — All three are correct. PMJDY accounts also come with a RuPay debit card carrying accident insurance cover of Rs 2 lakh for cards issued after 28 August 2018.

33. (A) A-4, B-3, C-2, D-1 — As on the August 2026 review: repo 5.25%, SDF 5.00%, MSF 5.50% and CRR 3.00%. The SLR stood at 18.00% and the Bank Rate at 5.50%.

34. (B) A-3, B-1, C-2, D-4 — Deflation is a falling price level; disinflation is a slowing rate of inflation; stagflation combines inflation with stagnation; reflation is policy-driven price recovery.

35. (A) A-3, B-4, C-1, D-2 — NABARD 1982 (Sivaraman Committee), SEBI made statutory in 1992, RBI 1935, IRDAI constituted under the IRDA Act, 1999.

36. (A) A-2, B-3, C-4, D-1 — M0 is reserve money, M1 narrow money, M2 adds post office savings deposits, and M3 is broad money.

37. (A) A-3, B-1, C-4, D-2 — SLR comes from Section 24 of the Banking Regulation Act; SARFAESI allows enforcement of security interest without court intervention; the IBC governs corporate insolvency; and the 2007 Act underpins NPCI and retail payment systems.

38. (A) A-3, B-4, C-1, D-2 — Under the Pradhan Mantri MUDRA Yojana launched on 8 April 2015, loans are collateral-free: Shishu up to Rs 50,000, Kishore up to Rs 5 lakh, Tarun up to Rs 10 lakh and Tarun Plus up to Rs 20 lakh.

39. (C) Regulation of the insurance sector — Insurance is regulated by the IRDAI under the IRDA Act, 1999. The RBI issues currency, manages public debt, holds foreign exchange reserves and acts as banker to banks and to government.

40. (D) Marginal Standing Facility — the floor of the liquidity adjustment facility corridor — The MSF is the ceiling of the LAF corridor, not the floor; since April 2022 the floor is the Standing Deposit Facility. The other three descriptions are correct.

41. (C) Moral suasion — Moral suasion is a qualitative or selective credit control tool, along with margin requirements, credit rationing and direct action. CRR, SLR, OMO, repo and the Bank Rate are quantitative tools.

42. (C) Deflation and disinflation refer to the same phenomenon — Deflation is a sustained fall in the general price level, while disinflation is a fall in the rate of inflation with prices still rising. The other three statements are correct.

43. (C) Issuing credit cards and granting loans — Payments banks may accept deposits up to Rs 2 lakh per individual customer and issue debit cards, but they cannot lend or issue credit cards. Payments banks and small finance banks were recommended by the Nachiket Mor Committee (2013).

44. (A) II, IV, III, I — RBI established 1935, RBI nationalised 1 January 1949, Imperial Bank became the State Bank of India in 1955, and 14 commercial banks were nationalised on 19 July 1969.

45. (A) Both (A) and (R) are true and (R) is the correct explanation of (A) — An adverse supply shock raises prices and lowers output simultaneously, producing stagflation — high inflation with high unemployment. This is exactly why the simple Phillips curve trade-off broke down in the 1970s.

IE04 — EXPLANATIONS

1. (C) Total expenditure minus total receipts excluding borrowings — Fiscal deficit = total expenditure - (revenue receipts + non-debt capital receipts). It measures the total borrowing requirement of the government, including borrowing from the RBI.

2. (A) Interest payments — Primary deficit = fiscal deficit - interest payments. It shows the current year's borrowing requirement excluding the burden of past debt; a zero primary deficit means the government is borrowing only to pay interest.

3. (D) Revenue deficit minus grants for the creation of capital assets — The concept was introduced in the Union Budget 2011-12 and given statutory recognition by the FRBM (Amendment) Act, 2012. It excludes grants given to States and others that are actually used to build capital assets.

4. (B) Rs 15 lakh crore — Total expenditure = 25 + 11 = Rs 36 lakh crore; non-debt receipts = 20 + 1 = Rs 21 lakh crore; fiscal deficit = 36 - 21 = Rs 15 lakh crore. The revenue deficit here is Rs 5 lakh crore.

5. (A) I, II and III — All three are standard propositions of public finance. Revenue deficit means the government is consuming out of borrowed resources, which amounts to dis-saving.

6. (C) I and II only — Charged expenditure can be discussed but not voted upon. Article 114(2) bars any amendment to the Appropriation Bill that would vary the amount or alter the destination of a grant already voted.

7. (B) A-2, B-3, C-4, D-1 — Article 110 defines a Money Bill, Article 114 provides for the Appropriation Bill, Article 266 creates the Consolidated Fund and the Public Account, and Article 267 the Contingency Fund.

8. (D) Draw money from the Consolidated Fund of India for a part of the financial year pending the passage of the Appropriation Bill — Provided by Article 116. It is normally taken for two months and covers only expenditure; the taxation side requires the Finance Bill.

9. (C) Recovery of loans from State Governments — Recovery of loans reduces the government's assets and is therefore a non-debt capital receipt, not a revenue receipt. Disinvestment proceeds are likewise non-debt capital receipts.

10. (A) Repayment of the principal of public debt — Repayment of principal reduces a liability and is capital expenditure; interest, subsidies and pensions are revenue expenditure. Loans given by the Centre to States are also capital expenditure.

11. (D) I and II only — The Economic Survey is presented by the Ministry of Finance by convention, not by statute. The plan/non-plan classification of expenditure was also abolished from 2017-18.

12. (B) 2003 — The FRBM Act was enacted in 2003 and brought into force on 5 July 2004. Its rules require the Centre to lay fiscal policy statements before Parliament along with the Budget.

13. (C) N.K. Singh — The N.K. Singh Committee was constituted in May 2016 and submitted its report in January 2017. N.K. Singh later chaired the Fifteenth Finance Commission.

14. (A) I, II and III — The Committee proposed a draft Debt Management and Fiscal Responsibility Bill, with debt as the primary anchor and the fiscal deficit as the operational target, supported by an independent Fiscal Council.

15. (B) 0.5 percentage point — The trigger mechanisms include national security, war, national calamity, collapse of agriculture, structural reforms and a sharp decline in real output growth. The clause was invoked for 2019-20 and during COVID-19.

16. (D) 40 per cent of GDP by 2024-25 — The 2018 amendment set Central Government debt at 40 per cent of GDP and general government debt at 60 per cent by 2024-25, with the fiscal deficit to be brought to 3 per cent of GDP by 31 March 2021.

17. (A) 4.3 per cent of GDP — As per the Union Budget presented on 1 February 2026, the fiscal deficit is budgeted at 4.3 per cent of GDP for 2026-27, against a revised estimate of 4.4 per cent for 2025-26.

18. (C) 50 +/- 1 per cent of GDP by 2030-31 — From 2025-26 the Centre shifted from a fiscal-deficit path to a debt path, targeting a debt-to-GDP ratio of 50 +/- 1 per cent by 2030-31. The Budget 2026-27 places the ratio at about 55.6 per cent for 2026-27.

19. (D) Petrol, high speed diesel, aviation turbine fuel, natural gas and crude petroleum — These five petroleum products are named in Article 279A(5) and will come under GST only from a date notified by the GST Council; until then they bear central excise and State VAT. Tobacco bears both GST and central excise.

20. (B) The percentage change in tax revenue divided by the percentage change in GDP — Buoyancy captures the total response of tax revenue to income growth, including discretionary changes. Tax elasticity measures the response after netting out discretionary rate and base changes.

21. (A) The Constitution (101st Amendment) Act, 2016 — It was introduced in Parliament as the Constitution (122nd Amendment) Bill, 2014 and enacted as the 101st Amendment Act, assented on 8 September 2016. GST was rolled out on 1 July 2017.

22. (D) A-2, B-3, C-1, D-4 — All four provisions were inserted or amended by the 101st Amendment. Article 268A (service tax, inserted by the 88th Amendment) was omitted by the same amendment.

23. (C) I and II only — IGST is levied and collected by the Government of India under Article 269A and then apportioned between the Centre and the destination State. GST is a destination-based consumption tax.

24. (B) The Union Finance Minister — The Council comprises the Union Finance Minister as Chairperson, the Union Minister of State in charge of Revenue or Finance, and one Minister in charge of Finance or Taxation from each State. The Vice-Chairperson is chosen from among the State Ministers.

25. (D) I, II and III — Article 279A(9) prescribes the three-fourths weighted majority with the Centre holding one-third and all States together two-thirds of the votes cast; Article 279A(7) fixes the quorum at one-half of the total members.

26. (A) Two-thirds of the total votes cast — The Centre alone holds one-third of the votes cast, so it can block any proposal, while the States together hold two-thirds and need the Centre's support to carry any decision.

27. (B) Tobacco and tobacco products — Tobacco is within GST and additionally bears central excise duty. Alcoholic liquor for human consumption is permanently excluded by Article 366(12A); the five petroleum products are to come under GST from a date notified by the GST Council.

28. (C) I and III only — Cross-utilisation between CGST and SGST is not permitted; only IGST credit can flow into both. Section 17(5) of the CGST Act also blocks credit on items such as motor vehicles, food and beverages and club memberships.

29. (A) Rs 1.5 crore — The limit is Rs 75 lakh for special category States. Composition dealers pay 1 per cent (traders and manufacturers) or 5 per cent (restaurants), cannot claim Input Tax Credit and cannot make inter-State outward supplies.

30. (D) 5 per cent and 18 per cent — The 56th GST Council meeting held on 3 September 2025 abolished the 12 per cent and 28 per cent slabs. A special 40 per cent rate applies to demerit goods, and special rates of 0.25, 1.5 and 3 per cent continue for diamonds, jewellery and bullion.

31. (B) 40 per cent — The 40 per cent rate also covers luxury motor vehicles above prescribed thresholds, motorcycles above 350 cc, yachts, aircraft for personal use and betting and gambling.

32. (C) A-1, B-2, C-3, D-4 — Union Territories with a legislature (Delhi, Puducherry and Jammu and Kashmir) levy SGST, not UTGST. Imports attract IGST in addition to basic customs duty.

33. (D) 14 per cent — The base year was 2015-16 and the guarantee ran for five years to 30 June 2022. The compensation cess levy was later extended to 31 March 2026 to service the back-to-back loans raised during COVID-19.

34. (B) A-1, B-2, C-3, D-4 — The Kelkar Task Forces first articulated the case for a national GST; the Empowered Committee of State Finance Ministers, first chaired by Asim Dasgupta, carried the design work forward.

35. (A) The Department of Investment and Public Asset Management — DIPAM, under the Ministry of Finance, was renamed from the Department of Disinvestment in 2016. Disinvestment proceeds are non-debt capital receipts of the Budget.

36. (C) I and II only — Electricity duty and stamp duty remain outside GST. Assam ratified the amendment on 12 August 2016; Jammu and Kashmir was the last State to adopt GST, on 8 July 2017.

37. (B) A-1, B-2, C-3, D-4 — The Finance Bill is a Money Bill under Article 110 and must be passed within 75 days of introduction; the Appropriation Bill authorises withdrawal from the Consolidated Fund of India under Article 114.

38. (A) Rs 6 lakh crore — The pipeline was prepared by NITI Aayog for the four years 2021-22 to 2024-25. Ownership of the assets remains with the government; only the right to operate them is transferred for a defined period.

39. (C) 2002 — The PMLA was enacted in 2002 and brought into force on 1 July 2005; it is administered by the Enforcement Directorate. The Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act was passed in 2015.

40. (D) Public Account of India - Article 268 — The Public Account of India is created by Article 266(2). Article 268 deals with duties levied by the Union but collected and appropriated by the States.

41. (B) PAHAL — PAHAL (Pratyaksh Hanstantarit Labh) was launched in 2013 and re-launched across the country on 1 January 2015; it has been recognised by Guinness World Records as the world's largest cash transfer programme.

42. (C) Interest payments on public debt — Food, fertiliser and petroleum form the three major subsidies. Interest payment is the single largest item of revenue expenditure but is a committed liability, not a subsidy.

43. (A) I, II and III — A direct tax cannot be shifted, so impact and incidence coincide. An indirect tax on a necessity takes a larger share of a poor household's income, making it regressive in effect.

44. (D) Basic customs duty — Basic customs duty is an indirect tax levied on imports, administered by the Central Board of Indirect Taxes and Customs. The other three are administered by the Central Board of Direct Taxes.

45. (C) I, II, IV, III — FRBM came into force on 5 July 2004, State VAT from 1 April 2005, the Railway Budget merger with the Budget of February 2017, and GST on 1 July 2017.

IE05 — EXPLANATIONS

1. (B) Every fifth year, or earlier if the President considers it necessary, by the President — The Finance Commission is a quasi-judicial constitutional body constituted by the President at the expiration of every fifth year or at such earlier time as he considers necessary.

2. (D) A Chairman and four other members — Article 280(2) leaves the qualifications and the manner of selection to Parliament, which enacted the Finance Commission (Miscellaneous Provisions) Act, 1951. Members are eligible for reappointment.

3. (A) Parliament by law — Under the Finance Commission (Miscellaneous Provisions) Act, 1951, the Chairman must have experience in public affairs, and members are drawn from High Court judges or persons qualified to be one, experts in government finance and accounts, financial administration, and economics.

4. (C) I, II and III — Clause (c) on local bodies was added by the 73rd and 74th Constitutional Amendments. The President may also refer any other matter in the interests of sound finance under clause (d).

5. (D) Article 281 — Article 281 makes the tabling mandatory, but the recommendations themselves are advisory and not binding on the Government of India.

6. (B) K.C. Neogy — K.C. Neogy chaired the First Finance Commission constituted in 1951 for the award period 1952-57. K. Santhanam chaired the Second and A.K. Chanda the Third Finance Commission.

7. (C) 42 per cent — This was the largest single increase in devolution, up from 32 per cent recommended by the Thirteenth Finance Commission. The 14th FC covered 2015-20 and ended the special/general category distinction in devolution.

8. (A) 2021-22 to 2025-26 — The Commission was constituted on 27 November 2017 and gave an interim report for 2020-21 followed by the final report for the five years 2021-26.

9. (A) 41 per cent of the divisible pool — The share was reduced by about one percentage point from the 14th FC's 42 per cent to provide for the newly formed Union Territories of Jammu and Kashmir and Ladakh, which are funded by the Centre.

10. (C) A-1, B-2, C-3, D-4 — Area also carried 15 per cent and forest and ecology 10 per cent. The use of the 2011 Census in place of 1971 was the most contested part of the Commission's terms of reference.

11. (B) Income distance — Income distance, weighted 45 per cent, measures the distance of a State's per capita income from that of the State with the highest per capita income, and favours poorer States.

12. (D) Governance reforms — The six criteria were income distance, population, area, demographic performance, forest and ecology, and tax and fiscal efforts. Demographic performance rewards States that lowered fertility rates.

13. (C) I, II and III — The revenue deficit grants totalled Rs 2,94,514 crore. The glide path tapered to 3.5 per cent of GSDP in 2022-23 and 3 per cent from 2023-24 to 2025-26.

14. (A) Arvind Panagariya — Dr. Arvind Panagariya, formerly Vice-Chairman of NITI Aayog, was appointed when the Commission was constituted on 31 December 2023. Ajay Narayan Jha, Annie George Mathew and Niranjan Rajadhyaksha are full-time members and Soumya Kanti Ghosh a part-time member.

15. (D) 2026-27 to 2030-31 — The Commission submitted its report to the President on 17 November 2025, and it was tabled in Parliament along with the Union Budget 2026-27.

16. (B) 41 per cent — The vertical devolution has been kept unchanged at 41 per cent of the divisible pool, as recommended by the Fifteenth Finance Commission for 2021-26.

17. (B) Contribution to GDP — Contribution to GDP, weighted 10 per cent, rewards States that contribute more to national output, and partly answers the complaint of southern and western States about the income-distance criterion.

18. (D) I, II and III — The Commission replaced tax and fiscal efforts with contribution to GDP and shifted support towards performance-linked grants for local bodies rather than revenue deficit grants.

19. (A) A-1, B-2, C-3, D-4 — Vijay Kelkar also headed the task forces on direct and indirect taxes; Y.V. Reddy was a former RBI Governor and N.K. Singh had earlier chaired the FRBM Review Committee.

20. (C) A-1, B-2, C-3, D-4 — The Sixteenth Finance Commission has retained the States' share at 41 per cent for 2026-31.

21. (D) I, II and III — Article 270 read with Article 271 keeps surcharges and earmarked cesses with the Union, and net proceeds under Article 279 are computed after deducting the cost of collection. The rising share of cesses and surcharges is a principal grievance of the States.

22. (A) I, II and III — Article 268A had been inserted by the 88th Amendment, 2003 for service tax, and became redundant once service tax was subsumed in GST.

23. (C) Goes wholly to the Union Government — The whole proceeds of a surcharge form part of the Consolidated Fund of India and are not shared with the States. The 101st Amendment excluded GST from the scope of Article 271.

24. (B) A-1, B-2, C-3, D-4 — Article 275 grants are charged on the Consolidated Fund of India and are given on the Finance Commission's recommendation; Article 282 grants are discretionary and support centrally sponsored schemes.

25. (A) Rs 2,500 per annum — The original ceiling of Rs 250 was raised to Rs 2,500 per person per annum by the 60th Constitutional Amendment Act, 1988. Parliament may raise it further by law.

26. (B) Any part of a loan made to it by the Centre is still outstanding — A State may borrow only within India and only on the security of its Consolidated Fund; it cannot borrow abroad. The Centre's consent may be given subject to conditions, which is the main lever of central control over State borrowing.

27. (D) Article 270 - Grants-in-aid to the States — Article 270 deals with taxes levied and distributed between the Union and the States. Grants-in-aid are provided under Article 275 (statutory) and Article 282 (discretionary).

28. (C) Article 273 — These grants under Article 273 are charged on the Consolidated Fund of India and continue so long as the Union levies an export duty on jute. Article 272 was repealed by the 80th Amendment, 2000.

29. (B) Article 282 — Article 282 allows both the Union and a State to make grants for any public purpose, even outside their legislative competence. Its use for large centrally sponsored schemes has been criticised as encroaching on State autonomy.

30. (C) I, II and III — Special Category Status was granted by the National Development Council and carried a 90:10 grant-loan pattern of central plan assistance. Eleven States were given the status, including the North-Eastern States, Himachal Pradesh and Uttarakhand.

31. (A) High per capita income — The criteria include economic and infrastructural backwardness and non-viable State finances; a high per capita income would disqualify rather than qualify a State.

32. (D) 60:40 — The pattern is 90:10 for the eight North-Eastern States and the Himalayan States of Himachal Pradesh, Uttarakhand and the erstwhile State of Jammu and Kashmir, and 100 per cent central funding for Union Territories without a legislature.

33. (C) Pradhan Mantri Awas Yojana — Core of the Core schemes are meant for social protection and social inclusion and enjoy the first charge on national resources. Pradhan Mantri Awas Yojana is a Core scheme, not a Core of the Core scheme.

34. (B) I and II only — NITI Aayog is a policy think tank with no power to allocate funds; the transfer of resources to States is now decided by the Finance Commission and the Union Budget. The Prime Minister is its Chairperson.

35. (D) II, III, I, IV — The Planning Commission was replaced by NITI Aayog on 1 January 2015, GST came into force on 1 July 2017, the Fifteenth Finance Commission was constituted on 27 November 2017 and the Sixteenth Finance Commission reported on 17 November 2025.

IE06 — EXPLANATIONS

1. (D) Bihar — The Bihar Land Reforms Act, 1950 was struck down by the Patna High Court in the Kameshwar Singh case, leading to the First Constitutional Amendment, 1951 and the creation of the Ninth Schedule.

2. (B) West Bengal — Launched in 1978, it recorded the names of bargadars (sharecroppers) and secured their tenure and share of produce. It is regarded as the most successful tenancy reform in India.

3. (C) Pochampally — Vinoba Bhave received his first land donation at Pochampally on 18 April 1951. The related Gramdan movement, in which whole villages were donated, began at Mangroth in Uttar Pradesh in 1952.

4. (A) I, II and III — Land is a State subject, so tenancy and ceiling legislation differs across States. National guidelines of 1972 suggested ceilings of 10-18 acres for land with assured irrigation and two crops.

5. (B) Norman Borlaug — Norman Borlaug developed the semi-dwarf, high-yielding wheat varieties at CIMMYT, Mexico. M.S. Swaminathan is regarded as the father of the Green Revolution in India, and the term itself was coined by William Gaud in 1968.

6. (D) The International Rice Research Institute, Philippines — IR-8, popularly called 'miracle rice', came from IRRI at Los Banos in the Philippines. The wheat varieties Lerma Rojo 64A and Sonora 64 came from CIMMYT in Mexico.

7. (A) The Ford Foundation — The programme began in seven districts, the first being Thanjavur, and was followed by the Intensive Agricultural Area Programme in 1964-65 and the High Yielding Varieties Programme in 1966-67.

8. (C) A-1, B-2, C-3, D-4 — Other associations: Grey Revolution - fertilisers; Silver Revolution - eggs and poultry; Golden Fibre Revolution - jute; Round Revolution - potato; Evergreen Revolution - sustainable agriculture, a term coined by M.S. Swaminathan.

9. (C) A is true but R is false — Agricultural output has grown in absolute terms - the Economic Survey 2025-26 records growth of about 3.1 per cent in agriculture and allied gross value added in 2025-26. The declining share reflects the faster growth of industry and services, a normal structural shift.

10. (A) (Gross cropped area / Net sown area) x 100 — It shows how many times a field is cropped in a year. Higher cropping intensity depends chiefly on assured irrigation and short-duration varieties.

11. (B) A-1, B-2, C-3, D-4 — NABARD was set up on the recommendation of the CRAFICARD (B. Sivaraman) Committee. MPEDA (1972) handles marine products, while APEDA handles other agricultural and processed food exports.

12. (D) R.V. Gupta Committee — The scheme provides short-term crop loans, and its scope has since been extended to animal husbandry and fisheries. The Vaidyanathan Committee dealt with the revival of rural cooperative credit institutions.

13. (A) I, II and III — The overall priority sector target is 40 per cent of Adjusted Net Bank Credit. The effective 4 per cent rate is the 7 per cent subvented rate less a 3 per cent prompt repayment incentive.

14. (C) Is an advisory body whose recommendations are not binding on the government — It was set up in January 1965 as the Agricultural Prices Commission and renamed in 1985. It is an attached office of the Ministry of Agriculture and Farmers' Welfare; MSP is finally approved by the Cabinet Committee on Economic Affairs.

15. (D) I, II and III — The National Commission on Farmers headed by M.S. Swaminathan had recommended an MSP of at least 50 per cent above the C2 cost; the government uses the A2+FL basis.

16. (B) It is legally enforceable and no trader may purchase below it — MSP has no statutory backing; it is a price at which government agencies stand ready to procure, and a legal guarantee of MSP has been a central demand of farmer organisations.

17. (D) 22 mandated crops, along with a Fair and Remunerative Price for sugarcane — The 22 crops are 14 kharif, 6 rabi and 2 commercial crops (copra and jute). Sugarcane's Fair and Remunerative Price is fixed under the Sugarcane (Control) Order, 1966; States may declare a higher State Advised Price.

18. (C) State Governments procure, store and distribute foodgrains for the Public Distribution System on behalf of the Centre — The scheme cuts transport and storage costs and encourages procurement in non-traditional States. The Food Corporation of India, set up in 1965 under the Food Corporations Act, 1964, remains the central nodal agency.

19. (B) I, II and III — The Act covers about two-thirds of the country's population. It also provides maternity benefit of Rs 6,000 to pregnant women and lactating mothers and meals to children under the ICDS and mid-day meal schemes.

20. (A) The eldest woman of the household who is not less than eighteen years of age — Section 13 of the Act makes the eldest woman aged 18 or above the head of the household for issue of a ration card, a deliberate step towards women's empowerment.

21. (A) A-1, B-2, C-3, D-4 — eNAM was launched on 14 April 2016 and is implemented by the Small Farmers' Agribusiness Consortium. Agricultural marketing is a State subject, so the Union can only circulate model laws.

22. (B) The Agricultural Produce Market Committee (Reform) Act — The three laws were repealed by the Farm Laws Repeal Act, 2021. There was no central APMC (Reform) Act; APMC regulation remains a State subject and the Centre only issued model Acts.

23. (C) 'Har Khet Ko Pani' and 'Per Drop More Crop' — The scheme brings together irrigation programmes of the Ministries of Jal Shakti, Agriculture and Rural Development, and was extended for the period 2021-26.

24. (D) Pradhan Mantri Fasal Bima Yojana — PMFBY is a separate crop insurance scheme. The fourth component of PMKSY is Watershed Development; a Micro Irrigation Fund has also been created with NABARD.

25. (B) Seven — The seven States are Gujarat, Haryana, Karnataka, Madhya Pradesh, Maharashtra, Rajasthan and Uttar Pradesh, chosen for their over-exploited and water-stressed groundwater blocks. The scheme was launched on 25 December 2019.

26. (A) I, II and III — The scheme requires gram panchayats to prepare Water Security Plans, and disburses incentives to panchayats on the basis of measurable improvement in groundwater levels and water use efficiency.

27. (D) In three equal instalments of Rs 2,000 each — PM-KISAN is a Central Sector Scheme funded entirely by the Government of India, launched on 24 February 2019 with effect from 1 December 2018. Income tax payers, institutional landholders and higher pensioners are excluded.

28. (C) A-1, B-2, C-3, D-4 — Note the two schemes abbreviated PMKSY - Krishi Sinchayee (irrigation) and Kisan SAMPADA (food processing) - a favourite source of confusion in examinations.

29. (C) 2 per cent of the sum insured — The caps are 2 per cent for kharif, 1.5 per cent for rabi and 5 per cent for commercial and horticultural crops, with the balance of the actuarial premium shared by the Centre and the States. The scheme was launched on 18 February 2016 and made voluntary from kharif 2020.

30. (D) Suratgarh, Rajasthan — The scheme was launched on 19 February 2015 at Suratgarh in Sri Ganganagar district of Rajasthan. The card reports twelve parameters, including nitrogen, phosphorus, potassium, sulphur, micro-nutrients, pH, electrical conductivity and organic carbon.

31. (A) A-1, B-2, C-3, D-4 — PMFBY was launched on 18 February 2016, the Soil Health Card scheme on 19 February 2015, PM-KISAN on 24 February 2019 and PMMSY in September 2020.

32. (B) Sikkim — Sikkim was declared fully organic in 2016 and won the FAO's Future Policy Gold Award in 2018. Paramparagat Krishi Vikas Yojana, launched in 2015, promotes cluster-based organic farming across the country.

33. (D) Subhash Palekar — Subhash Palekar's method relies on inputs such as jeevamrit and beejamrit prepared from cow dung and urine. It was earlier promoted as the Bharatiya Prakritik Krishi Paddhati and has been widely adopted in Andhra Pradesh.

34. (A) I, II and III — The scheme was launched on 29 February 2020 at Chitrakoot. FPOs receive equity grant support and a credit guarantee facility, and may alternatively register under State cooperative societies laws.

35. (C) Agriculture Infrastructure Fund - Corpus of Rs 10,000 crore — The Agriculture Infrastructure Fund, launched in 2020, is a Rs 1 lakh crore medium- and long-term financing facility for post-harvest management infrastructure, with 3 per cent interest subvention. The first Kisan Rail ran from Devlali to Danapur in August 2020.

36. (B) Ashok Dalwai — The Committee submitted a 14-volume report in September 2018, taking 2015-16 as the base year and 2022-23 as the target year for doubling real farm incomes. The Shanta Kumar Committee (2015) examined the restructuring of the Food Corporation of India.

37. (B) Verghese Kurien — Verghese Kurien, the 'Milkman of India', built the Anand pattern of dairy cooperatives. NDDB was established at Anand in 1965, and Operation Flood ran in three phases up to 1996.

38. (C) I and II only — China is the largest producer of rice; India is the second largest producer but the largest exporter. India is also the world's largest producer of pulses and the second largest producer of fish.

39. (D) 100 districts, with an annual outlay of Rs 24,000 crore — Announced in the Union Budget 2025-26, the scheme runs for six years from 2025-26, converges 36 existing schemes of 11 Ministries and selects districts on low productivity, low cropping intensity and poor credit access, with at least one district from every State and Union Territory.

40. (A) II, I, III, IV — Soil Health Card - 19 February 2015; PMFBY - 18 February 2016; eNAM - 14 April 2016; PM-KISAN - 24 February 2019.

IE07 — EXPLANATIONS

1. (B) 1948 — The Industrial Policy Resolution of 6 April 1948 was the first industrial policy statement of independent India; it accepted a mixed economy and divided industries into four categories.

2. (D) Industrial Policy Resolution, 1956 — The IPR of 30 April 1956, which laid the framework for a 'socialistic pattern of society', is called the Economic Constitution of India. It provided the basis for the Second Five Year Plan.

3. (A) 17 — Schedule A listed 17 industries as an exclusive state monopoly, Schedule B listed 12 in which the State would progressively take the initiative, and Schedule C left the remainder to the private sector.

4. (B) Second Five Year Plan — IPR 1956 gave effect to the heavy-industry strategy of the Second Five Year Plan, drafted on the Mahalanobis model.

5. (D) Industrial Policy Statement, 1977 — The Industrial Policy Statement of 1977, announced by the Janata Government, gave the highest priority to the tiny and small sector and set up District Industries Centres as a single agency for small enterprises.

6. (A) Industrial Policy Statement, 1980 — The 1980 statement promoted 'economic federalism' by proposing nucleus plants in each industrially backward district to generate ancillary and small units around them.

7. (D) P. V. Narasimha Rao — The New Industrial Policy of 24 July 1991 was announced by the Narasimha Rao government, with Dr Manmohan Singh as Finance Minister, alongside the 1991-92 budget.

8. (B) 18 industries — The 1991 policy retained compulsory licensing for only 18 industries, chiefly on grounds of security, strategy, environment and social concern. The list has since been pruned to a handful.

9. (B) Distillation and brewing of alcoholic drinks — Compulsory licensing survives for only a few items, including distillation and brewing of alcoholic drinks, cigars and cigarettes, electronic aerospace and defence equipment and industrial explosives.

10. (D) Competition Act, 2002 — The MRTP Act was repealed and replaced by the Competition Act, 2002, under which the Competition Commission of India functions. The MRTP asset limit of Rs 100 crore had already been scrapped in 1991.

11. (C) about 18-19 per cent — The RBI devalued the rupee against major currencies in two steps totalling roughly 18-19 per cent to correct the external imbalance during the balance of payments crisis.

12. (C) Ministry of Finance — DIPAM, renamed from the Department of Disinvestment in April 2016, is a department of the Ministry of Finance and handles disinvestment and management of the government's equity in CPSEs.

13. (C) 2011-12 — The IIP series has 2011-12 as its base year and is compiled and released monthly by the National Statistical Office under MoSPI.

14. (B) Manufacturing — Manufacturing carries a weight of 77.63 per cent, mining 14.37 per cent and electricity 7.99 per cent. Construction is not covered by the IIP.

15. (B) Refinery products — Refinery products have the highest weight at 28.04 per cent, followed by electricity 19.85 and steel 17.92. Fertilizers has the lowest weight at 2.63.

16. (C) Department for Promotion of Industry and Internal Trade — DPIIT, under the Ministry of Commerce and Industry and renamed from DIPP in 2019, runs the Business Reform Action Plan exercise; since 2019 states are placed in categories such as Top Achievers and Achievers instead of numerical ranks.

17. (C) 2006 — The MSMED Act, 2006 came into force on 2 October 2006. It first gave a statutory definition of micro, small and medium enterprises and created the delayed-payment remedy under Section 15.

18. (C) Rs 2.5 crore and Rs 10 crore respectively — Notification S.O. 1364(E) of 21 March 2025, effective 1 April 2025, raised the micro limits to Rs 2.5 crore investment and Rs 10 crore turnover (the 2020 limits were Rs 1 crore and Rs 5 crore).

19. (D) Rs 500 crore — The 2025 revision fixed medium enterprises at investment up to Rs 125 crore and turnover up to Rs 500 crore, against Rs 50 crore and Rs 250 crore under the 2020 definition.

20. (B) 1 July 2020 — Udyam Registration began on 1 July 2020 along with the revised composite classification. It is free, paperless and based on self-declaration linked to PAN and Aadhaar.

21. (A) Khadi and Village Industries Commission — PMEGP, launched in 2008 by merging PMRY and REGP, is implemented at the national level by the KVIC under the Ministry of MSME, with State KVIBs, DICs and banks at the field level.

22. (D) 63rd — India stood 63rd among 190 economies in Doing Business 2020, up from 77th in 2019 and 142nd in 2015. The World Bank discontinued the Doing Business report in September 2021 and is replacing it with the B-READY assessment.

23. (A) I and II only — The 2020 revision merged manufacturing and services into one composite investment-plus-turnover criterion. Exports are specifically excluded from turnover so that export growth does not push a unit out of the MSME bracket.

24. (A) I and II only — The 1991 policy reduced the public-sector reserved list from 17 industries to 8, not the other way round. Delicensing and the scrapping of the MRTP asset limit were both central to the reform.

25. (D) I, II and III — The PLI schemes span 14 sectors with an approved outlay of about Rs 1.97 lakh crore, and pay incentives on incremental sales of domestically manufactured goods over a base year. The first three PLI schemes, approved in March 2020, covered mobiles and electronic components, bulk drugs and medical devices.

26. (B) I and II only — Startup India was launched on 16 January 2016, now observed as National Startup Day, and the Rs 10,000 crore Fund of Funds is operated by SIDBI. The age limit for DPIIT recognition is ten years, with turnover not exceeding Rs 100 crore in any financial year.

27. (D) I, II and III — The Code on Wages, 2019 and the Industrial Relations, Social Security and Occupational Safety, Health and Working Conditions Codes of 2020 together replace 29 central labour laws and were made effective from 21 November 2025.

28. (B) I and III only — The NMP, announced on 23 August 2021 for Rs 6 lakh crore over FY2022-25, was prepared by NITI Aayog and covers only brownfield, revenue-generating assets; ownership is retained by the government and only the right to operate is transferred for a defined period.

29. (D) I, II and III — The Kandla Free Trade Zone of 1965 was Asia's first EPZ; the SEZ scheme was announced in the EXIM Policy 2000 and given statutory backing by the SEZ Act, 2005, whose rules came into effect in February 2006.

30. (A) I and II only — A Maharatna candidate must be a listed Navratna with average annual turnover above Rs 25,000 crore, net worth above Rs 15,000 crore and average annual net profit after tax above Rs 5,000 crore for three years, besides a significant global presence.

31. (A) A-4, B-1, C-2, D-3 — IPR 1948 was the first policy statement; IPR 1956 introduced Schedules A, B and C; the 1977 statement created District Industries Centres; the 1980 statement proposed nucleus plants.

32. (C) A-2, B-3, C-1 — From 1 April 2025 the investment ceilings are Rs 2.5 crore for micro, Rs 25 crore for small and Rs 125 crore for medium enterprises, with matching turnover ceilings of Rs 10, 100 and 500 crore.

33. (A) A-3, B-1, C-2, D-4 — PMEGP is implemented nationally by KVIC, the Fund of Funds for Startups by SIDBI, Make in India by DPIIT, and PM Vishwakarma (2023) by the Ministry of MSME.

34. (A) A-3, B-4, C-1, D-2 — The weights are refinery products 28.04, electricity 19.85, steel 17.92 and coal 10.33; the eight industries together carry 40.27 per cent weight in the IIP.

35. (B) A-3, B-4, C-1, D-2 — The Delhi-Mumbai Industrial Corridor, developed with Japanese collaboration along the Western DFC, is the oldest of these; the others are the Chennai-Bengaluru, Amritsar-Kolkata and Bengaluru-Mumbai corridors, implemented through NICDC.

36. (D) Reservation of 807 items exclusively for the small-scale sector — Reservation of items for exclusive manufacture by the small-scale sector was a pre-reform device that the 1991 policy and later governments progressively dismantled; the last reserved items were dereserved in 2015.

37. (D) Foreign Exchange Management Act - 2002 — FEMA was enacted in 1999 (in force from 1 June 2000), replacing FERA, 1973. The other three pairs are correct.

38. (B) NHPC Limited — NHPC was upgraded to Navratna status; BHEL, Coal India and NTPC are among the Maharatna CPSEs. Maharatna status carries the highest investment autonomy, up to Rs 5,000 crore or 15 per cent of net worth in a single project.

39. (C) Code on Industrial Disputes and Trade Unions, 2020 — The four codes are the Code on Wages 2019 and the Industrial Relations, Social Security and Occupational Safety, Health and Working Conditions Codes of 2020. Trade unions and industrial disputes are dealt with inside the Industrial Relations Code.

40. (A) I, IV, II, III — MRTP Act 1969, FEMA 1999, Competition Act 2002 and MSMED Act 2006 is the correct sequence.

IE08 — EXPLANATIONS

1. (D) Services — The services sector accounts for roughly 55 per cent of India's gross value added, far ahead of industry and agriculture, and is also the largest recipient of FDI.

2. (C) US$ 383 billion — As per the Ministry of Commerce and Industry, services exports were US$ 383.51 billion in FY 2024-25, growing 12.45 per cent, while merchandise exports were US$ 437.42 billion, taking total exports to a record US$ 820.93 billion.

3. (C) Electricity Act, 2003 — The Electricity Act, 2003 consolidated earlier laws, delicensed generation, mandated open access and required unbundling of state electricity boards into separate generation, transmission and distribution entities.

4. (C) power distribution companies — UDAY, launched in November 2015, allowed states to take over a large part of the debt of their distribution companies and tied further support to loss-reduction milestones. It was later succeeded by the Revamped Distribution Sector Scheme, 2021.

5. (D) 500 GW — India committed at Glasgow in 2021 to 500 GW of non-fossil fuel energy capacity by 2030, meeting 50 per cent of energy requirements from renewables and reaching net zero by 2070.

6. (C) 300 units — The scheme targets rooftop solar in one crore households with up to 300 units of free electricity a month, and is implemented by the Ministry of New and Renewable Energy.

7. (C) 34,800 km of highways — Bharatmala Phase-I covers about 34,800 km, comprising economic corridors, inter-corridor and feeder routes, border and international connectivity roads, coastal and port connectivity roads and expressways.

8. (C) 5,846 km — The Golden Quadrilateral is about 5,846 km long. The North-South corridor (Srinagar to Kanyakumari) is about 4,076 km and the East-West corridor (Silchar to Porbandar) about 3,640 km.

9. (B) Jhansi — The Srinagar-Kanyakumari and Silchar-Porbandar corridors cross at Jhansi in Uttar Pradesh, making it the junction of the two longest NHDP corridors.

10. (D) Jawaharlal Nehru Port and Dadri — The Western DFC connects Jawaharlal Nehru Port near Mumbai with Dadri in Uttar Pradesh, while the Eastern DFC runs from Ludhiana in Punjab to Sonnagar in Bihar. Both are executed by DFCCIL, set up in 2006.

11. (A) New Delhi - Varanasi — Train 18, later named Vande Bharat Express, began commercial service on the New Delhi-Varanasi route on 15 February 2019. It is India's first indigenously designed semi-high-speed train set.

12. (C) Ministry of Ports, Shipping and Waterways — Sagarmala, approved in 2015, rests on port modernisation, port connectivity, port-led industrialisation and coastal community development, and is run by the Ministry of Ports, Shipping and Waterways.

13. (C) Major Port Trusts Act, 1963 — The 2021 Act replaced the Major Port Trusts Act, 1963, converting port trusts into port authorities with greater autonomy in tariff fixation and land use.

14. (B) Ude Desh ka Aam Naagrik — UDAN, launched on 21 October 2016 under the National Civil Aviation Policy 2016, caps fares on regional connectivity seats and gives airlines viability gap funding; the first UDAN flight was Shimla-Delhi in April 2017.

15. (B) Indian Telegraph Act, 1885 — The Telecommunications Act, 2023 replaced the Indian Telegraph Act, 1885 and the Indian Wireless Telegraphy Act, 1933. Sector regulation continues under TRAI, created by the TRAI Act, 1997.

16. (C) 13 October 2021 — PM Gati Shakti was launched on 13 October 2021 as a GIS-based digital platform integrating the infrastructure plans of 16 ministries, developed with BiSAG-N and coordinated by DPIIT.

17. (D) Rs 111 lakh crore — The task force under Atanu Chakraborty projected infrastructure investment of about Rs 111 lakh crore over FY2020-25 across more than 9,000 projects, showcased on the India Investment Grid.

18. (B) 40 per cent — In HAM the authority pays 40 per cent of the project cost in instalments during construction and the balance 60 per cent as annuities over the concession period; the concessionaire does not bear traffic or toll risk.

19. (B) 10 per cent — The 10 per cent threshold reflects a 'lasting interest' and management participation. Below it the flow is classified as foreign portfolio investment, which is far more volatile.

20. (C) 1 January 1995 — The WTO was established on 1 January 1995 under the Marrakesh Agreement signed in April 1994, replacing GATT 1947. Its headquarters are at Geneva and it works by consensus.

21. (C) United States of America — The United States remained India's largest trading partner in FY 2024-25, while China continued to be the largest single source of India's imports.

22. (B) Ministry of Labour and Employment — e-Shram was launched on 26 August 2021 by the Ministry of Labour and Employment; registration is Aadhaar-seeded and more than 30 crore unorganised workers have enrolled, of whom over half are women.

23. (D) Ten — The NSQF, notified in December 2013, organises qualifications in ten levels graded by learning outcomes, so that vocational and general education can be equated and credits transferred.

24. (B) 2014 — The Ministry was carved out in November 2014 to coordinate skilling efforts spread across more than twenty ministries; the National Policy on Skill Development and Entrepreneurship followed in 2015.

25. (B) the ratio of employed persons to the total population — The Worker Population Ratio or Work Participation Rate is the percentage of employed persons in the population. The labour force to population ratio is the LFPR, and unemployed as a share of the labour force is the unemployment rate.

26. (A) I and II only — The nodal department is the Department for Promotion of Industry and Internal Trade, which houses the Logistics Division, the Network Planning Group and the secretariat of the Empowered Group of Secretaries chaired by the Cabinet Secretary.

27. (D) I, II and III — All three are correct: the NIP task force was headed by Atanu Chakraborty, then Secretary in the Department of Economic Affairs; the pipeline covers FY2020-25 with an outlay of about Rs 111 lakh crore, and projects are hosted on the India Investment Grid.

28. (A) I and II only — The BoP always balances by construction because any current account gap is settled through capital flows and reserve movements; only individual accounts can be in surplus or deficit.

29. (A) I and II only — Reserves comprise foreign currency assets, gold, SDRs and the reserve tranche position; foreign currency assets are by far the largest component. India's reserves crossed US$ 700 billion for the first time in September 2024.

30. (A) I and II only — As per PLFS 2023-24, LFPR was 60.1 per cent, WPR 58.2 per cent and the unemployment rate 3.2 per cent for persons aged 15 years and above in usual status. Female LFPR rose to 41.7 per cent.

31. (C) I and III only — NSDC is a public-private partnership incorporated in 2008, in which the Government holds 49 per cent and the private sector 51 per cent, so statement II is wrong. NSDM, PMKVY and the National Policy on Skill Development and Entrepreneurship were all launched on World Youth Skills Day, 15 July 2015.

32. (D) I, II and III — UDAN, launched on 21 October 2016, combines a cap on airfares for a fixed share of seats with viability gap funding financed partly by a levy on major routes, in order to make small-airport routes commercially viable.

33. (A) I and II only — India walked out of the RCEP negotiations in November 2019 and is not a member. The India-UAE CEPA came into force in May 2022 and the India-EFTA TEPA, signed in March 2024, carries a US$ 100 billion investment commitment.

34. (A) A-2, B-4, C-1, D-3 — In BOT (Toll) the concessionaire bears traffic risk and recovers cost through tolls; in BOT (Annuity) the authority pays fixed annuities; HAM splits the cost 40:60 between grant and annuity; TOT monetises an already operational asset.

35. (A) A-3, B-4, C-1, D-2 — Sagarmala is the port-led development programme, Bharatmala the highways programme, UDAN the regional air connectivity scheme and BharatNet the optical fibre programme for gram panchayats.

36. (B) A-3, B-1, C-2, D-4 — UDAY belongs to the Ministry of Power, e-Shram to Labour and Employment, PMKVY to Skill Development and Entrepreneurship, and Sagarmala to Ports, Shipping and Waterways.

37. (A) A-3, B-1, C-2, D-4 — The Tarapore Committees of 1997 and 2006 examined capital account convertibility, the Chakraborty task force framed the NIP, the Kelkar Committee of 2015 reviewed the PPP framework and the Rangarajan Committee re-examined poverty estimation.

38. (A) A-3, B-4, C-2, D-1 — India signed the CEPA with the UAE in February 2022, the ECTA with Australia in 2022, the TEPA with the EFTA bloc in March 2024 and the CETA with the United Kingdom in July 2025.

39. (C) External commercial borrowings — External commercial borrowings are a capital account item. The current account records merchandise trade and invisibles, namely services, primary income and current transfers such as remittances.

40. (C) Power transmission — The seven engines are roads, railways, airports, ports, mass transport, waterways and logistics infrastructure. Power transmission, though critical infrastructure, is not one of the named seven engines.

41. (D) Sagarmala programme - Ministry of Commerce and Industry — Sagarmala is implemented by the Ministry of Ports, Shipping and Waterways, not the Ministry of Commerce and Industry. The Foreign Trade Policy 2023 is administered by DGFT under the Commerce Ministry and, unusually, has no end date.

42. (D) The e-Shram portal registers only workers of the organised sector — e-Shram is a database of unorganised workers, including migrant, construction, gig and platform workers. It was launched in August 2021 and has more than 30 crore registrations.

43. (D) PM-KUSUM — PM-KUSUM is a solar energy scheme for farmers under the Ministry of New and Renewable Energy. PMKVY, NAPS and SANKALP are all skilling programmes under the Ministry of Skill Development and Entrepreneurship.

44. (B) I, II, III, IV — Electricity Act 2003, UDAY 2015, Bharatmala Phase-I 2017 and PM Gati Shakti 2021 is the correct sequence.

45. (C) II, I, III, IV — India accepted Article VIII obligations in August 1994, the WTO came into existence on 1 January 1995, the India-UAE CEPA entered into force in May 2022 and the India-UK CETA was signed in July 2025.